



CHAPTER 2

Foundations of Trademark Law

CHAPTER OVERVIEW

Trademarks surround us every day and help us make valuable and informed decisions about the products and services we purchase. There are four types of marks: *trademarks* are used for goods; *service marks* are used for services; *certification marks* are used to certify some quality of a product or service; and *collective marks* indicate membership in an organization. Some marks, namely those that are coined or “made up,” like EXXON®, are stronger than others, namely those that describe or suggest something about a good or service. Not all matter is protectable; marks that disparage a person or that are scandalous cannot be protected. On the other hand, even some unusual devices can be protected, such as sounds and fragrances. Trademarks come into existence through use; they need not be registered with the U.S. Patent and Trademark Office (USPTO) to be protected, although federal registration affords several advantages to a trademark owner.

INTRODUCTION

Although there was some use of trademarks or symbols in the Middle East and Far East several centuries ago, contemporary trademark law can be traced back to use of trademarks during the medieval period in Europe by merchants who sought to distinguish the goods they sold from those sold by others by applying a mark or symbol to their goods. By viewing the mark, purchasers would immediately be able to identify the craftsperson who made the goods and make an



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informed decision about the quality of the materials. The use of symbols by medieval craftspeople to distinguish and identify their goods is the direct antecedent for the modern use of trademarks

such as COCA-COLA®, MICROSOFT®, and CREST®. (See Exhibit 2–1, History of Trademarks.)

PURPOSE AND FUNCTION OF TRADEMARKS

Trademarks perform two critical functions in the marketplace: They provide assurance that goods are of a certain quality and consistency and they assist consumers in making decisions about the purchase of goods. If a trademark such as NIKE® could be counterfeited and used by another on inferior merchandise, there would be no incentive for the owners of the NIKE mark to produce high-quality shoes and to expend money establishing consumer recognition of the products offered under the NIKE marks. Thus, protection of trademarks results in increased

The U.S. Patent and Trademark Office believes that the importance of trademarks dates back 7,000 years to about 5000 B.C., when drawings showing bison with distinctive symbols on their flanks appeared in the caves of prehistoric man. These were likely some kind of ownership mark, that is, a trademark that identified those particular bison as being the property of a specific owner and distinguished those bison from the bison of others.

By 500 B.C., a real economic use of trademarks can be documented in ancient Rome, where evidence has been found of bricks stamped with the mark of the brick manufacturer.

There is little to be found about the use and growth of trademarks between the fall of the Roman Empire and the Renaissance. The Renaissance, however, brought with it a celebration of the arts, and trademarks reemerged in a significant way. In about the twelfth century, trade guilds began using marks to identify goods made by their members. In 1266, the earliest English law on trademarks, the Bakers Marking Law, came into being. This law allowed bakers to identify their breads by stamping a mark on the loaf or pricking the loaf in a particular and recognizable pattern.

The first reference to trademark infringement litigation occurred in 1618 when a clothier who produced inferior cloth used the mark of a superior cloth producer and was brought to court in the English case of *Southern v. How*, 79 Eng. Rep. 1243 (K.B. 1618).

The origin of American trademark protection came in the sailcloth manufacturing industry. In 1791, as a result of concerns of sailcloth makers, Thomas Jefferson recommended the creation of trademark legislation based on the Commerce Clause of the Constitution. In 1879, the United States finally enacted its first trademark legislation, and the first registered trademark was registered under that law. The mark, used to identify liquid paints by Averill Paints, was dominated by the depiction of an eagle.

EXHIBIT 2–1 History of Trademarks (From USPTO website at <http://www.uspto.gov>)

competition in the marketplace, with both the producer of goods and services and the consumer as the ultimate beneficiaries. Businesses benefit because they can reap the rewards of their investment in developing and marketing a product without fearing another business will deceive consumers by using the same or a confusingly similar mark for like goods, and consumers benefit because they are able to identify and purchase desired goods.

The value inherent in achieving consumer loyalty to a particular product or service through the maintenance of consistent quality of the products or services offered under a mark is called **goodwill**. The goodwill associated with a trademark continues to increase over time as additional sales are made of the product offered under a mark and consumers associate the mark with its owner and continue to desire to do business with a seller who offers the products they like. There is no doubt that the name recognition or goodwill inherent in a trademark can be among a company's most valuable assets. As discussed in Chapter 1, the COCA-COLA marks have been valued at more than \$70 billion, and the COCA-COLA mark is the most recognized mark in the world.

Trademarks thus provide the following functions:

- They identify one maker's goods or services and distinguish them from those offered by others;
- They indicate that all goods or services offered under the mark come from a single producer, manufacturer, or "source";
- They indicate that all goods or services offered under the mark are of consistent quality; and
- They serve as an advertising device so that consumers link a product or service being offered with a mark (e.g., when many consumers see or hear the phrase JUST DO IT®, they immediately think of Nike products).

Thus, a consumer who purchases GAP® khaki pants in Dallas is assured that the fit and style is the same as a pair that would be purchased in

Philadelphia, and that the item is the product of a single source, namely, Gap LLC.

Trademark law is a part of the broader law of unfair competition or unfair trade practices. Infringement of another's trademark is a species of unfair competition. Other acts of unfair competition include false advertising and infringement of copyrights, patents, or trade names. The law of unfair competition is meant to protect consumers and eliminate unfair business practices. Trademark law is a vital part of the broad protection afforded by the law of unfair competition. The law of unfair competition is fully discussed in Chapter 23.

TYPES OF MARKS: TRADEMARKS, SERVICE MARKS, CERTIFICATION MARKS, AND COLLECTIVE MARKS

There are four different types of marks: trademarks, service marks, certification marks, and collective marks.

The modern definition of *trademark* is that it is a word, name, symbol, or device, or a combination thereof, used by a person (including a business entity), or that a person has a bona fide intention to use in commerce, to identify and distinguish his or her goods from those manufactured or sold by others and to indicate the source of those goods (15 U.S.C. § 1127). A *service mark* is a word, name, symbol, or device, or a combination thereof, used by a person, or that a person has a bona fide intention to use in commerce to identify and distinguish the services of one person from those of others and to indicate the source of those services.

Thus, a trademark is used to identify goods, such as CHEERIOS® for cereal, LEXUS® for cars, or

YAHOO!

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Cheerios

JIM BEAM® for whiskey. A service mark is used to identify *services*, such as H&R BLOCK® for financial planning services, THE PALM® for restaurant services, and FEDEX® for package delivery services.

While the term *trademark* thus refers to some physical and tangible good and *service mark* refers to an intangible service, in common usage the term *trademark* is often used to refer to marks for both goods and services. Throughout this text, discussions related to “trademarks” will also apply to service marks unless otherwise noted. Similarly, the term **mark** will be used as a synonym for both trademarks and service marks. The federal statute governing trademark law, the U.S. Trademark Act (the Lanham Act, found at 15 U.S.C. § 1051 *et seq.*) itself, states that the term *mark* includes any trademark, service mark, collective mark, or certification mark. See Appendix E (15 U.S.C. § 1127).

A **certification mark** is a word, name, symbol, device, or combination thereof, used by a person other than its owner to indicate one of three things: that goods or services have certain features in regard to quality, accuracy, material, mode of manufacture, or some other characteristic; to certify regional or other origin; or that the work done on the goods or services was performed by members of a union or other organization. Examples of certification marks are the Good Housekeeping and Underwriters’ Laboratories, Inc. seals of approval; DARJEELING®, a mark certifying that certain tea originates in the Darjeeling region of India; and FARMWORKERS AFL-CIO UNION LABEL®, used to certify that the labor involved in harvesting produce was performed by union members. Certification marks are, by their very nature, unlike any other types of marks. They do not indicate a single commercial source of the goods or services, and they are not used by the actual owner of the goods or services. Rather, the mark is placed on the goods or used in connection with the services of another to certify something about the goods or services. Thus, a toaster that carries the UL®

seal of approval signifies to consumers that the toaster has been reviewed, tested, and found to meet certain standards in regard to quality, safety, price, or some other characteristic. The toaster is not made by Underwriters’ Laboratories, Inc. It merely certifies that the goods on which its mark is placed meet certain objective and preestablished standards.

Similarly, the mark ILGWU INTERNATIONAL GARMENT WORKERS’ UNION MADE AFL-CIO (& DESIGN)® certifies that the work or labor done on garments was performed by members of the registrant’s union. The mark STILTON® certifies that cheese originates in certain counties in England. The owner of a certified mark may lose rights to the mark if it arbitrarily refuses to allow use of a mark by one whose products or services meet its stated certification standards.

A **collective mark** is one used by a collective membership organization, such as a labor union, fraternity, or professional society, to identify that the person displaying the mark is a member of the organization. Thus, the FUTURE FARMERS OF AMERICA® and PHI DELTA THETA® marks indicate membership in certain organizations.

(See Exhibit 2–2 for further examples of the four types of marks.)

A company may use several marks. An examination of a can of Coca-Cola may reveal multiple marks: the words COCA-COLA®, the stylized

Type of Mark	Example
Trademark	COMET® (for cleanser)
Service Mark	HYATT® (for lodging services)
Certification Mark	UNION MADE® (for clothing)
Collective Mark	AMERICAN BAR ASSOCIATION 1878® (for membership in an organization)

EXHIBIT 2–2 Types of Marks

WAVE DESIGN®, and the slogan THINGS GO BETTER WITH COKE®. All of these marks may be used on one product and all are protected by the Coca-Cola Company.

On some occasions, companies use **house marks** to establish recognition in a wide range of products or services. For example, General Mills has registered one mark, GENERAL MILLS® (with a cursive G), for numerous food products, including cereal, biscuit mixes, and mashed potatoes.

ACQUISITION OF TRADEMARK RIGHTS

In most foreign countries, trademark rights arise from registering the mark with a governmental entity. The law in the United States is quite different: Trademark rights arise from adoption and *use* of a mark, not from registration. Thus, a person using a mark may have valid and enforceable rights in a mark even though the mark is not registered with the USPTO. Such an owner will have priority (at least within a certain geographic area) even over a subsequent user who has secured a federal registration for a mark with the USPTO.

The “use” required to establish trademark rights is more than token use; it must be public use. Although significant sales are not required, there must be a bona fide business transaction, not merely some sham use. For example, sales within a company or to personal friends are insufficient to show use, while soliciting and accepting orders is usually sufficient to show commercial use.

Establishing a date of first use is critical for a trademark owner because priority of trademark rights is measured from this date. If one party first used a mark on September 15, 2010, and another first used a similar mark on October 15, 2010, the prior, or **senior, user** will be able to preclude the **junior user** from using a confusingly similar mark.

For a mark to be registrable, it must be based on use in commerce, meaning the type of commerce that can be regulated by Congress. Generally, the use is based on **interstate commerce**, or commerce between states, although it could be based on commerce between the United States and a foreign country. A purely intrastate use does not provide a basis for federal registration of a mark. The requirement of interstate commerce is satisfied if the goods or services are advertised in more than one state, offered to citizens of more than one state, or offered on the Internet, which is considered “use” in commerce because it is available to a national audience through the use of interstate telephone or cable lines or wireless transmission.

Although the general rule is that acquisition of trademark rights stem from use, there is one exception to this rule: the **intent-to-use application**. Until 1989, the United States was one of only two countries in the world that required that a mark be in actual use before an owner could file an application to register it.

After an applicant had begun using the mark and then filed an application, the USPTO might then refuse registration of the mark on the basis it was confusingly similar to a prior mark or was subject to some other defect. The applicant would then have invested substantial money and time in developing the mark; in using it in commerce, marketing, and advertising; and in applying for registration, only to be told the mark was unregistrable. To remedy this situation, the Trademark Law Revision Act of 1988 allowed persons to file applications for marks based on a bona fide intent to use the mark in commerce in the future. If the USPTO determines the mark is unregistrable, the applicant will not have expended any sums other than the USPTO filing fee and can readily file another application for a new mark. If the USPTO determines the mark is registrable, the applicant must then begin use of the mark in commerce and provide a statement verifying such use to the USPTO before

2-1-10	6-1-10	10-1-10	11-10-10
ABC Co. applies for VEE based on intent to use mark for toys	XYZ begins actual use of VEE for toys and applies for registration	ABC begins actual use of VEE	ABC secures registration for VEE. ABC's date of first use is presumed to be 2-1-10, and it can preclude XYZ, the later user, from using VEE for toys

EXHIBIT 2-3 Timeline for Intent-to-Use Applications

the mark can proceed to registration. Interestingly enough, however, once the mark proceeds to registration, priority is measured from the date the intent-to-use application was *filed*, even though that filing date may precede actual use in commerce by more than three years. (See Exhibit 2-3.)

Minimal or token use cannot serve as the basis for securing or maintaining a registration, ensuring that an owner does not reserve or “warehouse” a mark by making only sporadic use of it with the intent to block others from using it rather than having a true commercial intent to exploit the mark for sales. Moreover, the USPTO desires to clear its records of unused marks, or “deadwood,” so that such unused marks may be available to others.

The use required is “bona fide use of a mark in the ordinary course of trade, and not made merely to reserve a right in a mark” (15 U.S.C. § 1127). Thus, an owner must make use of a mark as would be typical in the industry or trade. If a product is extremely expensive, such that only a few units are sold each year, this may be sufficient use if such meager sales are the norm in the relevant industry.

Just as use is required to acquire rights in a mark, continued use is required to maintain rights in a mark. Failure to use a mark for three years creates a presumption the mark has been abandoned. Abandonment is further discussed in Chapter 5.

COMMON LAW RIGHTS, FEDERAL REGISTRATION UNDER THE LANHAM ACT, LAWS AND TREATIES GOVERNING TRADEMARKS, AND STATE TRADEMARK RIGHTS

Common Law Rights

As discussed, in the United States, trademark rights arise from use of a mark. It is not necessary to secure permission or registration from any governmental entity to acquire trademark rights. A party who is using a mark without any such governmental registration is said to have a **common law trademark**. This common law trademark can be enforced in any geographical area in which the mark is used. Thus, if an owner uses the mark CAKERY CRAVINGS in connection with a pastry shop in Portland, Oregon, the owner will be able to preclude later users from using a confusingly similar mark in connection with similar goods or services in its market area and in a reasonable area of expansion beyond.

Federal Registration

Although there is no requirement that a trademark owner apply for or secure federal registration of a

mark with the USPTO, registration on the USPTO's Principal Register does offer several advantages:

- Nationwide constructive use effective from the filing date of the application (meaning that the public is assumed to have notice that the registrant has nationwide priority in the use of its mark as of this date);
- Nationwide notice to the public of an owner's claim to a mark, thereby precluding a later user from claiming it used a mark in good faith in a remote territory and should be able to continue use;
- The ability to bar importation of goods bearing infringing trademarks (assuming the registration is deposited with the U.S. Customs and Border Protection);
- The right under the Paris Convention to obtain a registration in various foreign countries based upon the U.S. registration;
- The right to bring an action in federal court for trademark infringement and recover lost profits, damages, costs, and possibly triple damages and attorneys' fees;
- Incontestable status of the registration after five years of continuous use subsequent to the registration (meaning that the mark is immune to certain challenges), assuming appropriate documents are filed;
- The right to use the registration symbol (®) with the mark;
- A possible basis to claim priority to an Internet domain name; and
- *Prima facie* (literally, "on its face") evidence of the validity of the mark and of the registration, the registrant's ownership of the mark, and the registrant's exclusive right to use the mark in connection with the identified goods and services.

Additionally, because individuals routinely search the USPTO records before adopting a new

mark, a mark that is registered or applied for with the USPTO will be listed on the USPTO's online databases, which may deter a party from seeking a registration for a similar mark, thus avoiding expensive litigation.

In sum, while federal registration is not required to secure trademark rights, registration provides several advantages and enhances the level of protection an owner has for a mark.

Laws and Treaties Governing Trademarks

There are several laws and treaties governing trademarks, including the Lanham Act (many others will be further discussed in the chapters to come).

The federal statute governing trademark rights is the **Lanham Act** (also called the U.S. Trademark Act and found at 15 U.S.C. §§ 1051 *et seq.*), enacted in 1946 and named for Congressman Fritz Garland Lanham (D. Tex.), the then chair of the House Patent Committee (which also proposed legislation relating to trademarks) who introduced the legislation.

In addition to providing for federal trademark protection, the Lanham Act also includes statutes prohibiting unfair competition. The Lanham Act has been amended numerous times. Perhaps the most significant amendment occurred with the Trademark Law Revision Act of 1988, which provided the following two critical changes: allowing for a trademark application based on the applicant's bona fide intent to use a mark in the future (previously, applications were all based on actual use of the mark) and reducing the period of protection for federally registered marks from 20 years to 10 years (at which time the registration must be renewed). In addition to the Lanham Act, regulations relating to trademarks are found in Title 37 of the Code of Federal Regulations, entitled "Rules of Practice in Trademark Cases."

These rules and regulations explain how the trademark laws are to be carried out and implemented, provide procedures to be followed at the USPTO, and generally govern the day-to-day situations that may arise at the USPTO. For example, 37 C.F.R. § 2.52 describes the format and presentation of trademark drawings.

In addition to our trademark statutes and Title 37 of the Code of Federal Regulations, rules and regulations governing trademark applications and practice can be found in the **Trademark Manual of Examining Procedure** (8th ed. 2011), usually referred to as the “TMEP,” which is published by the USPTO and provides trademark examining attorneys, trademark applicants, and trademark attorneys with a reference work on the practices and procedures relating to the prosecution of trademark applications. In many instances, detailed information is given, and trademark practitioners keep the TMEP handy or bookmarked to serve as a reference tool for trademark issues and questions. For example, section 302.01 informs applicants that original documents are generally not required; photocopies are acceptable. The entire text of the TMEP is available for viewing and downloading through the USPTO website.

Following are key amendments to the Lanham Act:

- **North American Free Trade Agreement (NAFTA).** NAFTA became effective in 1994 as an agreement among Canada, Mexico, and the United States. NAFTA precludes registration of marks that are primarily geographically deceptively misdescriptive.
- **Trade-Related Aspects of Intellectual Property Rights (TRIPS).** TRIPS, a treaty signed by the United States in 1994, bars registration of a mark for wine or liquor if the mark identifies a place other than the origin of the goods and was first used after 1996. Thus, a new wine cannot use the mark “Napa” unless the product originates in that region of California. TRIPS also increased the period of time of nonuse of a mark that would result in abandonment from two years to three years.
- **Trademark Law Treaty Implementation Act (TLTIA).** TLTIA (which implemented the 1994 Trademark Law Treaty), effective in late 1999, simplified several requirements relating to trademark registration and maintenance. For example, at present, the applicant need only submit one specimen showing how a mark is used rather than three, as was previously required. Additionally, a trademark applicant need no longer state the manner in which the mark is used. Finally, TLTIA established a six-month grace period for filing a renewal for a trademark registration.
- **Anticybersquatting Consumer Protection Act.** The Anticybersquatting Consumer Protection Act was signed into law in late 1999 and is intended to protect the public from acts of Internet *cybersquatting*, a term used to describe the bad faith, abusive registration of Internet domain names, such as the registration of www.juliaroberts.com by one with no affiliation with Julia Roberts.
- **Madrid Protocol.** The Madrid Protocol became effective in November 2003 and allows trademark applicants or registrants to file a single international trademark application and obtain protection in any of the more than 80 countries that are parties to the Protocol. The Protocol thus facilitates efficient and cost-effective protection for marks on an international basis.
- **Federal Trademark Dilution Revision Act.** The Federal Trademark Dilution Revision Act protects famous marks by preventing others from using marks (even on unrelated goods) if they are likely to cause dilution of the famous mark either by “blurring” (causing the famous mark to lose its distinctiveness) or “tarnishment”

(harming the reputation of the famous mark). Thus, for example, the owner of NIKE may prevent another individual or entity from using the NIKE mark in connection with doughnuts or in connection with pornography.

- **Prioritizing Resources and Organization for Intellectual Property Act (“PRO-IP Act”).** The PRO-IP Act of 2008 created a new White House Intellectual Property Enforcement Coordinator or “Czar” to oversee and coordinate domestic and international IP enforcement activities, increased the range of penalties available in counterfeiting cases, and provides money so state and local governments can train law enforcement and educate the public about counterfeiting.

State Registration

It is possible that a mark may not qualify for federal registration, generally because it is not used in interstate commerce but is used only within the confines of one state, namely, in **intrastate commerce**. Thus, the owner of the CAKERY CRAVINGS mark used solely in Portland might seek to register the mark in Oregon. Each one of the 50 states (but not the District of Columbia) has its own trademark laws. Generally, obtaining a state registration is a fairly expeditious and inexpensive process. Forms are available from each state’s secretary of state, located in the state capital, and are available for downloading on the website of the secretary of state. The state registration (usually valid for 5 or 10 years) confers benefits only within the boundaries of the state. Thus, the owner of CAKERY CRAVINGS could not preclude another from using the same or a similar mark in Seattle, Washington. Armed with a *federal* registration, however, the owner could preclude the later Seattle user. There is no procedural or substantive advantage of securing state registrations in addition to a federal registration.

The federal registration is nationwide in scope and should be sought whenever a mark qualifies for federal registration. Use of a mark solely within the District of Columbia qualifies as “use” so as to support an application for federal registration of that mark. (See Appendix B for a summary of state trademark registration provisions.)

CATEGORIES OF MARKS

Although marks can consist of words, symbols, designs, slogans, or a combination thereof, not every term is protectable. Even among marks that are protectable, some marks are stronger than others. In determining strength of marks, courts recognize several categories of marks. In ascending order of strength and protectability, the five categories are generic, descriptive, suggestive, arbitrary, and fanciful or coined marks.

- A **generic mark** or term is not truly a mark at all but is merely a common name of a product, such as *car*, *soap*, or *beverage*. Such generic terms are not protectable and cannot be exclusively appropriated by one party inasmuch as they are needed by competitors to describe their goods. Thus, TOP RAMEN® serves as a trademark but “noodles” does not because it is a generic name. In some cases, marks that were once valid have become generic through misuse. Examples of words that were once trademarks but are now generic terms are *aspirin*, *cellophane*, *escalator*, and *thermos*. Thus, owners of many well-known marks take great pains to ensure their marks do not become generic. The familiar refrains “SCOTCH® brand adhesive tape” and “Q-TIP® brand cotton swabs” encountered in advertising are meant to protect marks and to ensure that consumers do not use the term *Scotch tape* to describe all adhesive tape or the term *Q-tip* to refer to any cotton swab, thereby “genericizing”

a once-valued trademark. Xerox's ad campaign "when you use 'Xerox' the way you use 'aspirin,' we get a headache" is similarly aimed to preserve the distinctiveness of the XEROX® mark. Generally, marks should be used as adjectives, as in "I need a KLEENEX tissue." Use of a trademark as a noun, as in "I need a Kleenex," will eventually lead to genericide of the mark and a loss of trademark rights. (See Chapter 5.)

- A **descriptive mark** immediately tells something about the product or service offered under a mark by describing some characteristic, quality, ingredient, function, feature, purpose, or use of the product or service. For example, in *In re Bed & Breakfast Registry*, 791 F.2d 157 (Fed. Cir. 1986), BED & BREAKFAST REGISTRY was held merely descriptive of lodging registration services, and in *Hunter Publishing Co. v. Caulfield Publishing Ltd.*, 1 U.S.P.Q.2d 1996 (T.T.A.B. 1986), SYSTEMS USER was held merely descriptive of a trade journal directed at users of data processing systems. Other marks that have been held descriptive include OATNUT for bread made with oats and nuts, LITTLE TAVERN for restaurant and bar services, QUIK-PRINT for speedy copying services, and COASTAL WINERY for wine made on the Pacific coast. It would be manifestly unfair to allow one owner to monopolize a descriptive term such as OATNUT for bread made with oats and nuts and thereby prevent competitors from using such needed and truthful terms. Because descriptive terms merely describe something about the goods or services, rather than identify the source of a product, they are not registrable with the USPTO until the consumer links the mark with a single source. That learned association is called **secondary meaning** or *acquired distinctiveness*. Descriptive marks cannot be registered until secondary meaning is shown. The USPTO assumes that secondary meaning has been acquired after five years of continuous and

exclusive use of a mark. Alternatively, secondary meaning can be shown by demonstrating a significant level of advertising, sales, and consumer survey evidence to prove that when consumers encounter a mark such as SYSTEMS USER, they immediately identify it with its offeror. Such evidence allows a trademark owner to establish secondary meaning without having to wait five years. Laudatory terms such as *best*, *extra*, and *super* are also considered merely descriptive and are not registrable without proof of secondary meaning.

- A **suggestive mark** suggests something about the goods or services offered under the mark but does not immediately describe them. A suggestive mark requires some imagination or thought to reach a conclusion about the goods or services offered under the mark. For example, ORANGE CRUSH® was held suggestive of an orange-flavored beverage, see *Orange Crush Co. v. California Crushed Fruit Co.*, 297 F. 892 (D.C. Cir. 1924), and GREYHOUND BUS® was held suggestive of transportation services. A suggestive mark is registrable without proof of secondary meaning or distinctiveness. Other examples of suggestive marks include COPPERTONE® for suntan lotion, IVORY® for soap, and PLAYBOY® for magazines.
- An **arbitrary mark** is a commonly known word that is applied to an unfamiliar product. Some of the best-known arbitrary marks are CAMEL® for cigarettes, BLUE DIAMOND® for nuts, and BLACKBERRY® for electronic handheld units. Although the terms are found in a dictionary, they have no relevance when applied to the goods in question and are thus arbitrary. Thus, APPLE® for computers is arbitrary, whereas APPLE for apples would be generic. Arbitrary marks are registrable without proof of secondary meaning.
- **Fanciful, or coined, marks** are those that are invented and have no dictionary meaning. Marks such as KODAK®, PEPSI®, ACURA®, HONDA®, HAAGEN-DAZS®, and XEROX® are examples

of fanciful or coined marks. Such marks are the strongest marks of all and are entitled to the greatest level of protection because it will be difficult for others to claim they innocently created a highly similar mark for similar goods or services.

You can readily see that companies creating marks face a commercial dilemma. The company likely wants the name to identify something about the product or service itself so that consumers encountering the new name or mark can determine what product or service is being offered. However, if the mark communicates directly about the product, it is merely descriptive and cannot be registered without proof of secondary meaning. If a coined mark, such as XEROX, is selected, it is a strong mark, yet it tells the consumer nothing about the product or service offered, and the company will need to expend substantial sums in advertising to teach consumers to link the mark with the goods.

TRADE NAMES AND BUSINESS NAMES

A **trade name** or *commercial name* is one used to identify a business or company and its goodwill, while trademarks and service marks identify goods and services.



A symbol or name used only as a business name cannot be registered as a trademark or service mark. If the business

name, however, also serves to identify and distinguish goods and services, it may be registrable under the Lanham Act. For example, when Hallmark places its business name on its letterhead and business cards, such use is as an unregistrable trade name or business name. When the HALLMARK (& CROWN)[®] mark appears on greeting cards, however, it is being used as a trademark and may be registered as such.

Some business owners falsely believe that when they incorporate in a state or file limited partnership or other organizational documents with a state agency, such filing serves to protect their names because the state agency will check to ensure that no similar name is already being used within the state. Thus, for example, if the secretary of state of California allows Diamond Engineers, Inc. to incorporate in California, the corporation may later have to cease using the name if it is found to infringe on a senior trademark. Merely allowing a company to incorporate under a name does not result in trademark rights. Approval by a state to use a name in connection with a business is merely that—the company is entitled to use the name in connection with the business itself within that state. Using the name on goods themselves or in connection with services, namely, as a trademark or service mark, is far different. Once the mark is so used in commerce, the company acquires trademark or service mark rights, which can be protected against junior users, whether those are junior trademarks or junior trade names. (See Exhibit 2–4.)

Type of Mark	Example	Registrability
Generic	PEANUTS (for peanuts)	Not registrable
Descriptive	BUG MIST (for insecticide)	Not registrable without proof of secondary meaning
Suggestive	SUGAR & SPICE (for cookies)	Registrable
Arbitrary	POPCORN (for clocks)	Registrable
Fanciful or coined	TRALEE (for cellular phones)	Registrable

EXHIBIT 2–4 Categories of Marks

PROTECTABLE MATTER

Introduction

The definition of a trademark or service mark is that it is a word, name, symbol, device, or any combination thereof used to identify products or services. Clearly, words such as IN-N-OUT BURGER® and designs or symbols such as Mercedes Benz's segmented circle or the Mr. Peanut design can function as trademarks. There are, however, a host of other items that can be protected as marks, generally because of the flexibility in the language of the Lanham Act allowing for registration of a "symbol" or "device." A symbol or device might include anything capable of conveying meaning to a person, such as sounds, smells, and shapes.

Slogans, Letters, and Numbers

A slogan can constitute a trademark if it is distinctive. Thus, the slogan HAVE IT YOUR WAY® is protectable. Alphanumeric symbols (letters and numbers) may be protectable as long as they are not merely descriptive. Thus, broadcast station call letters such as NBC® or CNN® are registrable. Similarly, numbers (either alone or with letters) can function as marks. For example, Ford Motor Company received a registration for F-550® for automobiles after explaining to the USPTO that the letter and numbers had no significance in the automobile industry. If the numbers or letters describe something about the product or service offered under the mark, however, the mark will not be registrable unless proof of secondary meaning is shown. Thus, the mark "VT220" for computer hardware peripherals was held merely descriptive and unregistrable because "VT" stood for "video terminal" and "220" was a mere model number. Similarly, an application for registration of "888 Patents" (a telephone number) was refused because it was merely descriptive of patent-related legal services. However, once such a telephone number achieves secondary meaning, it may be registered. Thus, the mark 1-800-CALL-ATT® has been registered.

Logos and Symbols

Some of the most famous trademarks in existence consist solely of logos or symbols. Thus, registrations exist for Nike's famous "swoosh" mark, McDonald's golden arches, and Ralph Lauren's figure of a polo player on a horse. Some symbols, however, such as a peace symbol or smiley face, do not serve a trademark function and would not be registrable. Similarly, as discussed later in this chapter, logos that are purely ornamental or are mere background material may not be protectable.

Names of Performing Artists

A mark that merely serves to identify an artist, entertainer, or group is not registrable. However, if the owner of the mark has controlled the quality of the goods or services, or the name of the artist or group has been used numerous times on different recordings or works (thereby representing an assurance of quality to the public), the name may be registered as a trademark. Thus, COLDPLAY® has been registered for musical sound recordings and JOHN MELLENCAMP® has been registered for entertainment services.

Domain Names

Domain names, for example, www.ibm.com, are registrable as trademarks or service marks only if they function as an identification of the source of goods and services. In many cases, applications for domain names are refused because the domain name merely describes the goods or services offered under the mark or merely serves as an address where the applicant can be located.

Thus, www.eilberg.com was refused registration because the mark merely indicated the location on the Internet where the applicant's website appeared and it did not separately identify the applicant's legal services.

Another complication with domain name registration is that the USPTO has held that businesses that create a website for the sole purpose of advertising their own products or services cannot register a domain name used to identify that activity. Thus, the law firm Holland & Knight has registered “www.hklaw.com” in connection with its online legal newsletters and *not* in connection with the offering of legal services. In many instances, the marks are found merely descriptive. Thus, LAW.COM (for providing information regarding legal services) is presently registered on the Supplemental rather than the Principal Register.

The USPTO itself has recognized that Internet domain names raise unique issues, and, thus, cases relating to registration of domain names continue to evolve. Generally, it will be rare that a domain name serves as a source identifier such that it can be registered as a trademark.

Foreign Terms

Foreign terms are registrable as long as they comply with the requirements of the Lanham Act. Foreign wording will be translated into English and then examined by the USPTO for descriptiveness. Thus, the word *vino* would not be allowed for wine inasmuch as its immediate translation is “wine,” the very product offered under the mark. Similarly, the word *optique*, a French word meaning “optic,” was refused registration for eyeglasses because it was merely descriptive. *In re Optica Int'l*, 196 U.S.P.Q. 775 (T.T.A.B. 1977).

Shapes and Containers

Shapes or configurations can function as trademarks if they are distinctive rather than functional. Thus, the famous Coca-Cola bottle shape is registered with the USPTO, and a competitor who adopts a confusingly similar shape container for its product will likely be enjoined from use. The curvy shape of the Coke bottle is not functional because it is not essential to the use or purpose of the product. If

the shape aided or promoted better functioning of the bottle, such as a more efficient lip or handle, it would not be registrable. Thus, a container configuration having the appearance of an ice cream cone was found registrable as a trademark for baby pants because the shape of the container did not promote better functioning of the product.

Trade Dress

The total image of a product, such as size, shape, color, texture, packaging, and graphics, may be protected through a trademark registration. This total image and overall appearance is called **trade dress**. In the famous case *Two Pesos, Inc. v. Taco Cabana, Inc.*, 505 U.S. 763 (1992), the U.S. Supreme Court protected the overall image or trade dress of a Mexican restaurant chain from infringement by a competitor who used similar colors, seating configurations, and décor. When an applicant applies to register a product’s design or product packaging as trade dress for goods or services, the USPTO must consider whether the trade dress is functional and distinctive. Only nonfunctional and distinctive trade dress can be protected. For example, R.J. Reynolds has registered the trade dress for cigarette packaging. In other cases, trade dress (such as product packaging) that is found to lack distinctiveness is registered on the Supplemental Register (until it acquires secondary meaning). Because trade dress is often protected through the law of unfair competition, it is discussed more fully in Chapter 23.

Color

Until relatively recently, a single color was not protectable as a trademark. This general rule was based on the color depletion theory: There are only a limited number of colors in the world; if businesses could appropriate a color and exclude others from using it, competition would be impaired. The present rule is that a trademark may consist of color as long as the color is not functional,

the color is shown to have acquired distinctiveness either through long use or a high level of consumer recognition, and there is no need for competitors to have the color available to them. Thus, Owens-Corning was allowed a registration to protect the pink color of its insulation. *In re Owens-Corning Fiberglas Corp.*, 774 F.2d 1116 (Fed. Cir. 1985). Pink has no functional or utilitarian purpose when applied to the goods and does not deprive competitors from using other colors. Similarly, in 1995, Qualitex Company was allowed to protect its green-gold ironing board pads on the basis that there was no competitive need in the industry for the green-gold color, inasmuch as numerous other colors are equally usable for similar goods. *Qualitex Co. v. Jacobson Prods. Co.*, 514 U.S. 159 (1995). Similarly, the colors yellow and green used by John Deere & Co. on its machines were held registrable because the colors had become distinctive of John Deere's machines and equipment. However, the color pink for surgical wound dressings was held not registrable because the color of the goods closely resembled Caucasian human skin and was thus functional. Likewise, the makers of the pink PEPTO-BISMOL® stomach medicine were unable to protect its pink color. The court noted that the color pink was functional when used in connection with the medicine because the pink color had a pleasing appearance to one with an upset stomach. *Norwich Pharmacal Co. v. Sterling Drug, Inc.*, 271 F.2d 569 (2d Cir. 1959). One of the newer color registrations is for the color yellow, registered to the Lance Armstrong Foundation, Inc. for wristbands to be used in connection with charitable fundraising. The applicant claimed (and the USPTO acknowledged) that the mark had become distinctive due to its extensive renown. In sum, protecting color is still a complex and evolving legal field.

Fragrances, Sounds, and Moving Images

A fragrance can function as a trademark if it has acquired distinctiveness and is not functional.

For example, in *In re Clarke*, 17 U.S.P.Q.2d 1238 (T.T.A.B. 1990), a floral fragrance was allowed as a trademark for sewing thread and embroidery yarn and was not functional when used in connection with those goods. A fragrance used in connection with products known for such features, such as perfumes or air fresheners, however, would likely be held functional and not registrable. Similarly, sounds can function as trademarks. The famous three-note chime used by NBC was the first registered sound trademark. The roar of the MGM lion, the quack of the AFLAC duck, and Woody Woodpecker's distinctive laugh are also registered. Finally, moving images may be registered. For example, Columbia Pictures has registered the moving images of the light rays surrounding its "lady Columbia" image that appears at the beginning of its movies (U.S. Reg. No. 1,975,999).

Designs and Ornamentation

A design can function as a trademark as long as it is distinctive rather than merely functional or ornamental. Some designs are protected on their own, such as Nike's famous "swoosh" design, the alligator that appears on shirts, and Betty Crocker's spoon. If pictorial matter is merely descriptive, however, it cannot achieve registration without secondary meaning. Thus, for example, a picture or design of a wedge of cheese on a package of cheese would be descriptive unless it is so stylized that it is distinctive. Moreover, if the design is merely background material and does not create a separate commercial impression, or if it consists solely of some simple geometric shape, such as an oval or square, it cannot be protected without proof of secondary meaning. For example, the USPTO refused registration of two parallel colored bands placed at the top of socks as pure ornamentation. Merely decorative subject matter and pure ornamentation cannot be registered

because they do not identify and distinguish goods or services and thus cannot function as trademarks.

Serialized Literary and Movie Titles

The title of a single creative work, such as a book or movie title, is generally not protectable. The title

of a serialized work, such as *REAL HOUSEWIVES*® or *NEWSWEEK*®, however, can be protected as a trademark or service mark.

(See Exhibit 2-5 for further examples of protectable matter.)

Protectable Matter	Example
Words	REAL TIME (for wearing apparel)
Letters	WROC (for radio broadcasting services)
Numbers	1054 (for cleaning products)
Foreign terms	CHAT ROUGE (for wine)
Shapes	Distinctive shape for coffee filters (as long as not functional)
Trade dress	Overall commercial impression of packaging, label, text, and graphics (for a can of chili)
Color	Blue (for container for wine, so long as not functional)
Fragrance	Floral fragrance for bookmarks
Design	CHECKERBOARD DESIGN (for food products)
Literary title	IN STYLE (for serialized magazine)

EXHIBIT 2-5 Protectable Matter



MAINTAINING CONFIDENTIALITY

The launching of a new product or service is often a critical business decision for a client, and one whose inadvertent release would significantly harm the client's economic interests and future business plans. Thus, as clients consider, reject, and adopt marks, exercise care to ensure their materials and plans are kept in confidence.

- Keep files and drawings of proposed trademarks in secure locations.
- Be careful when communicating by e-mail, facsimile, or cell phone, to be sure that all communications are secure and confidential.
- Do not inadvertently share confidential client information with friends at social settings or in places where you may be overheard, such as at restaurants or in elevators.

EXCLUSIONS FROM TRADEMARK PROTECTION

Not every word, design, or slogan can function as a trademark. It has already been noted that generic matter cannot be registered and that merely descriptive marks cannot be registered unless secondary meaning is shown. There are several additional bars to registration found in the Lanham Act (15 U.S.C. § 1052).

Disparaging or Falsely Suggestive Marks

The Lanham Act (15 U.S.C. § 1052(a)) forbids registration of a mark that disparages, brings into contempt or disrepute, or falsely suggests an association with persons, institutions, beliefs, or national symbols. Thus, WESTPOINT for guns was held to falsely suggest a connection with the U.S. Military Academy and was refused registration. *In re Cotter & Co.*, 228 U.S.P.Q. 202 (T.T.A.B. 1985). Similarly, a registration for BAMA for shoes and stockings was canceled because the Trademark Trial and Appeal Board (TTAB) found that BAMA pointed uniquely to the University of Alabama and thus falsely suggested a connection with the university.

In 1992, seven Native Americans petitioned the TTAB to cancel six trademark registrations owned by the NFL football team the Washington Redskins, including the mark REDSKINS, on the basis the marks disparaged Native Americans. The TTAB cancelled the registrations, but after numerous proceedings stretching over 17 years, the matter was finally settled in 2009 when the U.S. Supreme Court declined to consider a lower court ruling that the Native Americans had waited too long to initiate their case (approximately 25 years after the first registration was granted). See *Harjo v. Pro Football Inc.*, 565 F.3d 880 (D.C. Cir.), cert. denied, 130 S. Ct. 631 (2009). Thus, there is no definitive court ruling on the question of whether the REDSKINS mark is disparaging (the case

having been disposed of on the grounds that the group waited too long to bring its claim). In 2006, a new petition to cancel the REDSKINS marks was filed with the TTAB by a group of younger Native Americans; as of the writing of this text, that proceeding is pending.

Insignia

Flags, coats of arms, and other insignia of the United States or any state or any foreign nation cannot be registered.

Immoral or Scandalous Matter

Immoral or scandalous matter cannot be registered. For example, a graphic depiction of a dog defecating that was used on clothing was refused registration as scandalous. The mark was also found to disparage Greyhound Corporation because the dog was reminiscent of the Greyhound dog used by the company in connection with its transportation services. *Greyhound Corp. v. Both Worlds, Inc.*, 6 U.S.P.Q.2d 1635 (T.T.A.B. 1988). Similarly, in 2005, the TTAB upheld a refusal to register the mark WIFE BEATER for t-shirts on the basis that it was disparaging.

Names and Portraits of Living Persons

A mark comprising a name, portrait, or signature of a particular living person cannot be used without his or her written consent, and a name, signature, or portrait of a deceased U.S. president cannot be used without his widow's written consent. Thus, the registration certificate for JIMMY BUFFET'S for radio programming services notes that his consent is of record.

Deceptive Matter

Marks comprising deceptive matter cannot be registered. Thus, SILKEASE was held deceptive when applied to clothing not made of silk in *In re Shapely, Inc.*, 231 U.S.P.Q. 72 (T.T.A.B. 1986), and CEDAR RIDGE



® was held deceptive for hard-board siding not made of cedar. *Evans Prods. Co. v. Boise Cascade Corp.*, 218 U.S.P.Q. 160 (T.T.A.B. 1983). In most cases, marks are found to be deceptive because they falsely describe the material or content of a product or are geographically deceptively misdescriptive. Thus, SHEFFIELD used on cutlery not made in Sheffield, England, was held deceptive because of the renowned status of Sheffield for cutlery products.

Mere Surnames

A mark that is primarily merely a surname cannot be registered without proof of secondary meaning. Thus, names such as “Smith” or “Higgins” cannot be registered, while names such as “King” or “Bird” would be registrable inasmuch as they have a significance or meaning other than as surnames. A review of USPTO records discloses that McDonald’s Corporation’s numerous registrations for its MCDONALD’S® marks routinely claim that the mark has acquired distinctiveness through its continuous and exclusive use. The USPTO will examine telephone books and electronic databases to determine if a mark is primarily merely a surname. If the surname is combined with additional matter, such as other words or a design, it may be registrable. Thus, HUTCHINSON TECHNOLOGY® was registrable for computer components. *In re Hutchinson Tech., Inc.*, 852 F.2d 552 (Fed. Cir. 1988).

Geographical Terms

Marks that include geographic terms, such as references to countries, states, towns, streets, and rivers, present special problems. There are three grounds upon which marks that include geographical terms might be refused by the USPTO:

- They are geographically descriptive;
- They are geographically deceptively misdescriptive; or

- They include a geographical indication used with wines and spirits to identify a place other than the origin of the goods.

When a geographic term is used to describe the place goods or services come from, it is considered descriptive and unregistrable if purchasers would think that the goods or services originate in the geographic place identified in the mark. Such terms merely tell the geographic origin of products or services rather than serving as designations of source. Thus, THE NASHVILLE NETWORK was held primarily geographically descriptive of various entertainment services where the applicant was located in Nashville and many of the programs it distributed were produced in Nashville. *In re Opryland USA, Inc.*, 1 U.S.P.Q.2d 1409 (T.T.A.B. 1986). Similarly, CALIFORNIA PIZZA KITCHEN was primarily geographically descriptive because the restaurant services were rendered in California and elsewhere. *In re California Pizza Kitchen*, 10 U.S.P.Q. 1704 (T.T.A.B. 1998). Such marks cannot be registered without proof of secondary meaning.

As a result of NAFTA, the Lanham Act now prohibits registration of a geographically deceptively misdescriptive mark even if the mark has secondary meaning. To support a refusal to register a mark on the basis that it is geographically deceptively misdescriptive, the USPTO must show that the primary significance of the mark is a generally known geographic location, the goods or services do not originate in the place identified in the mark, and purchasers would be likely to believe that the goods or services originate in the geographic place identified in the mark (and such misrepresentation is a material factor in the consumer’s decision to buy the goods or services). Thus, PERRY NEW YORK for clothing not originating in New York was not registrable because consumers, upon encountering the mark, would be deceived into reacting

favorably to it due to the renown of New York in the clothing and fashion industry. Similarly, OLD HAVANA for rum was held geographically deceptively misdescriptive for rum not originating in Havana because Havana is known and valued for its rum products.

Additionally, under TRIPS, and effective January 1, 1996, the Lanham Act absolutely bars registration of any geographic mark for wines and spirits not originating from the place identified in the mark. Thus, the word “Sonoma” can only be used in connection with goods from the Sonoma region of California.

As noted earlier, a geographic name that otherwise would be considered primarily geographically descriptive and therefore unregistrable (for example, IDAHO POTATOES GROWN IN IDAHO®) can be registered as a certification mark.

Additionally, a mark that includes a geographic term used in an arbitrary way will be registrable. Thus, ALASKA for bananas is treated as an arbitrary mark because it is unlikely that consumers would believe that the mark identifies the place from which the goods originate. Similarly, use of DUTCHBOY® for paint was held acceptable because of its arbitrariness; there is no known connection between paint and Holland. *National Lead Co. v. Wolfe*, 223 F.2d 195 (9th Cir. 1955). Finally, some geographic terms have become generic and can never be registered, for example, *French fries*, *Swiss cheese*, and *Bermuda shorts*.

Descriptive and Confusingly Similar Marks

Marks that are merely descriptive (such as CHEESE BITS for cheese-flavored snacks) or marks that are confusingly similar to those used by a senior user are not registrable. Refusals by the USPTO to register descriptive or confusingly similar marks are quite common and will be discussed in detail in Chapter 4.

Functional Devices

A mark or device or trade dress that is as a whole functional cannot be registered as a trademark because it would deprive others of the right to share a needed device. Thus, trademark protection might be refused for the shape of a matchbook cover when the shape functions to make the product useful. Because competitors would need to use the same shape of cover for their products to be effective, one party cannot exclusively appropriate it in perpetuity. The functionality doctrine ensures that protection for utilitarian product features be sought through patent registration, which is of limited duration. A determination by the USPTO that a proposed mark is functional is an absolute bar to registration, regardless of how distinctive a mark might be.

In one novel case, in 2006 the TTAB upheld a refusal to register a mark consisting of the flavor orange (to be used with antidepressant pills) on the dual bases that the mark was functional (because the pleasant taste performed a utilitarian function in increasing patient compliance) and that consumers would not view a flavor as a trademark but rather as an inherent feature of the product itself. *In re N.V. Organon*, 79 U.S.P.Q.2d 1639 (T.T.A.B. 2006).

Statutorily Protected Marks

Finally, certain marks are protected by federal statute from use or confusingly similar use by another. These marks



include marks such as “Smokey Bear,” marks used by various veterans’ organizations, the Red Cross logo, and the Olympic rings and associated wording. There are about 70 of these special statutes.

(See Exhibit 2–6 for a table of matter that is excluded from trademark protection.)

Nonprotectable Matter	Basis for USPTO Refusal
SQUAW (for sale of sporting goods)	Mark would disparage or bring a person or institution into contempt or disrepute
Flag of Italy (for pasta)	Insignia of a foreign nation
Graphic pictures of nude figures (for wearing apparel)	Immoral or scandalous matter
Photograph of Brad Pitt (for salad dressing) (unconsented)	Unconsented use of living person's portrait
PETERSON (for hiking boots)	Primarily merely a surname
LEATHERETTE (for gloves made of vinyl)	Deceptive
PARISIAN EROS (for perfume not from Paris)	Geographically deceptively misdescriptive
BREADSPREAD (for margarine) (without proof of secondary meaning)	Merely descriptive
NIKEE (for athletic gear)	Confusingly similar to a registered mark
SPIROS' OLYMPIC RESTAURANT (& DESIGN OF FIVE RINGS)	Statutorily protected matter
Shape of piano (needed for acoustical reasons)	Functional

EXHIBIT 2-6 Matter Excluded from Protection

U.S. PATENT AND TRADEMARK OFFICE

The government agency responsible for reviewing trademark applications and issuing registrations is the U.S. Patent and Trademark Office (USPTO). The official address varies depending on the particular issue involved. The USPTO is physically located in several buildings at 600 Dulany Street, Alexandria, Virginia 22314. The USPTO maintains an excellent website at <http://www.uspto.gov>, offering general information, instructional videos and tutorials, updates on new issues, forms for downloading, a database of more than four million registered, pending,

and dead trademarks, statistics, lists of USPTO fees, and a wide variety of other valuable information. (See Exhibit 2-7 for a list of frequently called USPTO telephone numbers.)

The trademark section of the USPTO is divided into a variety of different departments, such as one handling assignments, one dealing with postregistration matters, and one dealing with intent-to-use applications. Due to the spread of computer and communications technology throughout the world, the USPTO has a busy workload. New trademark applications increased by 7 percent in 2011 over 2010, with the USPTO receiving 301,826 applications in 2011.



CHAPTER 4

The Trademark Registration Process

CHAPTER OVERVIEW

From the discussion in Chapter 2, it is clear that federal registration of a mark offers a trademark owner distinct advantages over mere reliance on common law or state trademark rights. There are two primary paths to registration for U.S.-based applications: a use-based application (alleging use in interstate commerce) and an intent-to-use application (alleging a bona fide intent to so use the mark in the future). Both types of applications share many common features and progress through the registration process in a fairly similar fashion. The process for federal registration of a mark can be expensive and can take as long as 10 to 18 months, even if there are no significant problems or delays. Registrations based on foreign applications or foreign registrations are discussed in Chapter 8.

PREPARING THE APPLICATION

Introduction

Once a mark has been selected and cleared for use and registrability, an application for federal registration of the mark should be prepared and filed. The application consists of a request for registration, information about the applicant (such as name, address, citizenship, and domicile), an identification of the goods and/or services offered under the mark, a drawing of the mark, a verification or declaration signed by the applicant or agent or attorney, the basis for filing the application (namely, whether the application is based on actual use of the mark or the owner's intent to use the mark), a specimen showing use of the mark (if the application is based on use), and a filing fee. The process of moving an application through the USPTO is called **prosecution**.

The application must be in English. Fill-in forms for electronically filed applications are provided by the USPTO. The USPTO "strongly discourages" paper or "self-created forms" and prefers that applicants use its electronic application system, which nearly all applicants do.

The USPTO does not generally require that the documents submitted to it be originals. Photocopies may be submitted (except for foreign registrations and certain other special documents for which certified copies are required). Thus, if a client signs an application and returns it to your office by facsimile (fax), you may photocopy the signature page, attach it to the application, and file it with the USPTO, as long as the signature is legible.

The USPTO permits the filing by fax of most papers and documents; however, trademark applications are not acceptable by fax. They must be hand-delivered to the USPTO, filed by mail, or, preferably, submitted electronically.

All of the requirements relating to the filing and prosecution of trademark applications are

governed by the *Trademark Manual of Examining Procedure (TMEP)*, an excellent source of materials with numerous examples and case citations. Most trademark practitioners keep the TMEP handy at all times. The TMEP is also available on the USPTO website at <http://tess2.uspto.gov/tmdb/tmep>. Bookmark this site.

The USPTO introduced its electronic filing system in 1998. The **Trademark Electronic Application System (TEAS)** permits applicants to file nearly all documents electronically. For example, applicants can fill out a trademark application form electronically and submit it directly to the USPTO over the Internet, paying by credit card, automated deposit account, or electronic funds transfer. In addition to trademark applications, documents relating to maintenance and renewals of trademarks, petitions, and responses to USPTO inquiries and office actions can be filed electronically. Documents can also be prepared using the USPTO online forms, printed out, and then mailed to the USPTO (although this is somewhat rare and is disfavored by the USPTO).

When a document is filed electronically, the USPTO receives it within seconds after filing and promptly issues a confirmation of receipt (called a "success" page or screen) of electronic filing. These electronically filed documents are examined more quickly than their paper counterparts. Documents submitted electronically using TEAS are considered filed on the date the USPTO receives the transmission (even if that day is a Sunday or holiday).

Documents requiring signatures use a symbol adopted by the applicant as a signature, for example, /john h. taylor/, or /jht/, or a scanned pen-and-ink signature. Similarly, when submitting an image or specimen, the applicant must submit a digitized image in .jpg or .pdf form.

The USPTO prefers that applicants file documents electronically using TEAS, and by 2008, 97 percent of all trademark applications were filed

electronically. The USPTO almost exclusively communicates with customers electronically. By 2011, more than 70 percent of all trademark applications were filed, processed, and disposed of relying completely on electronic systems and communications. The TEAS system can be accessed at <http://www.uspto.gov>.

The Applicant

An application to register a mark can be made only by the owner of the mark or, in the case of an intent-to-use application, by a person who has a bona fide intent to use the mark in commerce. Applicants may be natural persons or business entities such as corporations, partnerships, associations, unions, or other organizations. Government entities such as nations, states, municipalities, and other governmental bodies also can apply to register marks that they own. For example, the U.S. Office of Naval Research is the owner of the registered mark BLUE ANGELS®, and the New York State Department of Economic Development is the owner of the famous mark I LOVE NY® (with a heart design replacing the word “love”).

The applicant’s name must be in correct legal form. Thus, a corporation that owns a mark should be identified in the application by the name set forth in its articles of incorporation. Clients often abbreviate their corporate names or make mistakes in the punctuation of their corporate names. Because the certificate of registration will issue in the name of the applicant as set forth in the application, errors in an owner’s name will result in errors in the certificate of registration. Therefore, the secretary of state in the state in which the corporation was incorporated may need to be contacted to verify the precise spelling and punctuation of the corporate name. All states allow online verification.

If the applicant is a person or business that conducts business under a fictitious business name,

for example, “Sam Smith, doing business as ‘Sam’s Cheesecake Factory,’” the application should include the assumed name.

If the applicant is a partnership, for example, “Balboa Gardens Partnership,” the application should be made by the partnership itself and should identify the state in which the partnership was organized.

Identifying an applicant as a “company” or “firm” will result in rejection of an application because the terms do not have a specific meaning; the applicant must be expressly identified as a corporation, a partnership, a joint venture, a limited liability company, and so forth.

A trademark or service mark application is usually filed in the name of one party. Historically, the USPTO has been reluctant to accept applications by joint applicants because ownership by more than one party seems to be contrary to the function of a trademark to identify a single commercial source. Although an application by joint applicants is acceptable in some instances, for example, by a husband and wife who share joint ownership of a mark, an examining attorney at the USPTO will carefully scrutinize applications by joint applicants to ensure that both parties own the mark in common. A joint venture or a partnership are not joint applicants. A joint venture or a partnership is a single business applicant that owns a mark.

The application must specify the applicant’s citizenship. For an individual, it is sufficient to state that the applicant is a citizen of the United States, France, or some other country. For a corporation or other business entity, the state or country of organization must be identified. Thus, a statement that the applicant is “ABC Inc., a corporation organized under the laws of the State of California” is acceptable.

The written application must provide the address of the applicant, including the zip code number. An individual may identify a residence or business address. Corporations and other business entities should set forth their business addresses.

Identification of Goods or Services

The application must identify the goods and/or services offered or to be offered under the mark that is the subject of the application. Careful consideration must be given to drafting this part of the application. Goods and services are categorized by the USPTO into 45 separate classes, called **International Classes** because most other nations use this same classification system established by WIPO. Until 1973, the USPTO used a different classification scheme, called the United States Classification Scheme. Each class requires a filing fee (presently \$325 for electronic TEAS filing). Thus, an electronic application for the mark RALPH LAUREN® to be used in connection with paint in International Class (I.C.) 2, cosmetics in I.C. 3, stationery in I.C. 16, beverage glasses in I.C. 21, and clothing in I.C. 25, for a total of five classes, would require a filing fee of \$1,625. A registered mark only receives protection for those classes in which it is registered. Thus, if in an effort to save \$325, the application for the RALPH LAUREN mark does not include beverage glasses in I.C. 21, there will be no registration for the mark for those goods. Preparing the application requires careful analysis of all of the goods/services for which the mark will be used to ensure that the mark receives all the protection it needs. A detailed listing of the international classes with numerous examples is found in Chapter 1400 of TMEP, available on the USPTO's website. Alternatively, the USPTO offers its Trademark Acceptable Identification of Goods and Services on its website, allowing a search by key word. Thus, if you enter "baseball mitts" in the open field, you will be informed that these goods are in I.C. 28. (See Exhibit 4–1 for a list of the international classes and explanation of the goods/services in each class.)

If a mark is used for more than one class of goods or services, the applicant may either file a combined (or multiple-class) application, listing all

of the goods and services in the same application, or file entirely separate (or single-class) applications for each class of goods/services. The filing fees will be identical. Some attorneys prefer to file separate applications, believing that a defect in regard to one class of goods or services in a combined application will hold up registration for the mark in all classes. For example, if three separate applications are filed for goods in I.C. 3, 21, and 25, and there is a delay with regard to the goods in I.C. 25, the other two applications may proceed to registration, thereby allowing the applicant to secure a registration for the mark at least in regard to some goods. The final decision on whether to file a combined application or a separate application is one of tactics and strategy.

The USPTO requires that the identification of goods or services be as clear, accurate, and concise as possible. The accuracy of identification language is of particular importance because, although an identification may be limited or clarified, no addition to, or expansion of, an identification is permitted after an application is filed. Thus, if an application is filed on January 1 for women's clothing in I.C. 25 and the applicant later wishes to add perfume (in I.C. 3) to the application, such an amendment would not be allowed. The applicant would be required to file an additional application that would then have a later filing date than the first application filed January 1. The applicant may, however, amend the original application to clarify that the clothing to be offered consists of blouses, skirts, and pants. Thus, the applicant may amend from the general to the specific (but not the reverse). An applicant cannot attempt a blanket filing for "all the goods in I.C. 9." Such an application would be refused by the USPTO. If an applicant incorrectly classifies clothing in I.C. 26 rather than in I.C. 25, the USPTO will allow correction of this error.

Typically, the USPTO requires that the applicant use terms such as *namely* and *consisting of* when identifying goods. Thus, an identification of

International Class	Goods/Services	Explanatory Note
1	Chemicals	Includes chemicals used in industry, science, photography, manures, adhesives used in industry
2	Paints	Includes paints, varnishes, lacquers, raw natural resins
3	Cosmetics and cleaning preparations	Includes bleaching preparations and other substances for laundry use, soaps, cleaning preparations, perfumery, cosmetics, hair lotions
4	Lubricants and fuels	Includes industrial oils and greases, lubricants, candles, and wicks
5	Pharmaceuticals	Includes pharmaceuticals and other preparations for medical use, disinfectants, materials for dressings, food for babies
6	Metal goods	Common metals and their alloys, metal building materials, pipes and tubes made of metal, safes
7	Machinery	Machines and machine tools, motors and engines (except for land vehicles), agricultural implements
8	Hand tools	Hand tools, cutlery, razors
9	Electrical and scientific apparatus	Scientific, nautical, surveying, photographic, optical apparatus and instruments, cash registers, apparatus for recording, transmission, or reproduction of sound or images, magnetic data carriers, recording discs, calculating machines, data processing equipment, computer programs and software
10	Medical apparatus	Surgical, medical, dental, and veterinary apparatus and instruments, suture materials
11	Environmental control apparatus	Apparatus for lighting, heating, steam generating, cooking, drying, refrigerating, water supply, and sanitary purposes
12	Vehicles	Vehicles, apparatus for locomotion by land, air, or water, motors and engines for land vehicles
13	Firearms	Firearms, ammunition and projectiles, explosives, fireworks
14	Jewelry	Precious metals and goods in precious metals, jewelry, precious stones, clocks, watches
15	Musical instruments	Includes mechanical pianos, musical boxes, electrical and electronic musical instruments
16	Paper goods and printed matter	Paper, cardboard, printed matter, photographs, stationery, artists' materials, typewriters and office requisites (except furniture), instructional and teaching material, magazines, books
17	Rubber goods	Rubber, gum, plastics in extruded form, packing material, flexible pipes (not of metal)

EXHIBIT 4-1 List of International Classes

(Continues)

International Class	Goods/Services	Explanatory Note
18	Leather goods	Leather and imitations of leather, trunks, traveling bags, umbrellas, whips, saddlery
19	Nonmetallic building materials	Building materials (nonmetallic), asphalt, pitch, nonmetallic rigid pipes for building
20	Furniture and articles not otherwise classified	Furniture, mirrors, picture frames, goods of wood, cork, wicker, bone, shell, amber, and substitutes for all these materials
21	Housewares and glass	Household or kitchen utensils and containers (not of precious metal), combs and sponges, brushes, articles for cleaning purposes, glassware, porcelain, earthenware
22	Cordage and fibers	Ropes, string, nets, tents, awnings, tarpaulins, sails, sacks
23	Yarns and threads	Yarns and threads, for textile use
24	Fabrics	Textile goods not in other classes, bed and table covers
25	Clothing	Clothing, footwear, headgear
26	Fancy goods	Lace and embroidery, ribbons, braid, buttons, pins, needles, artificial flowers
27	Floor coverings	Carpets, rugs, mats, linoleum, wall hangings (nontextile)
28	Toys and sporting goods	Games and playthings, sporting articles, decorations for Christmas trees
29	Meats and processed foods	Meat, fish, poultry, game, preserved and cooked fruits and vegetables, jams and jellies, eggs, milk and milk products, edible oils and fats
30	Staple foods	Coffee, tea, sugar, rice, flour and preparations made from cereals, bread, pastries and confectioneries, honey, mustard, salt, yeast, spices
31	Natural agricultural products	Agricultural, horticultural, forestry products, and grains not in other classes, living animals, fresh fruits and vegetables, seeds, natural plants and flowers
32	Light beverages	Beers, mineral and aerated waters, and other nonalcoholic drinks, fruit drinks and juices, syrups
33	Wine and spirits	Alcoholic beverages (except beers)
34	Smokers' articles	Tobacco, smokers' articles, matches
Services		
35	Advertising and business	Advertising, business management, business administration, office functions
36	Insurance and financial	Insurance, financial affairs, monetary affairs, real estate affairs

EXHIBIT 4-1 (Continued)

37	Building construction and repair	Building construction, repair, installation services
38	Telecommunications	Includes services allowing at least one person to communicate with another by sensory means
39	Transportation and storage	Transport, packaging and storage of goods, travel arrangement
40	Treatment of materials	Includes mainly services rendered by the mechanical or chemical processing or transformation of objects or substances, for example, dyeing a garment or destruction of trash
41	Education and entertainment	Education, providing of training, entertainment, sporting, and cultural activities
42	Computer and scientific	Scientific and technological services and research and design relating thereto, industrial analysis and research services, design and development of computer hardware and software
43	Hotels and restaurants	Services for providing food and drink, temporary accommodations
44	Medical, beauty, and agricultural	Medical services, veterinary services, hygienic and beauty care for human beings or animals, agriculture, horticulture and forestry services
45	Personal	Legal services, personal and social services rendered by others to meet the needs of individuals, security services for the protection of property and individuals

EXHIBIT 4-1 (Continued)

“cosmetics, *namely*, lipstick and deodorant” is acceptable, while an identification of “cosmetics, *including* lipstick and deodorant” will be refused as indefinite and overbroad inasmuch as a reader cannot tell with specificity all of the goods that will be offered under the mark from reading the identification.

Finally, due to the increased volume of applications for computer-related goods in I.C. 9, the USPTO expressly requires that identifications of goods for computer software or comparable goods must specify the purpose or function of the program. For example, the following descriptions would be acceptable to the USPTO: “computer software

for word processing for accounting” or “database management software for use by financial advisers.” A broad description such as “computer programs in the field of medicine” is not acceptable. See Exhibit 4-2 for examples of identifications of goods and services.

Computer services are identified according to the class in which the underlying service is classified. Thus, banking services are in I.C. 36 (financial services) whether they are provided in a “brick-and-mortar” bank or online, and online bulletin boards and chat rooms are classified in I.C. 38 (telecommunications services) regardless of the content or subject matter.

Type of Mark	Mark	International Class	Goods/Services	Other Data
Trademark	POLO RALPH LAUREN	I.C. 3	Cologne, after-shave, toilet soap	Registration notes that “‘Ralph Lauren’ is a living individual whose consent is of record.”
Trade-mark (with disclaimer)	RAISIN BRAN CRUNCH	I.C. 30	Processed cereal	Registration notes the following disclaimer: “No claim is made to the exclusive right to use ‘Raisin Bran’ apart from the mark as shown.”
Service mark	PARAMOUNT (& DESIGN)	I.C. 41	Entertainment services, namely production of motion pictures and television programs	Registration notes, “The mark consists of the word ‘Paramount’ in stylized letters about five shadow mountain with an arc of stars surrounding it all.”
Design mark	[Design of Hat] registered to Walt Disney Company	I.C. 25	Hats	The registration notes, “The mark consists of the configuration of round mouse ears attached to a beanie.”
Service mark (with disclaimer)	JURASSIC PARK RIVER ADVENTURE	I.C. 41	Amusement park services	The registration notes the following disclaimer: “No claim is made to the exclusive right to use ‘River Adventure’ apart from the mark as shown.”
Certification mark	U2 (& DESIGN)	I.C. A (previous classification for certification marks)	Pressure vessels intended for high-pressure application	The registration notes, “The certification mark is used by persons authorized by applicant to certify that the products on which the certification mark is stamped meet applicant’s standards for the material, design, construction and workmanship of said products.”
Sound mark registered to Harlem Globetrotters	Sound mark	I.C. 41	Entertainment services in the nature of basketball exhibitions	Registration notes, “The mark consists of the melody ‘Sweet Georgia Brown.’”
Collective membership mark	AMERICAN BAR ASSOCIATION	I.C. 200 (previous classification system for collective marks)	Indicating membership in applicant	No other data noted

EXHIBIT 4–2 Samples of Identifications of Goods and Services

Basis for Filing Application and Method of Use

The application submitted to the USPTO usually specifies one of the following five bases for the application (and usually states the manner in which the mark is used, such as indicating that the mark is affixed to goods or used in advertisements offering services):

- **Actual Use.** The applicant claims actual use of the mark in commerce, specifying a date of first use in commerce (15 U.S.C. § 1051(a));
- **Intent-to-Use.** The applicant claims a bona fide intent to use the mark in commerce (15 U.S.C. § 1051(b));
- **Foreign application.** The applicant claims a bona fide intent to use the mark in commerce and that the mark is the subject of a prior foreign application (15 U.S.C. § 1126(d)); or
- **Foreign registration.** The applicant claims a bona fide intent to use the mark in commerce and that the mark is the subject of a prior foreign registration (15 U.S.C. § 1126(e)).
- **Extension of Protection.** The applicant, a foreign entity, files an application (or has a registration) in its home country and then files a request for an extension of protection to the United States under the Madrid Protocol (and claims a bona fide intent to use the mark in commerce). (15 U.S.C. § 1141f). Applications based on foreign applications and registrations are discussed in Chapter 8.

Recent cases confirm that a mere subjective statement that one has a bona fide intention to use a mark in the future is insufficient; an applicant should be prepared to substantiate its bona fide intent to use the mark through the use of documentary evidence, such as marketing and business plans. Thus, ITU applicants should possess a definite plan to use a mark and to have that plan evidenced by some

documents in order to ensure their applications do not fail on the basis that there was no bona fide intent to use the mark at the time the application was filed. The absence of any documentary evidence on the part of the applicant regarding its intentions may be sufficient to prove the applicant lacks a bona fide intent to use a mark. (See Case Illustration at the end of this chapter.)

If the basis for filing the application is not set forth in the application, it can be supplied during examination of the application.

DRAWING OF MARK

One of the most critical parts of the application is the **drawing** or the display of the mark sought to be registered. Because the drawing is entered into the automated records of the USPTO and is available to the public through TESS and TARR (discussed in Chapter 3) and because the drawing is used when the mark is ultimately published in the USPTO publication *Official Gazette* and is reproduced in the actual certificate of registration, the drawing must conform with specific USPTO requirements.

There are two types of drawings: standard character drawings and special form drawings. A *standard character drawing* is simply a typewritten display of the mark. For example, the word KRAFT® constitutes a standard character drawing. In reality, the display is not a “drawing” at all. A standard character drawing is used when the mark consists solely of words, letters, or numbers with no pictorial or graphical element. The application must include the following statement: “The mark consists of standard characters without claim to any particular font style, size, or color,” which statement will appear in the *Official Gazette* and on the certificate of registration. The applicant may use its standard character mark in any font, in bold or italicized letters, and in uppercase or lowercase letters. Prior to late 2003,

“standard character” drawings were called “typed” drawings and were always displayed entirely in uppercase letters.

A *special form drawing* is used when applicants seek to register a mark that includes a two- or three-dimensional design, color, and/or words, letters, or numbers or a combination thereof in a particular font style or size. For example, the well-known display of “Chef Boyardee” on various food products is an example of a special form or design mark. The USPTO now requires a description of the mark in any application to register a mark that is not in standard characters; this assists searchers attempting to locate marks including design elements such as stars, trees, or animals, for example.

Almost all trademark applications are now filed electronically through TEAS; thus, most drawings are submitted through TEAS. For standard character drawings, the applicant must enter the mark in the appropriate field or attach a digitized image of the mark. For special form drawings, the applicant must attach a digitized image of the mark in .jpg format. The USPTO states that the number one mistake applicants make when filing trademark applications is in the drawing.

If the trademark application is filed in paper form, there are numerous requirements relating to the type of paper used and the size of the drawing.

The precise and exacting requirements for the drawing correlate to the method for searching trademarks. If individuals could display marks in any format they desired, searching the USPTO records to determine if a confusingly similar mark exists would be nearly impossible. Moreover, the USPTO ultimately publishes the marks in the *Official Gazette*. Conformity in display of marks allows for ready review of the published marks.

Because applications filed under 15 U.S.C. § 1051(b) are based on an intent to use the mark in the future, an applicant may not have made a final determination on the exact appearance of a mark at

the time an application is filed. For intent-to-use applications, the USPTO will allow some minor variation between the drawing submitted at the time the application is filed and the mark as actually used. Nevertheless, the drawing must be a substantially exact representation of the mark as it will eventually be used.

If an applicant wishes to claim color as a feature of the mark, the application must so specify. For example, the applicant will be required to state “the color yellow is claimed as a feature of the mark.” If color is not claimed, the mark may be displayed in any color. Generally, therefore, color is claimed only when such a feature is critical to recognition of the mark, such as the golden color of McDonald’s “golden arches” mark or the yellow color of the “Livestrong” bracelets used by the Lance Armstrong Foundation.

No drawing is required if the mark consists only of a sound, scent, or other nonvisual matter. For these types of marks, the applicant must submit a detailed written description of the mark.

Specimens

If the application is made under 15 U.S.C. § 1051(a) and alleges that the mark has been used in commerce, the USPTO will require that the applicant submit proof of such use by providing a **specimen** of the mark showing exactly how the mark is seen by the public. One specimen must be filed for each class of goods named in the application. Thus, if the application is for HELENA (& SWAN DESIGN) for soap in I.C. 3 and sweaters in I.C. 25, two specimens must be submitted.

For applications filed electronically, the applicant must submit a digitized image of the specimen in .jpg or .pdf format. Most law firms use digital cameras to take pictures of their clients’ specimens and then download them and attach them to the electronic application.

For applications relating to goods, tags, containers, labels, and other similar items are preferred. For example, the best specimen for the soap just described would be a picture of the wrapper for the soap, clearly showing the mark HELENA (& SWAN DESIGN). An appropriate specimen for the sweaters would be a picture of an actual tag that is sewn into the back of the garments. The USPTO will accept these digitized photographs as long as the mark can be readily seen as being affixed to the item.

Advertising material is generally not acceptable as a specimen for *goods*. Thus, merely attaching a brochure or ad about products such as soap or clothing is insufficient. Similarly, letterhead displaying the mark and other similar materials such as invoices and business cards are not acceptable. The USPTO wishes to ensure that the mark is in actual use on the goods in question. Thus, mere promotional materials do not show use of goods. Nevertheless, a Web page that displays goods and their trademarks and provides for online ordering of such goods is an acceptable specimen.

Advertising materials may, however, be sufficient to show use of a mark in connection with *services*. Thus, if the mark CHUCKY'S FUN TIME is used for restaurant services, a digitized advertisement, coupon, brochure, direct-mail leaflet, or menu would be acceptable specimens inasmuch as

there will be no actual product or good displaying the CHUCKY'S FUN TIME mark. For sound marks, the specimen must be an electronic file (or audiocassette or compact disc if the application is in paper form) in .mp3 or similar format. If the mark includes color, the digitized image must show the mark in color.

Until 1999, the USPTO required three specimens for each class to be submitted at the time of filing of a use-based application. At present, one specimen per class is required, and although applicants may submit specimens during examination, nearly all applicants submit the specimen with their use-based applications.

Declaration and Signature

The application must be signed by and include a declaration or verification by the applicant or its agent or attorney. The **declaration** is a statement placed at the end of the application whereby the signatory acknowledges that the statements in the application are true and that the signatory understands that willful false statements are punishable by fine or imprisonment and may jeopardize the validity of the application or any registration resulting from the application. (See Exhibit 4–3 for form of declaration.)

The undersigned being warned that willful false statements and the like are punishable by fine or imprisonment, or both, under 18 U.S.C. § 1001, and that such willful false statements and the like may jeopardize the validity of the application or document or any registration resulting therefrom, declares that all statements made of his/her own knowledge are true; and that all statements made on information and belief are believed to be true.

(Signature)

(Print or Type Name and Position)

(DATE)

EXHIBIT 4–3 Declaration for Trademark Application

The declaration is intended to impress upon the signatory the seriousness of the trademark application procedure to ensure that applicants do not claim earlier use dates than those to which they are entitled and do not attempt to “lock up” marks for the purpose of reselling them to others. The applicant or its agent or attorney must then sign the application. For applications filed electronically through TEAS, the filer may use a symbol as a signature (such as /jane smith/). Alternatively, the application is completed online and then printed and given to the signatory who signs it in pen and ink. The document is then scanned to create a .jpg image and is transmitted electronically to the USPTO.

If the application is one made by an individual, this individual will sign the document. If the applicant is a corporation or partnership, the application is usually signed by an officer of the corporation or a general partner, respectively. Joint applicants should each sign the application. Applicants not domiciled in the United States may appoint a “domestic representative” in the United States, namely, a party, typically a law firm, who will receive documents and notices affecting the mark and will communicate with the USPTO on behalf of the applicant. Although these foreign applicants are not required to designate to domestic representative, the USPTO encourages them to do so.

Although an owner of a trademark may file and prosecute his or her own application for registration of a mark, trademark owners are often represented by attorneys familiar with trademark practice. Any attorney licensed to practice may practice before the USPTO, and there is no requirement for any special trademark registration with the USPTO. When attorneys represent applicants, the application may contain a power of attorney designating the attorney to represent the applicant regarding all matters related to the mark. A power of attorney is no longer required, however, for an attorney to sign a declaration on behalf of an applicant.

The Principal and Supplemental Registers

The application should designate whether the application seeks registration on the Principal Register or the Supplemental Register. The **Principal Register** is the primary trademark register of the USPTO. A mark registered on the Principal Register is entitled to all of the rights provided under the Trademark Act. Registration on the Principal Register is preferred because it offers a wider scope of protection for a mark. A mark not eligible for registration on the Principal Register—for example, a descriptive mark that has not yet acquired secondary meaning—may be registered on the **Supplemental Register**. Registration on the Supplemental Register is an indication that a mark does not yet distinguish, but ultimately is capable of distinguishing, the applicant’s goods or services from those of another. Once the mark has acquired distinctiveness, a new application can be filed seeking registration on the Principal Register. In fact, after five years of substantially continuous and exclusive use of a mark, there is a presumption that it has acquired the necessary distinctiveness to allow for registration on the Principal Register, and the registrant may file a new application for registration of the mark on the Principal Register.

The distinctions between registrations on the Principal Register and Supplemental Register are as follows:

- While a registration on the Principal Register is *prima facie* (literally, “at first sight” or “on its face”) evidence of the registrant’s exclusive right to use of the mark, registration on the Supplemental Register has no such evidentiary effect.
- A registration on the Principal Register is constructive notice of a claim of ownership so as to eliminate a defense of good faith in an infringement suit, but a Supplemental Registration has no such effect.

- While a registration on the Principal Register may become incontestable after five years of registration, a Supplemental Registration may never achieve that status.
- Registration on the Supplemental Register cannot be used to stop importations of infringing goods into the United States.

On the other hand, registration on the Supplemental Register does afford some protections:

- An action for infringement of the mark can be brought in federal court.
- The registration will be on file with the USPTO and can be cited by the USPTO against another's subsequent application to register a confusingly similar mark.
- The registration will be located through standard searches of USPTO records, thus possibly deterring others from using or applying for a similar mark.
- The registrant is entitled to use the registration symbol (®).

FILING THE APPLICATION, DOCKETING CRITICAL DATES, AND INITIAL ROLE OF THE U.S. PATENT AND TRADEMARK OFFICE

Filing the Application

The application must be filed with the USPTO within a reasonable time after it has been signed by the applicant, generally within one year after signature. The application must be accompanied by a filing fee for each class of goods and/or services.

The amount of the trademark application fee varies depending on whether the application is filed on paper or electronically. To encourage electronic filing, the USPTO reduces fees for applications filed electronically through TEAS from \$375 to \$325.

A newer system called TEAS Plus reduces application fees even further, to \$275. To qualify for TEAS Plus, an applicant must use a description of goods and services from the USPTO Manual (rather than some customized description), agree to file other documents electronically, and agree to receive communications from the USPTO by e-mail. Applications for certification and collective marks are not eligible for TEAS Plus filing.

To simplify the payment process, many applicants establish **deposit accounts** with the USPTO and deposit a certain amount of money (at least \$1,000) into an account against which fees can be drawn. Alternatively, the USPTO accepts payment of fees by credit card, electronic funds transfer, and check. Trademark fees are set forth at the USPTO website at <http://www.uspto.gov>. (See Exhibit 4–4 for a schedule of USPTO filing fees.)

An advantage of filing electronically through TEAS is that the USPTO immediately issues a confirmation of filing via e-mail (the **success screen** or page) as well as a separate e-mail acknowledgment of receipt that includes the serial number (a number that follows the application throughout the prosecution process), filing date, and a summary of the application details. At present, applications filed through TEAS begin with the two-digit serial number “85,” those filed on paper begin with “76,” and those “international applications” based on requests for extension of protection under the Madrid Protocol begin with “79.”

The filing date of the application is critical because it initiates various time limits. For example, applicants have a duty to inquire about the status of an application if they do not hear from the USPTO within six months of any filing. Thus, the filing date should be calendared or docketed so that you can ensure the USPTO has provided you with some correspondence or action within six months of the filing date. Similarly, if the application is filed based on an applicant's intent to use the mark in the future, the

Application for registration, per class (paper filing)	\$375
Application for registration, per class (electronic TEAS filing)	\$325
Application for registration, per class (electronic TEAS Plus filing)	\$275
Filing an amendment to allege use, per class	\$100
Filing a statement of use, per class	\$100
Filing a request for extension of time to file a statement of use, per class	\$150
Application for renewal, per class	\$400
Additional fee for late renewal or late Section 8 affidavit, per class	\$100
Issuing a new certificate of registration	\$100
Filing an amendment or correction to registration certificate	\$100
Filing Section 8 affidavit of use of mark, per class	\$100
Filing Section 15 affidavit to achieve incontestability, per class	\$200
Petition for cancellation, per class	\$300
Notice of opposition, per class	\$300
Dividing an application, per each new application created	\$100
Certified copy of registered mark	\$15
Certified copy of trademark file wrapper	\$50
Recording a trademark assignment (for first mark)	\$40
For subsequent marks in the same document	\$25 each

EXHIBIT 4–4 Schedule of USPTO Filing Fees (Trademark Matters)

filing date constitutes **constructive use** of the mark. For example, if an intent-to-use application is filed on June 1, 2011, and the mark is ultimately registered, the date for determining priority between conflicting parties is June 1, 2011, even though the mark may not have been actually used until December 1, 2011, and may not have achieved registration until February 1, 2012. Finally, if an applicant wishes to file an application for the mark in a foreign country that is a member of the Paris Convention (discussed in Chapter 8), it has six months from the filing date within which to do so and thereby claim the date of the filing in the United States.

Docketing Critical Dates

Most law firms and offices that do a significant amount of trademark work have sophisticated computer programs that automatically docket critical

dates. Such systems will automatically flag a file and provide notification that no action has been taken on an application within a certain period of time so the applicant may investigate the problem. Nevertheless, most firms (and some malpractice carriers) also require that trademark practitioners maintain their own dockets, whether by means of an independent computerized system such as the Google or Microsoft Outlook calendaring tools or a simple tickler file composed of index cards and divided into monthly categories, to serve as reminders of needed action in the coming months. The very nature of trademark work is deadline-sensitive. Failure to take certain actions on a timely basis may result in abandonment of a mark or application unless the delay was unintentional. Therefore, the utmost care must be taken to protect a client's interests. Develop a docketing system that works effectively and maintain it diligently. Failure to do so may be malpractice.

Initial Role of the U.S. Patent and Trademark Office: The File Wrapper and the Official Filing Receipt

When the USPTO receives a TEAS application, it creates an electronic file, usually referred to as the **file wrapper**, which is the official USPTO file, and it contains the application, drawing, specimens, and all communications with the USPTO. Documents in these electronic file wrappers can be viewed and downloaded using the USPTO's system called **Trademark Document Retrieval (TDR)**. Nearly all applications are available through TDR, and the USPTO is in the process of converting older paper files into digitized formats so they may be accessed via TDR. The USPTO no longer creates and maintains paper file copies of trademark applications and now relies exclusively on data submitted or captured electronically. Applications submitted electronically through TEAS are accessible nearly immediately through the USPTO's website.

Immediately after an electronic application is filed, the USPTO will issue an e-mail confirmation of filing.

The filing receipt will confirm the filing date of the application, provide a serial number, and confirm all details of the application, including dates of first use, basis for filing, applicant's name and address, the goods or services offered under the mark, and the international class. Because the filing receipt reflects what the USPTO believes to be the pertinent details of the application, it should be carefully scrutinized for correctness. If there are any errors, even minor spelling mistakes, the applicant should immediately inform the USPTO. Failure to notify the USPTO of some discrepancy may result in the certificate of registration including the erroneous information. Once the filing receipt or e-mail confirmation is received, the docketing system should be updated to ensure that additional action is taken on the application within six months thereafter.

THE EXAMINATION PROCESS

Examination Procedure

After the USPTO issues its e-mail confirmation, the application is assigned for review to an examining attorney. Many examining attorneys move into private practice after a few years with the USPTO. Examining attorneys are assigned to "law offices" within the USPTO, each of which has responsibility for certain types of applications. For example, all applications relating to computer programs may be assigned to Law Office 106, while all applications dealing with wines and spirits may be assigned to Law Office 114. Concentrating similar applications in a given law office allows examining attorneys to become expert with certain types of applications, thereby facilitating the registration process. It is the function of an examining attorney to review the application, search the USPTO files to determine if the mark applied for is confusingly similar to another, make a determination on whether the mark is registrable, and ultimately either refuse registration of the mark or approve it for publication. Examination is the least predictable stage of the prosecution process. Applications by the same party for identical or similar marks, called **companion applications**, are usually handled by the same examining attorney. Conversely, applications by different parties for conflicting marks, called **conflicting applications**, are not handled by the same examining attorney, although the actions of the examining attorneys should be consistent.

Office Actions and Refusals to Register Marks

Approximately three months after the application is filed, the examining attorney assigned to the application will issue a "first action" or **office action** regarding the application if there are any defects in the application. If there are no defects in a use-based

application, the USPTO will approve the application for publication in the *Official Gazette*. The office action is a written communication sent by the examining attorney to the applicant (or, more likely, to the applicant's attorney) that states that the mark has been refused registration and explains why registration has been refused. All office actions must be responded to within six months to avoid abandonment of the application. Most office actions are sent by e-mail. To monitor pending applications, either use TARR (by entering a serial number) or TESS, through the USPTO website.

Curing Informalities and Technical Defects in the Application. In many instances, the application may contain deficiencies that must be corrected before the application may be approved. For example, the applicant's name may be identified as "Lee Inc.," in the application itself and yet be signed by an officer on behalf of "Lee Co." The state of incorporation may need to be specified for a corporate applicant. The identification of goods or services may lack specificity, and the examining attorney may require clarification to the identification. In many instances, the office action suggests that the applicant telephone or e-mail the examining attorney to resolve the issue (within the six-month period for response) and often suggests a remedy for the defect. The applicant and the examining attorney are often able to resolve the issue in such a telephone or e-mail communication. Thereafter, the examining attorney will issue an **Examiner's Amendment** setting forth the agreed-upon correction or clarification, thereby eliminating the need for the applicant to file a formal written response to the office action. A use-based application will proceed to publication after the examiner's amendment has corrected any technical informality in the application. The USPTO encourages such telephonic and e-mail communications because they expedite the application process.

Substantive Refusals. In many instances, the refusal to register is not due to some minor or technical error in the application that can be readily corrected by an examiner's amendment but is due to a more significant or substantive defect or due to a statutory provision that would preclude registration. In these cases, the examining attorney will set forth the reason the mark has been refused registration. The applicant will then have six months to respond in writing to the office action and present arguments supporting registration. Some of the more common substantive or statutory refusals to register are as follows:

- The mark is immoral or scandalous.
- The mark is deceptive.
- The mark disparages a person or a national institution or displays the flag or insignia of a nation.
- The mark displays a portrait of a living person without his or her consent.
- The mark is primarily merely a surname.
- The mark is geographically deceptively misdescriptive.
- The mark is primarily merely descriptive.
- The mark is confusingly similar to another registered or applied-for mark at the USPTO.

Applicants who receive an office action refusing registration on one of these grounds generally submit written arguments to persuade the examining attorney to allow the mark for registration. Case law and other evidence may be cited. For example, if the mark is refused on the basis that it is primarily merely a surname, the applicant may submit telephone book or Internet directory evidence to show the name is so rare that consumers who encounter the mark would not perceive it to be primarily a surname. If a person's consent is needed, the applicant should secure it.

Refusals on the Basis of Descriptiveness. One of the most serious refusals occurs when the examining attorney refuses registration on the basis

that the mark is merely descriptive and is thus barred under 15 U.S.C. § 1052(e)(1). The applicant will then submit a response to the office action arguing that the mark is not descriptive. Common arguments asserted by the applicant are as follows:

- The applicant may argue that the mark is not descriptive but is rather suggestive and therefore entitled to registration. To support such an assertion, the applicant may cite marks in case law that have been found to be suggestive and analogize them to the mark at issue. The applicant may also conduct a search of USPTO records to locate other similar marks that were allowed to proceed to registration. These third-party registrations, however, are not conclusive. The USPTO may characterize the earlier allowed marks as mistakes that it need not repeat.
- The applicant may argue that the cases cited by the examining attorney in support of the refusal to register are inapplicable, and attempt to distinguish the present situation from that presented in the case law relied upon by the examining attorney.
- If the mark has been in commerce for five years, there is a presumption that it has acquired distinctiveness. In such a case, the USPTO will allow the applicant to claim distinctiveness under 15 U.S.C. § 1052(f) and the mark can proceed to registration. The wording for a claim of acquired distinctiveness is as follows:

The mark has become distinctive of Applicant's goods [or services] through the Applicant's substantially exclusive and continuous use in commerce for at least the five years immediately before the date of this statement.

- If the mark has not acquired distinctiveness through continuous use for five years, the applicant may attempt to introduce evidence to show the mark has acquired distinctiveness or

secondary meaning through its significant use, sales, and advertising such that consumers associate the mark with the applicant. The applicant typically submits evidence consisting of sales and advertising data, survey evidence, and declarations from customers and consumers who confirm they are familiar with the mark and recognize the applicant as the source of the goods offered under the mark.

If none of these arguments is successful, the applicant may be allowed to amend the application to seek registration on the Supplemental Register *if* use of the mark has begun. Applications based solely on intent to use cannot be transferred to the Supplemental Register until after the applicant has shown actual use of the mark, because registration of U.S.-based trademarks is dependent on use in commerce.

If only a portion of the mark is descriptive or generic, that portion may be *disclaimed*. The purpose of a **disclaimer** is to allow registration of a mark that includes nonregistrable matter. For example, in the mark BOLERO TASTY COFFEE (used in connection with coffee), the words *tasty coffee* would likely have to be disclaimed because they merely describe something about the goods offered under the mark. A disclaimer is an acknowledgment by an applicant that he or she does not claim exclusive rights in the matter disclaimed (in this case, the wording *tasty coffee*), apart from the mark as a whole. Disclaimers preserve the rights of other businesses to use needed terms such as *tasty* and *coffee*. Some marks, called **composite marks**, consist of both wording and design elements. If the wording in a composite mark is descriptive or generic, the applicant may have to disclaim exclusive rights to all of the wording, leaving the applicant with exclusive rights only to the design component. An applicant may not disclaim an entire mark.

A disclaimer does not affect one's common law rights; neither does it mean that the mark as a whole

is not protectable. In the hypothetical, use by another company of VOLERO TASTY COFFEE could likely be enjoined on the basis of confusing similarity; however, a mark such as SUNRISE TASTY COFFEE would likely be allowable, inasmuch as the marks can be distinguished on the basis of their nondescriptive components.

The proper wording for a disclaimer is as follows: “No claim is made to the exclusive right to use ‘tasty coffee’ apart from the mark as shown.”

(See Exhibit 4–2 for examples of disclaimers.)

Refusals on the Basis of Confusing Similarity. In addition to refusing to register a mark on the basis that it is merely descriptive, another substantive or statutory ground for refusal to register is that the mark applied for so resembles a mark registered or applied for with the USPTO that, when used in connection with the goods or services of the applicant, it would be likely to cause confusion, mistake, or to deceive consumers. 15 U.S.C. § 1052(d). In fact, a refusal on the basis of confusing similarity to other marks is the most common objection made by the USPTO to an application to register a mark.

In determining whether a mark applied for is confusingly similar to a prior registered or applied-for mark, a variety of factors, identified in *In re E. I. du Pont de Nemours & Co.*, 476 F.2d 1357 (C.C.P.A. 1973), are considered, including the following:

- The similarity of the marks in their entireties in regard to appearance, sound, connotation, and commercial impression;
- The similarity and nature of the goods or services offered under the respective marks;
- The similarity of the channels of trade in which the goods or services are offered, for example, whether the goods or services offered under the mark are offered through retail or wholesale channels of trade;
- The buyers to whom sales are made and the conditions of such sales, for example, whether purchases are made on impulse or after due care and deliberation;
- The fame of the prior mark (sales, advertising, length of use, and so forth);
- The number and nature of similar marks in use on similar goods or services; and
- The nature and extent of actual confusion.

The goods or services need not be identical for confusion to be found, as long as they are related in some manner. Thus, MARTIN’S for bread was held likely to be confused with MARTIN’S for cheese on the basis the marks were used in connection with related food products. *In re Martin’s Famous Pastry Shoppe, Inc.*, 748 F.2d 1565 (Fed. Cir. 1984). If the item is purchased by consumers on “impulse,” such as an inexpensive beverage, confusion will be more likely than if the item is expensive, is purchased by sophisticated consumers, and is purchased only after great thought and care. The USPTO does not use a mechanical approach in determining whether confusion is likely to occur; rather, an examination is made of all the factors. If there is any doubt about whether there is a likelihood of confusion, doubt will be resolved against the newcomer. Additional information relating to likelihood of confusion analysis is found in Chapter 6 in the discussion of trademark infringement. (See Exhibit 4–5 for a comparison of some marks alleged to be confusingly similar.)

An applicant whose mark is rejected on the basis of confusing similarity will attempt to overcome the refusal to register by citing case law and analogizing cases in which confusion was not found, submitting evidence showing that the goods are not in the same channels of trade and that they are offered to different or sophisticated purchasers, and by submitting copies of other registered marks that have been allowed to coexist.

Mark #1	Mark #2	Result
CONFIRM (for medical-related goods)	CONFIRMCELLS (for blood reagents)	Confusingly similar due to related goods
LAREDO (for land vehicles)	LAREDO (for pneumatic tires)	Confusingly similar due to related goods
LITTLE PLUMBER (for liquid drain opener)	LITTLE PLUMBER (for advertising services)	Not confusingly similar because goods/services not related
BIGG'S (for grocery and general merchandise store)	BIGGS (& DESIGN) (for furniture)	Confusingly similar due to related goods
GOLDEN GRIDDLE PANCAKE HOUSE (with "Golden Griddle" disclaimed) for restaurant services	GOLDEN GRIDDLE (for table syrup)	Confusingly similar due to related goods
CAREER IMAGE (STYLIZED) (for women's clothing and store services)	CREST CAREER IMAGES (for uniforms)	Confusingly similar due to related goods/services
TMM (for computer software)	TMS (for computer software)	Confusingly similar due to similarity in appearance
COBBLER'S OUTLET (for shoes)	CALIFORNIA COBBLERS (STYLIZED) (for shoes)	Not confusingly similar due to weakness of common element "COBBLERS"
BEST JEWELRY (& DESIGN) (for jewelry store services)	JEWELERS' BEST (for jewelry)	Not confusingly similar because marks create different commercial impression
TRUCOOL (for synthetic coolant)	TURCOOL (for cutting oil)	Confusingly similar due to similarity in appearance
SEILER'S (for smoked and cured meats)	SEILER'S (for catering services)	Confusingly similar due to appearance of marks and related goods and services

EXHIBIT 4–5 Comparison of Marks Alleged to be Confusingly Similar and Action Taken by USPTO and Courts

Alternatively, the applicant may contact the owner of the cited mark and seek a license to use the mark or seek its consent to coexistence and registration. The applicant may need to pay the prior user some amount of money to secure the consent. Although the USPTO is not bound to accept such a coexistence or consent agreement, generally the USPTO does so, believing that the owners of marks are in the best position to evaluate whether conflicts

might exist and that if they believe no confusion would result from coexistence of the marks, the USPTO should affirm their decision. See Chapter 6 for further discussion of consent agreements.

If there is a conflicting mark in a pending application, action on the application with the later filing date will be suspended until the mark in the conflicting application with the earlier filing date is either registered (in which case the later-filed application

will be refused) or abandoned (in which case the later-filed application can proceed to registration).

Responses to Office Actions. An applicant has six months to respond to an office action. Failure to respond within the appropriate time period will result in abandonment of the application unless the delay was unintentional (in which case an abandoned application may be revived if a petition to revive is filed within two months after notice of abandonment from the USPTO).

As soon as an office action is received, its response date should be docketed. The client should then be informed in writing of the basis for the USPTO's refusal to register the mark. The law firm typically recommends a course of action and provides an estimate of the costs and fees the client can expect to incur in responding to the office action along with some assessment of the likelihood of success. The IP professional should continue to monitor the matter to ensure the client provides appropriate and timely instructions so the law firm can respond to the office action.

In some instances, a second office action may be issued after the applicant's response to the initial office action. Ultimately, the application will either proceed to the next step (publication) or will be subject to a "final refusal." Once a final refusal has been issued, the applicant's only recourse is to comply with the examining attorney's requirements, request reconsideration by bringing new matter before the examining attorney, or appeal the refusal to the Trademark Trial and Appeal Board (TTAB). Adverse decisions of the TTAB are reviewable by the U.S. Court of Appeals for the Federal Circuit and then by the U.S. Supreme Court if it decides to take the case. The Federal Circuit can set aside USPTO findings only when the findings are arbitrary, capricious, an abuse of discretion, or unsupported by substantial evidence. *Dickinson v. Zurko*, 527 U.S. 150 (1999). As an alternative to filing an appeal with the Federal

Circuit, the applicant can initiate an action in federal district court where the issue of registrability of the mark will be determined *de novo* (literally, "anew").

Generally, an appeal may be taken to the TTAB for any final decision of an examining attorney. An appeal is taken by filing a notice of appeal and by paying the appeal fee of \$100 (per class) within six months of the mailing date of the action the party wishes to appeal.

An applicant who wishes to contest a refusal based on substance (such as a rejection of an application because the mark is merely descriptive) should file an appeal to the TTAB. If, however, the only issue in dispute is a question regarding the applicant's compliance with a technical provision of trademark rules, the applicant should file a petition to the Director rather than appeal.

For example, if a trademark application is refused on the basis that the mark is confusingly similar to that of another, an appeal should be taken to the TTAB. If a question arises as to whether a disclaimer was properly printed in standardized format, a petition to the Director should be filed.

POSTEXAMINATION PROCEDURE

Publication in the *Official Gazette*

Assuming the applicant responds satisfactorily to the office action, the examining attorney will approve the mark for publication in the weekly *Official Gazette* (usually called the *OG*; see Exhibit 4–6). The mark as applied for (wording, design, or some combination thereof) will be reproduced as the applicant set it forth in the drawing page together with an identification of the owner, a description of the mark, the goods or services offered under the mark, and the filing date and serial number of the application. The purpose of publication is to afford interested parties the opportunity to review the mark and oppose its registration, usually on the basis that the

	TM 996	OFFICIAL GAZETTE	OG Publication Date
Serial Number of Application	CLASS 30—(Continued). SN 85-005,940. MOLINOS VALLE DEL CIBAO, C POR A, SANTIAGO, DOMINICAN REP. FILED 4-5-2010.	CLASS 30—(Continued). SN 85-006,276. MOLINOS VALLE DEL CIBAO C POR A, SANTIAGO, DOMINICAN REP. FILED 4-5-2010.	MARCH 15, 2011
Applicant			
Filing Date			
Mark	Tom Ton		
	THE MARK CONSISTS OF STANDARD CHARACTERS WITHOUT CLAIM TO ANY PARTICULAR FONT, STYLE, SIZE, OR COLOR. OWNER OF DOMINICAN REP REG. NO. 176409, DATED 9-30-2009, EXPIRES 9-30-2019. FOR FLOURS AND CEREAL-BASED MIXES FOR MAKING SWEET AND SALTED COOKIES (U.S. CL. 46). RAMONA ORTIGA, EXAMINING ATTORNEY		
	SN 85-005,952. MOLINOS VALLE DEL CIBAO, C POR A, SANTIAGO, DOMINICAN REP. FILED 4-5-2010.	OWNER OF DOMINICAN REP REG. NO. 51000, DATED 8-31-2009, EXPIRES 8-31-2019. THE COLOR(S) BLACK AND WHITE IS/ARE CLAIMED AS A FEATURE OF THE MARK. THE MARK CONSISTS OF THE WORD "SPONGGY" WRITTEN IN BLACK STYLIZED SCRIPT WITH THE TAIL OF THE LETTER "S" FORMING A PARTIAL BLACK UNDERLINED OF THE WORD. EACH LETTER HAS A WHITE BORDER AND WHITE HIGHLIGHTING. THE WORD RESTS UPON A BLACK STAR SHAPED DESIGN. THE WORDING "SPONGGY" HAS NO MEANING IN A FOREIGN LANGUAGE. FOR FLOURS AND CEREAL-BASED MIXES FOR MAKING SWEET AND SALTED COOKIES (U.S. CL. 46). KATHLEEN M. VANSTON, EXAMINING ATTORNEY	
Standard Character Claim	THE MARK CONSISTS OF STANDARD CHARACTERS WITHOUT CLAIM TO ANY PARTICULAR FONT, STYLE, SIZE, OR COLOR. OWNER OF DOMINICAN REP REG. NO. 176418, DATED 9-30-2009, EXPIRES 9-30-2019. FOR FLOURS AND CEREAL-BASED MIXES FOR MAKING SWEET AND SALTED COOKIES (U.S. CL. 46). RAMONA ORTIGA, EXAMINING ATTORNEY		
Goods Covered by Application	SN 85-005,960. MOLINOS VALLE DEL CIBAO, C POR A, SANTIAGO, DOMINICAN REP. FILED 4-5-2010.	SN 85-006,612. BURGERMEISTER MANAGEMENT, INC., SAN FRANCISCO, CA. FILED 4-5-2010.	
		Veggie Meister	
Claim of Color	OWNER OF DOMINICAN REP REG. NO. 176418, DATED 9-30-2009, EXPIRES 9-30-2019. THE COLOR(S) PURPLE, PINK IS/ARE CLAIMED AS A FEATURE OF THE MARK. THE MARK CONSISTS OF THE LETTERS "MIAA" APPEARING IN PURPLE, WITH AN PINK OVAL OVER THE "I". FOR FLOURS AND CEREAL-BASED MIXES FOR MAKING SWEET AND SALTED COOKIES (U.S. CL. 46). RAMONA ORTIGA, EXAMINING ATTORNEY	THE MARK CONSISTS OF STANDARD CHARACTERS WITHOUT CLAIM TO ANY PARTICULAR FONT, STYLE, SIZE, OR COLOR. NO CLAIM IS MADE TO THE EXCLUSIVE RIGHT TO USE "VEGGIE", APART FROM THE MARK AS SHOWN. THE ENGLISH TRANSLATION OF "MEISTER" IN THE MARK IS "MASTER". FOR SANDWICHES, NAMELY, VEGAN (U.S. CL. 46). ROBERT STRUCK, EXAMINING ATTORNEY	Disclaimer
Description of Mark			

EXHIBIT 4-6 *Official Gazette*Source: http://www.uspto.gov/web/trademarks/tmog/20110315_OG.pdf

mark is confusingly similar to another mark. Opposition actions are discussed in Chapter 6. Marks on the Supplemental Register are not published for opposition, but are issued as registered marks on the date that they are printed in the *Official Gazette*.

A notice of opposition (or request for extension of time to oppose) must be filed with the TTAB within 30 days of publication of the mark in the *Official Gazette*. Extensions of time to oppose may be granted as follows:

- A first request for a 30-day extension will be granted without a showing of good cause. Alternatively, a first request for a 90-day extension will be granted upon a showing of good cause.
- If the first request was for 30 days, a second request for a 60-day extension will be granted upon a showing of good cause.
- After receiving extensions totaling 90 days, a final request for a 60-day extension will be granted if the trademark applicant consents or if there is a showing of extraordinary circumstances. The time for filing an opposition may not be extended beyond 180 days from the date of publication in the *Official Gazette*.

Once again, docketing of dates is critical. A law firm not only should docket the date of its own clients' applications (so it can confirm that no one has opposed the clients' marks and, thus, the marks will proceed to registration), but also should review the *Official Gazette* to search for marks that may conflict with clients' marks and then notify the clients so they can have the opportunity to oppose other applications.

Because thousands of marks are published in the *Official Gazette* each week, it is virtually impossible for a firm with an active trademark practice to devote the effort needed to reading each week's *Official Gazette*. Most law firms suggest their clients authorize one of the professional search firms (identified in Chapter 3) to conduct a **watch service** to

review the *Official Gazette* and notify the firm of potential conflicts on a timely basis so the law firm can then inform the client that a conflicting mark may need to be opposed. Watch services can also monitor all applications filed at the USPTO after a client's application so immediate action can be taken against a conflicting mark. The cost of the watch services is approximately \$450 per year per mark, although costs can be higher if several international classes need to be watched or if the mark includes unique design features. The 52 most recent issues of the *Official Gazette* are available online at the USPTO's website.

Intent-to-Use Applications and Statements of Use

If the application was based upon the applicant's actual use of the mark in commerce, the **actual use application** will proceed to registration after the publication period (assuming a notice of opposition is not filed). If the application was based on the applicant's intent to use the mark in commerce in the future, the mark cannot proceed to registration until actual use has been shown.

Thus, for intent-to-use (ITU) applications, after publication (and no opposition), the USPTO will issue a **Notice of Allowance**, notifying the applicant that the ITU application has been allowed and granting the applicant six months (which may be extended for five additional six-month periods, up to a total of three years) within which to commence use of the mark and submit a statement and specimen verifying such use and the dates of first use. For example, if an ITU application has been published for opposition (with no one filing an opposition) and a notice of allowance is issued on June 1, 2012, the applicant will have until December 1, 2012, to file its **Statement of Use** (together with a specimen). If use is not commenced by December 1, 2012, the applicant may request an additional six-month period by

alleging that it continues to have a bona fide intent to use the mark. Up to four additional six-month extensions may be granted if the applicant alleges its continued good-faith intent to use the mark and shows good cause for the extension, namely, ongoing efforts to make use of the mark in commerce, such as stating the additional time is needed to conduct market research and promotional activities.

Some applicants file a request for an extension of time to file a statement of use *with* a statement of use, sometimes called an “insurance” extension, for the purpose of securing additional time in case there are any deficiencies in the statement of use. Such a course of action may be well advised if the applicant believes that the statement of use might be rejected (e.g., the applicant may be concerned that the specimen submitted with the statement of use materially varies from the original drawing). Then if the statement of use is rejected, the applicant will have additional time to correct any deficiency.

Note that the first request for extension of time is granted automatically; subsequent extensions must show good cause why the extension should be granted. If no statement of use is submitted by June 1, 2015, the application will be deemed abandoned (unless the delay was unintentional). Filing fees of \$100 are required for a statement of use and \$150 for each request for extension of time to file a statement of use for each class of goods/services covered by the application. (See Appendix D, Form 2, Statement of Use, and Form 3, Request for Extension of Time to File Statement of Use.)

The statement of use verifies that the mark is in use in commerce, specifies the date of first use, and is accompanied by a specimen (label, packaging, and so forth for goods or promotional material for services) showing actual use of the mark. If the application was a combined application (e.g., for pens in I.C. 16 and clothing in I.C. 25), and the applicant can only show use in regard to goods in one class, the application can be divided by filing a formal **Request**

to Divide (with the appropriate fee), with one class proceeding to registration and one lagging behind in a separate application.

If use of a mark was actually commenced during the application process of an ITU application, the applicant may file an amendment to its original application (called an **Amendment to Allege Use**) alleging that use has occurred and providing a specimen showing such use. The only significant difference between an amendment to allege use and a statement of use is the time of filing. The amendment to allege use may be filed during the initial examination phase, whereas the statement of use is not filed until after the USPTO issues a notice of allowance. An amendment to allege use or statement of use filed after the examining attorney approves the application for publication and before a notice of allowance is issued will be rejected. The period within which these documents cannot be filed is called the **blackout period**.

Statements of use and amendments to allege use are usually filed electronically through TEAS, with a digitized image of the required specimen. Once a mark that is the subject of an ITU application achieves registration, the filing date of the application is deemed to be the date upon which the owner first used the mark. This “constructive use” date is important to the trademark owner because it will allow the owner to defeat an intervening user who may have actually used the mark before the ITU owner but after the ITU owner’s application filing date. For example, assume the following dates for an application by Alpha Co. for SUNVISION for skin care products.

- Intent to use application filed by Alpha for SUNVISION on February 1, 2011.
- Actual use by Beta Co. for SUNNY VISION for skin care products on June 1, 2011.
- Use-based application filed by Beta Co. for SUNNY VISION on July 1, 2011.

- Notice of allowance issued for SUNVISION on February 1, 2012.
- Statement of use filed by Alpha for SUNVISION on May 1, 2012, alleging actual use began on April 15, 2012.
- Registration issues for SUNVISION on August 1, 2012.

Given these dates, SUNVISION has priority over SUNNY VISION because once SUNVISION achieved registration, it was as if Alpha had actually used the mark on the date it filed its application, namely, February 1, 2011, a date prior to June 1, 2011, the date of Beta's actual first use of SUNNY VISION. See Exhibit 4–7 for timeline and Exhibit 4–8 for application checklist.

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2/1/11	6/1/11	7/1/11	2/1/12	5/1/12	8/1/12
ITU application filed by Alpha for SUNVISION	Actual use by Beta of SUNNY VISION	Beta files application for SUNNY VISION	USPTO issues notice of allowance for SUNVISION	Alpha files statement of use for SUNVISION alleging date of first use of 4/15/12	Registration issues for SUNVISION. Alpha has priority due to date of constructive use of 2/1/11

EXHIBIT 4–7 Timeline for ITU Application

APPLICATION CHECKLIST

An application for trademark registration must include the following:

- Written application with the following elements:
 - Applicant's name;
 - Applicant's legal entity (individual, corporation, and so forth) and identification of country of which applicant is citizen or country or state of business organization;
 - Applicant's address;
 - Basis for use of mark, namely, a statement that applicant has used the mark (and, if so, dates of first use and first use in commerce) or statement that applicant has bona fide intent to use the mark in the future;
 - Description of mark or statement that mark is in standard characters;
 - Identification of goods and services offered under the mark; and identification of international class (if known by applicant)
- Declaration by applicant (or person authorized by applicant) and signature
- One specimen for each international class
- Drawing of mark
- Appropriate filing fee for each class

EXHIBIT 4–8 Trademark Application Checklist

Abandonment and Revival of Applications

Trademark applications are deemed abandoned by the USPTO if a timely response is not made to an office action or to a notice of allowance, and the USPTO will issue a formal notice of abandonment to the applicant. The USPTO, however, allows for revival of abandoned applications if a petition to revive (with the appropriate fee) is filed within two months of the date of the notice of abandonment. The applicant's petition must state that the delay in responding to the office action or notice of allowance was unintentional.

Generally, it is not necessary to explain the circumstances that cause the unintentional delay. If an application was inadvertently abandoned due to a USPTO error, an applicant may file a request to reinstate the application, instead of a formal petition to revive. For example, if the applicant can show e-mail confirmation that its response to an office action was filed through TEAS, a request to reinstate the application should be made. No fees are charged for a request for reinstatement.

An application can also be expressly abandoned, as when the applicant simply decides it does not wish to pursue registration.

REGISTRATION

For a use-based application, a registration will issue about 12 weeks after publication in the *Official Gazette* if no notice of opposition is filed to the application. For an ITU application, registration will occur after publication in the *Official Gazette*, notice of allowance of mark, and submission of the statement of use and requisite specimen and fee. The application process for use-based applications can take 10 to 18 months or longer, and the process for ITU applications can take from 13 to 42 months, or longer.

Eventually, however, the USPTO will issue a **Certificate of Registration** for the mark. The term of the registration is presently 10 years from the date the mark is registered (for registrations issued before November 16, 1989, the term was 20 years). The certificate will include all of the pertinent information about the mark and the owner and will set forth a registration number and a registration date. The mark as applied for will be reproduced. The law firm should carefully review the certificate and request a correction of any errors. Once the mark is registered, the owner (now called the **registrant**) may use any of the following registration notices in connection with the mark (assume the mark is SUNVISION):

- SUNVISION Registered in U.S. Patent and Trademark Office
- SUNVISION Reg. U.S. Pat. & Tm. Off.
- SUNVISION® (the letter *R* enclosed in a circle is the most common notice)

The federal registration symbol or language cannot be used with a mark unless it has been registered with the USPTO. Until that time, trademark owners and applicants often use the designation “TM” (for trademark) or “SM” (for service mark) placed alongside the mark to notify others the owner claims rights in the mark, although these are not official symbols. A registrant is not required to use any registration notice; however, in an infringement suit based on the mark, no monetary damages can be recovered by the registrant unless the defendant had actual notice of the registration. Using the registration notice provides such actual notice so that the registrant can later recover damages for infringement of the mark.

Once the law firm receives the certificate of registration, it will forward the certificate to the client along with pertinent information about monitoring the mark, using the registration notice, and pertinent dates to maintain the mark. Once again, the law firm must be certain to docket the critical dates to avoid abandonment of the registration. For example,

ETHICS
EDGECOMPUTER
LITERACY

Part of the ethical duty of competent representation owed to a client is the duty to provide legal services as efficiently and cost-effectively as possible. Thus, all IP professionals should be familiar with the USPTO's website and its electronic tools for searching, filing documents, and checking status. Practitioners who engage in volume trademark work for clients can save their clients a great deal of money by filing trademark applications through TEAS or TEAS Plus. Take advantage of USPTO website tutorials, take training classes, or seek advice from colleagues to make sure clients are provided with cost-effective and efficient representation through all stages of trademark prosecution.

between the fifth and sixth years after registration, and within the year before the end of every 10-year period after the registration date, the registrant must file a continued use affidavit with the USPTO verifying the mark is still in use or the registration will be canceled (to clear the USPTO files of **deadwood** and allow unused marks to be used by others). Additionally, the registration must be renewed at the end of each 10-year period following the registration date. The affidavit of continuing use and renewal document are usually filed electronically through TEAS with a digitized image of the required specimen. See Chapter 5 for additional information about these post-registration requirements to maintain a trademark in force.

See Exhibit 4–9 for a Certificate of Registration, and see Exhibit 4–10 for a trademark prosecution flowchart that shows each step of the prosecution process.

The U.S. Patent and Trademark Office's TEAS Monitoring System

The USPTO's TEAS system has been remarkably successful; about 97 percent of all trademark applications are filed electronically using TEAS. Following are some of the documents that may be submitted through TEAS:

- Applications for registration of marks
- Response forms (such as responses to office actions)
- Amendments to allege use
- Statements of use
- Requests for extensions of time to file a statement of use
- Affidavits of continued use
- Affidavits of incontestability
- Combined affidavits
- Applications to renew trademark registrations
- Assignment forms
- Requests to divide
- Notices of change of correspondence or owner's address
- Petitions to revive abandoned applications
- Appointment or revocation of attorney or domestic representative
- Withdrawal of attorney in pending application
- Requests for express abandonment (withdrawal) of applications

The advantages of using TEAS include the following:

- Documents may be filed 24 hours a day, seven days a week, making it possible to receive a filing date on days the USPTO is closed and

United States of America

United States Patent and Trademark Office



Reg. No. 3,928,347

Registered Mar. 8, 2011

Int. Cl.: 35

SERVICE MARK

PRINCIPAL REGISTER

THE TOY TANK, LLC (OHIO LIMITED LIABILITY COMPANY)
24647 CEDAR ROAD
LYNDHURST, OH 44124

FOR: RETAIL TOY STORES, IN CLASS 35 (U.S. CLS. 100, 101 AND 102).

FIRST USE 5-15-2010; IN COMMERCE 5-15-2010.

NO CLAIM IS MADE TO THE EXCLUSIVE RIGHT TO USE "TOY", APART FROM THE MARK AS SHOWN.

THE COLOR(S) ORANGE, LIGHT BLUE, GREEN, PURPLE, RED, DARK BLUE, YELLOW, BLACK AND WHITE IS/ARE CLAIMED AS A FEATURE OF THE MARK.

THE MARK CONSISTS OF A DRAWING OF A FISH BOWL OUTLINED IN BLACK, WITH A WHITE CIRCULAR OPENING AND WHITE OPEN SPACE AT THE TOP THEREOF AND WITH LIGHT BLUE WATER AND FIVE FISH SWIMMING IN THE BOWL. THE FISH COLORS ARE (STARTING CLOCKWISE AT 1 O'CLOCK) YELLOW, DARK BLUE, RED, PURPLE AND GREEN. THE FISH ARE ALL OUTLINED IN BLACK. THE WORDS "THE TOY TANK" APPEAR WITHIN THE FISH TANK AND THE WORDS ARE ORANGE.

SER. NO. 85-081,366, FILED 7-9-2010.

BRIAN CALLAGHAN, EXAMINING ATTORNEY



David J. Kybas

Director of the United States Patent and Trademark Office

EXHIBIT 4-9 Trademark Registration Certificate

Source: http://www.uspto.gov/web/trademarks/tm01/20110315_OG.pdf

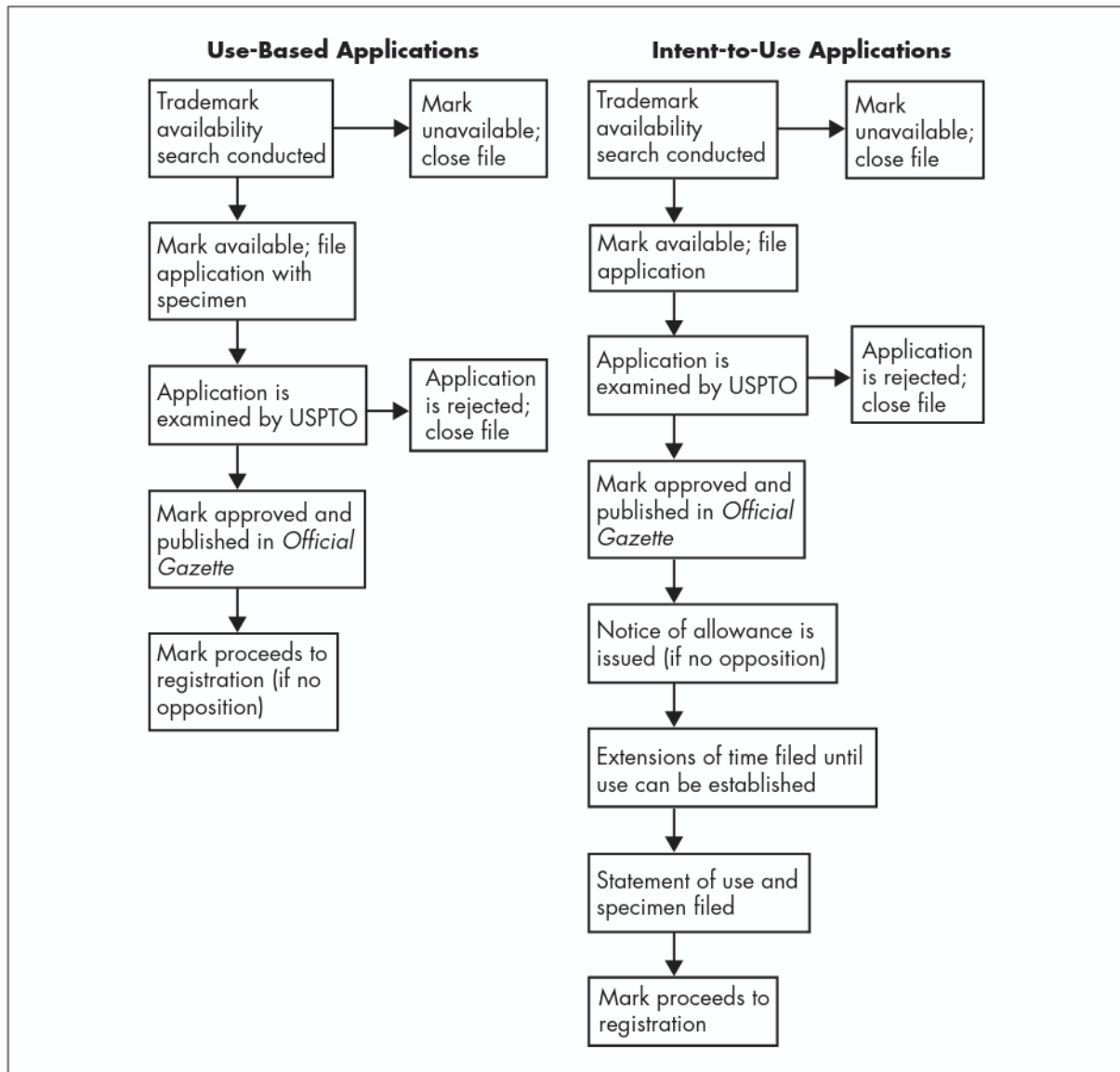


EXHIBIT 4-10 Trademark Prosecution Flowchart

extending the time for filing any document until midnight (EST).

- When a document is filed electronically, the USPTO receives it within seconds after filing, and immediately issues a confirmation of filing

via e-mail that includes the date of receipt and a summary of the submission. This “success screen” confirmation is evidence of filing should any question arise as to the filing date of the document.

- Electronic filing creates an automatic entry of receipt of this filing into the USPTO's automated system, helping to avoid abandonment.
- Applications filed electronically are less expensive and are examined much faster than their paper counterparts.

THE U.S. PATENT AND TRADEMARK OFFICE'S TARR MONITORING SYSTEM

Once you receive a filing receipt or e-mail confirmation containing the serial number of your application, you may check on the status of your application

through the Trademark Application and Registration Retrieval (TARR) online database on the USPTO's website at <http://tarr.uspto.gov>. TARR can also be used to check the status of any registered mark. If you do not have access to the Internet, you can call the Trademark Assistance Center at 1-800-786-9199 (or 571-272-9250 if you live in Northern Virginia) to request a status check. Applicants should check on the status of their pending applications at least every six months.

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- The public initiates more than one million queries per month through TESS (the online trademark search system).
- The top five trademark applicants in 2011 were Johnson & Johnson, Mattel, Inc., LG Electronics, Inc., Novartis AG, and Disney Enterprises.
- In 2011, the USPTO issued more than 170,000 registrations on the Principal Register and just a little more than 7,600 registrations on the Supplemental Register.
- In January 2007, the one-millionth trademark application was filed electronically with the USPTO via TEAS.
- In 2006, the average time it took for the USPTO to process an application (from filing to registration) was 15 months; by 2011, the average processing time had dropped to 10 months.
- Nearly 150 countries, including the United States, use the International Classification system (classifying goods into 34 classes and services into 11 classes) administered by WIPO.

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CHAPTER SUMMARY

After searching and clearance of a mark for availability, an application should be filed with the USPTO for registration of the mark. If the mark has actually been used in interstate commerce, the application should be accompanied by a specimen showing how the mark is actually used.

The application will be carefully reviewed by an examining attorney to determine if it meets the statutory requirements and whether any marks similar to

INTER PARTES PROCEEDINGS

Inter partes (literally, “between parties”) **proceedings** are those involving disputes between parties regarding rights, use, and ownership of marks. These actions are heard before the TTAB, an administrative tribunal of the USPTO, which is empowered to determine only the right to register a mark. Generally, the Federal Rules of Civil Procedure govern these proceedings, making the proceedings highly similar to actions brought in federal courts. In fact, 37 C.F.R. § 2.116(c) provides that an opposition or petition to cancel corresponds to a complaint in a court proceeding. Recall from Chapter 4 that the TTAB also has jurisdiction over *ex parte* appeals, that is, appeals from an examining attorney’s final refusal to register a mark in an application.

There are four types of inter partes proceedings: oppositions, cancellations, interferences, and concurrent use proceedings.

Oppositions

Timing Requirements. An **opposition** is a proceeding initiated by a person who believes that he or she would be damaged by registration of a mark on the Principal Register. Oppositions may not be initiated against marks sought to be registered on the Supplemental Register—those marks may be objected to by way of cancellation proceedings, discussed later. The document initiating the proceeding is called a **Notice of Opposition**. Recall from Chapter 4 that the time for initiating an opposition is triggered by the publication of a mark in the *Official Gazette*. Publication occurs after the examining attorney at the USPTO has approved the mark, and it is intended to provide notice to the public of the pending application so interested persons can oppose the registration.

An opposition must be filed prior to the expiration of the 30-day period after publication of the

mark in the *Official Gazette* for opposition, or within an extension of time to oppose.

Requests for extensions of time may be requested as follows:

- A potential opposer may file a first request for either a 30-day extension of time, which will be granted upon request, or a 90-day extension of time, which will be granted only for good cause.
- If a potential opposer was granted a 30-day extension of time, that person may file a request for an additional 60-day extension of time, which will be granted only for good cause.
- After receiving one or two extensions of time totaling 90 days, a potential opposer may file one final request for an extension of time for an additional 60 days with the consent of the applicant or upon a showing of extraordinary circumstances.

No further extensions of time to oppose will be permitted. The time for filing an opposition will not be extended beyond 180 days from the date of publication. To be sure dates are calculated correctly, use an electronic calculator such as <http://www.timeanddate.com>. Typically, alleging that the potential opposer needs additional time to investigate whether the applied-for mark may conflict with his or her mark or that the parties are engaged in settlement negotiations is sufficient to demonstrate good cause.

There is no fee required for filing a request for extension of time to oppose. (See Appendix D, Form 6, for a sample form for request for extension of time to oppose.)

Notice of Opposition. If the parties themselves cannot reach some resolution, an opposition proceeding will be initiated by the filing of a notice of opposition. Requests for extension of time to oppose and oppositions may be filed by mail or electronically through the TTAB’s Electronic System for Trademark Trials and Appeals (ESTTA).

The Lanham Act requires only that the notice of opposition set forth a “short and plain statement” of the reasons why the opposer believes it will be damaged by registration of the mark and the grounds for opposition. The opposer must serve a copy of the opposition on the applicant or applicant’s attorney of record, much as a defendant in a civil action is served with a copy of a complaint so it may answer its allegations. The filing fee for a notice of opposition is \$300 per class of goods/services identified in the application. (See Appendix D, Form 7, for a notice of opposition.)

Even if the parties ultimately reach resolution of the matter, the filing of a notice of opposition or even a request for extension of time to oppose seriously delays the application process. Thus, IP professionals should use TARR, the USPTO’s online status reporting system, to monitor applications to determine if such documents have been filed, and alert clients of such an impediment to registration.

Grounds for Opposition. In brief, an opposer wishes to prevent registration of a mark. The most common reason a person might believe he or she will be damaged if the mark applied for proceeds to registration is that the mark is confusingly similar to the opposer’s mark. Opposers are not, however, limited to asserting confusing similarity as a basis for opposition. The opposer is only required to state why he or she believes registration of the mark in question would result in damage. Thus, oppositions can also be initiated on the basis of descriptiveness or that the mark is a surname, contains immoral or disparaging matter, has been abandoned, is likely to dilute another’s trademark, and so forth. Nevertheless, the vast majority of oppositions allege that the mark in an application should be refused because it is likely to cause confusion with the opposer’s mark. In one novel case, the Federal Circuit held that an individual was entitled to come before the TTAB to oppose registration

of the trademarks O. J. SIMPSON, O.J., and THE JUICE on the grounds that the marks disparaged his values, were scandalous because they would attempt to justify violence against women, and that others in the public shared his views. *Ritchie v. Simpson*, 170 F.3d 1092 (Fed. Cir. 1999). The court held that the opposer had asserted a reasonable belief of damage and thus had standing to oppose registration of the marks. A strongly worded dissent expressed concern that the ruling would open the USPTO up to oppositions or cancellations from any member of the public who found a mark to be offensive. The applications were eventually abandoned by the applicant, O. J. Simpson.

Nature of Proceeding. As soon as either a notice of opposition or a request for extension of time to oppose is filed, the examining attorney at the USPTO relinquishes the file to the TTAB, which will handle the matter until its conclusion.

The TTAB can suspend an opposition proceeding to allow the parties to engage in settlement discussions. Opposition proceedings are somewhat like trials. The notice of opposition (equivalent to a complaint) is filed, and it is concurrently served by the opposer on the applicant (or applicant’s attorney); not less than 30 days after notification by the TTAB that the opposition has been filed, the applicant must file a response to the notice of opposition (equivalent to an answer in civil litigation); and discovery will proceed.

In 2007, the TTAB implemented new measures, which are highly similar to those used in the federal courts under the Federal Rules of Civil Procedure. These new measures relate to disclosures and discovery. When the TTAB notifies the parties that the opposition has commenced (under a “institution order”), it will set forth specific dates for the various phases in the case, including dates for an initial disclosure/discovery/settlement conference, deadlines for initial disclosures of “routine” information

(such as names of potential witnesses and basic information about documents that a party may use to support its claim or defenses), disclosure of expert witnesses, and dates for the opening and close of discovery. These new procedures are intended to increase the possibility of parties settling a TTAB proceeding and doing so sooner.

Discovery may include interrogatories, depositions, and the like. After discovery, the parties will submit briefs, and the TTAB will render a decision (about 10 weeks after the case is ready for decision). The entire opposition proceeding is done by filing of documents with the USPTO; no trial or oral presentations of evidence occur, unless the parties request to present oral argument. The schedule in an opposition is faster than that for most trials and the issue is narrow: Should the mark be allowed to register? Damages are not awarded, and the opposer cannot force the applicant to stop using the mark. A successful opposition merely results in denial of registration of a mark in a pending application.

Just as most civil cases do not go to trial and conclude by voluntary settlement, opposition proceedings are overwhelmingly concluded by voluntary agreements. Generally, the opposer and the applicant enter into a written **consent agreement** (often called a “consent to use agreement”) whereby they agree on the scope and nature of each party’s use of its mark, submit the agreement to the TTAB, and then ask for dismissal of the opposition proceeding. The consent to use agreement is the equivalent of a settlement agreement in a civil action. Until relatively recently, the USPTO accorded such agreements little weight; however, since the decision in *In re Four Seasons Hotels Ltd.*, 987 F.2d 1565 (Fed. Cir. 1993), such agreements have been given great weight in determining whether confusion is likely to result from coexistence of marks. Although the USPTO or TTAB can always refuse such an agreement on the basis that the public interest is not served thereby, *Four Seasons* makes it clear that if those parties

who have the greatest interest in reducing confusion agree that confusion is unlikely, their decision should be respected by the USPTO. If an agreement is reached, the applicant’s file wrapper will be “returned” to the USPTO for further processing, namely, registration (if the application was use-based) or allowance (if the application was based on the applicant’s intent to use the mark). (See Appendix D, Form 8, for a consent to use agreement.)

Cancellations

As discussed, an opposition can be initiated only within a very limited time period. In fact, if no action is taken within 30 days of publication of the mark in the *Official Gazette*, an opposition proceeding may not be instituted. Because reading the *Official Gazette* and filing a timely notice of opposition can be extremely difficult, the Lanham Act recognizes that additional opportunity to object to registration of a mark should be afforded to those who might be injured by it. Thus, **cancellation** proceedings may be initiated after a mark is registered. The primary difference between oppositions and cancellations relates to their timing: Oppositions must be initiated before registration of a mark, while cancellations are initiated after registration. Additionally, cancellation actions are the only appropriate challenge to marks registered on the Supplemental Register.

Timing Requirements. Any person who believes that he or she will be damaged by the continued existence of a registration (whether on the Principal or Supplemental Register) may petition to cancel the registration. If the mark is registered on the Supplemental Register, a **petition to cancel** can be filed at any time. If the mark is on the Principal Register, the petition to cancel must be filed within five years of the registration date if the grounds are those that would have justified denial of registration to begin with (such as descriptiveness, that

the mark is confusingly similar to that owned by another, that it is primarily merely a surname, and so forth).

After five years, the Lanham Act narrows the grounds for cancellation and the registration may be canceled only if certain grounds are proven, typically that the mark has become generic, the registration was obtained through fraud, the mark is functional, or the mark has been abandoned through nonuse. 15 U.S.C. § 1064.

The Petition to Cancel. The petition to cancel must set forth a “short and plain statement” of the reasons for the petitioner’s belief that he or she will be damaged by continued registration of the mark, state the grounds for cancellation, and identify the owner of the registration. The filing fee for a petition to cancel is \$300 per class of goods or services covered by the registration, and the petition must include proof that it has been served on the mark’s owner or its representative. (See Exhibit 6–1 and Appendix D, Form 9, Petition to Cancel Trademark Registration.)

Grounds for Petition to Cancel. Just as with notices of opposition, petitions to cancel must be brought by one who believes he or she will be damaged by registration of the mark. Similar to the allowance of an opposition to the various O. J. Simpson marks described earlier, the rules relating to those who may petition to cancel a registration appear to have been relaxed in recent years.

Although a variety of grounds may be asserted in a petition to cancel (the mark comprises a flag of another nation, it is primarily merely a surname, it dilutes the mark of another, it contains immoral or scandalous matter, it includes the name of a living person without consent, or it is disparaging), the most common grounds asserted in a petition to cancel are the ones that must be brought within five years of registration: that the mark is merely descriptive or that it is confusingly similar to another mark.

Nature of Proceeding. The proceedings at the TTAB relating to cancellations are nearly identical to those involving oppositions. The petition to cancel will be filed at the TTAB, which will then issue a notice that the proceeding has been commenced and set a time of not less than 30 days for the registrant to answer the petition. The registrant will then file an answer to the petition (typically denying the grounds asserted in the petition and raising various defenses). Discovery will commence (per a schedule set by the TTAB) and depositions may be taken, interrogatories served, and documents requested. The TTAB will set dates for submission of written briefs and will review those briefs and render a decision.

As with oppositions, the vast majority of cancellations will be settled voluntarily by the parties (who will enter into a trademark settlement agreement that is highly similar to the consent to use agreement shown in Appendix D, Form 8) rather than by TTAB decision.

Interferences

If two pending applications conflict or if a pending application conflicts with an existing registration (that is not yet incontestable), the USPTO may declare an **interference**. Interferences are rare proceedings and occur only upon a showing of “extraordinary circumstances.” Typically, if marks conflict, the parties resolve their differences by way of an opposition (if the potentially conflicting mark is not yet registered) or cancellation (if registration has occurred). Generally, only when an opposition or cancellation proceeding is unavailable to a party or will not adequately protect a party may a party request an interference proceeding. The TTAB will then determine the rights of the parties if they cannot reach a voluntary settlement arrangement. Interference actions are so rare that none were filed in 2011.

Suggested Format for Petition to Cancel

Note: This form is the USPTO's previous suggested form for preparing a paper Petition to Cancel a Trademark Registration. It has been replaced by the TTAB's fill-in electronic form and is included here only to show the typical allegations included in a Petition to Cancel.

IN THE UNITED STATES PATENT AND TRADEMARK OFFICE BEFORE THE
TRADEMARK TRIAL AND APPEAL BOARD

In the matter of trademark Registration No
For the mark
Date registered

(Name of petitioner)

v.

(Name of registrant)

PETITION TO CANCEL

State petitioner's name, address, and entity information as follows:⁽¹⁾

(Name of individual as petitioner, and business trade name, if any;

Business address)

OR (Name of partnership as petitioner; Names of partners;
Business address of partnership)

OR (Name of corporation as petitioner; State or country of incorporation;
Business address of corporation)

To the best of petitioner's knowledge, the name and address of the current owner of the registration are (provide if known)

The above-identified petitioner believes that it/he/she will be damaged by the above-identified registration, and hereby petitions to cancel the same.⁽²⁾

The grounds for cancellation are as follows:

***[Please set forth, in separately numbered paragraphs,
the allegations of petitioner's standing and grounds for cancellation]⁽³⁾***

By Signature⁽⁴⁾
(Identification of person signing)⁽⁵⁾

Date

EXHIBIT 6-1 USPTO Form for Petition to Cancel Trademark Registration

Source: <http://www.uspto.gov>

Concurrent Use Proceedings

If parties use similar marks in different geographical areas, a **concurrent use proceeding** may be initiated. Generally, these parties have used their marks in their respective areas in good faith and without knowledge of the other's existence. In a concurrent use application, a party requests that the registration that will ultimately issue be restricted geographically (or perhaps as to specific goods or services offered under the mark), so that on its face the registration will state that the owner has the right to use the mark in certain identified states, cities, or regions in the United States (or only for certain goods or services). Once the applicant files an application for concurrent use, the matter is referred to the TTAB.

In most instances, however, the concurrent use proceeding is initiated after an application for registration is refused on the basis that the mark is confusingly similar to another. The applicant then often approaches the other party in an effort to reach an accord whereby they each agree to use the mark in certain designated geographic markets. A concurrent use proceeding is then initiated at the TTAB. The TTAB will allow concurrent use only if confusion is not likely to result.

In brief, in a typical concurrent use proceeding, the parties “carve up” the United States and each agrees to use his or her mark only in a specific geographical area. Concurrent use proceedings are quite rare. Only 39 were filed in 2011.

You may now view all TTAB proceedings by using the TTAB's system **TTAB Vue**, which allows users to review documents relating to oppositions, cancellations, and so forth, by entering a proceeding number, application number, registration number, party name, or mark.

Nature of TTAB Proceedings

As noted, oppositions and cancellation proceedings at the TTAB are highly similar to civil trials conducted in federal court in that they are governed

largely by the Federal Rules of Civil Procedure and use many of the same disclosure and discovery procedures that are used in federal courts. The TTAB also offers Accelerated Case Resolution (similar to summary judgment procedure in federal courts) when parties are able to agree on or stipulate to many facts and expect to rely on few witnesses. Accelerated Case Resolution affords the parties a final determination of their opposition or cancellation proceeding quickly and without the time and expense of a full trial.

Similarly, the TTAB encourages alternative dispute resolution (typically arbitration or mediation) as a means of settling the issues raised in an opposition or cancellation proceeding. The website of the TTAB lists several alternative dispute resolution services (including the American Arbitration Association), so that the parties might obtain an earlier, mutually agreeable resolution of their dispute, which will save the parties time and money. In fact, the TTAB states that more than 95 percent of TTAB proceedings are resolved prior to any TTAB decision (usually by voluntary settlement).

Appeals from TTAB Decisions

If a party is dissatisfied with the decision of the TTAB in an opposition, cancellation, interference, or concurrent use proceeding, an appeal may be taken to the Court of Appeals for the Federal Circuit (CAFC), located in Washington, DC. The Federal Circuit can set aside USPTO findings only when the findings are arbitrary, capricious, an abuse of discretion, or unsupported by substantial evidence. *Dickinson v. Zurko*, 527 U.S. 150 (1999). Thereafter, an appeal may be taken to the U.S. Supreme Court if the Court, in its discretion, decides to hear the appeal. As an alternative to appealing to CAFC, the party may institute a civil action in federal district court that will determine the issues *de novo*, meaning that it can determine the issues anew and new evidence may be presented. The time to file a notice of appeal or to commence a civil action is two months from the TTAB decision.

ETHICS
EDGECONTACT
WITH OTHER
PARTIES

Although proceedings at the TTAB may seem informal because all appearances are by “paper” rather than in person, ethical rules governing parties’ behavior still apply. The most important of these is that once a party is represented by counsel, the party may not be contacted directly; all contacts must be made with the party’s attorney (unless the party’s attorney agrees otherwise). Thus, in an opposition or cancellation proceeding, once the adverse party has retained counsel, you may not contact the party himself or herself. Be sure to work directly with the attorney involved.

INFRINGEMENT OF TRADEMARKS

Introduction

Section 32 of the Lanham Act (15 U.S.C. § 1114) provides that the owner of a federally registered trademark may bring a civil action in federal court against any person who uses in commerce, without the registrant’s consent, a mark that is likely to cause confusion with the registrant’s mark or to cause mistake or to deceive. Such an action is for “trademark infringement.”

One need not have a registered mark to bring an action for trademark infringement. If one has a common law mark (namely, one being used without any federal registration for it), one may likewise bring a civil action under Section 43 of the Act (15 U.S.C. § 1125). The test is the same: Is the junior user’s mark likely to cause confusion or mistake or to deceive? Similarly, most state statutes provide that the test to determine whether trademark infringement has occurred is the likelihood of confusion standard. As noted in Chapter 4, this is the same standard the USPTO uses in determining whether a mark in an application should be allowed to proceed to registration.

To prevail on a trademark infringement claim, a mark’s owner must prove two things: that its mark

has priority and that the infringer’s mark is likely to cause confusion.

The central inquiry in an **infringement** action is whether there is a likelihood that an appreciable number of ordinarily prudent purchasers are likely to be misled or confused about the source, affiliation, or sponsorship of goods or services. If consumers, upon encountering the defendant’s goods or services, would believe they are produced by or somehow affiliated with a plaintiff’s goods or services, the defendant’s mark infringes the plaintiff’s.

The standard for determining whether there is a likelihood of confusion in an infringement action is the same as that used in the application process when an examining attorney refuses registration of a mark on the basis that it is likely to be confused with that of another prior mark. The standard is also identical to that used in opposition and cancellation proceedings when a party alleges registration of another mark should be denied or canceled because the mark is likely to be confused with that of the opposer or petitioner.

In the typical infringement action, a prior user alleges that a subsequent user is causing confusion in the marketplace by using a confusingly similar mark. In essence, the later or junior user is attempting to get a “free ride” on the reputation and renown of the senior user by adopting a similar mark. In some

instances, however, the second user may become so well known and famous that it dwarfs the prior user and allegedly causes consumers to believe that the prior user's goods come from the subsequent user. The prior owner can then initiate an infringement action for "reverse confusion." Generally, reverse confusion occurs when the later user is a large, powerful company that uses its economic power to saturate the market with advertising, thereby causing confusion. (See Appendix D, Form 10, Complaint for Trademark Infringement.)

Standard for Determining Likelihood of Confusion

Various courts in various circuits have enumerated tests for determining whether one mark is likely to be confused with another. Each of the 13 U.S. Courts of Appeal has its own list of factors to be considered in determining likelihood of confusion (although the tests are highly similar). Generally, no one factor is determinative; courts examine the totality of circumstances in attempting to determine whether infringement has occurred. In general, the following factors are considered in determining whether trademark infringement exists:

- The similarity of the marks in regard to appearance, sound, connotation, and commercial impression
- The similarity of the goods or services offered under the marks
- The similarity in the channels of trade in which the goods or services are offered
- The conditions under which sales are made, namely, whether the purchases are made on impulse or after careful consideration by sophisticated purchasers
- The strength or fame of the prior mark
- Whether there has been any actual confusion
- The number and nature of similar marks on similar goods

- The length of time during which there has been concurrent use with no confusion

See, e.g., E.I. du Pont de Nemours & Co., 476 F.2d 1357 (C.C.P.A. 1973); Restatement (Third) of Unfair Competition § 21 (1995).

These factors are not a list of elements that a plaintiff must prove to prevail in an infringement case. Courts do not simply add up how many of the factors favor the plaintiff and how many favor the defendant and then decide for the party with the most factors. Some factors are, however, given greater weight than others. In general, most courts agree that the similarity of the marks, the similarity of the services, and strength of the senior user's mark are the most important factors in determining whether there is a likelihood of confusion. A determination of likelihood of confusion is made by reviewing all factors and no single factor is determinative. In close cases, when the issue of likelihood of confusion is in doubt, under the **rule of doubt**, courts resolve the doubt in favor of the senior user.

Courts also consider the defendant's intent in adopting the mark when testing for likelihood of confusion. This list of factors is not exhaustive, and other factors that may be relevant to a likelihood of confusion may also be considered. Moreover, the factors are not applied in a rigid or mechanical approach. The significance of any one factor depends upon the facts of a particular case.

Sight, Sound, Meaning, and Connotation.

With dissimilar marks, there is little likelihood of confusion. The more similar marks are, the more likely it is that confusion will occur. The single most important factor in determining likelihood of confusion is the similarity of the marks. Generally, marks are compared in their entirety rather than on the basis of a side-by-side comparison or a dissection of their respective elements inasmuch as courts cannot assume consumers would have the opportunity to make a side-by-side comparison

when making a purchase. Some general rules have emerged:

- Marks may be confusingly similar in appearance notwithstanding the addition, deletion, or substitution of letters. Thus, TRUCOOL for synthetic coolant was held likely to be confused with TURCOOL for cutting oil. *In re Lamson Oil Co.*, 6 U.S.P.Q.2d 1041 (T.T.A.B. 1987).
- Similarity may occur due to sound or pronunciation. For example, BONAMINE was held confusingly similar to DRAMAMINE when both were used for medical goods. *G.D. Searle & Co. v. Charles Pfizer & Co.*, 265 F.2d 385 (7th Cir. 1959).
- Similarity in meaning may result in a finding of confusion. Thus, AQUA-CARE (STYLIZED) was held likely to be confused with WATERCARE when both were used for water conditioning products. *Watercare Corp. v. Midwesco Enter. Inc.*, 171 U.S.P.Q. 696 (T.T.A.B. 1971). Similarly, BUENOS DIAS for soap was held likely to be confused with GOOD MORNING for shaving cream, *In re Am. Safety Razor Co.*, 2 U.S.P.Q.2d 1459 (T.T.A.B. 1987), and CYCLONE and TORNADO were held confusingly similar for wire fencing because their connotations were the same.
- If the marks include compound words, some courts consider whether there is a dominant portion of the mark and give less weight to common or descriptive elements. Thus, there was no likelihood of confusion between SOLVENTOL and SOLVITE. *Solventol Chem. Prods. v. Langfield*, 134 F.2d 899 (6th Cir. 1943). Because the descriptive prefixes *solvent* and *sol* are so commonly used in connection with cleaning compounds, the court held that the remaining portions of the marks were distinguishable.
- When marks comprise both words and designs, greater weight is sometimes given to the wording, which would be used by consumers in requesting the goods or services.

- If an owner has a famous mark or a “family” of marks that has achieved public recognition, such as the family of “Mc” marks owned by McDonald’s, the mark may be more likely to be infringed. Courts have held that marks with a recognizable common characteristic and extensive public recognition and renown deserve more protection than obscure or weak marks. Thus, due to the strong association by the public of the “Mc” prefix with McDonald’s, many attempted uses of a mark including “Mc” have been found to infringe McDonald’s marks. For example, McPRETZEL was held to infringe McDonald’s family of “Mc” marks. *J & J Snack Foods Corp. v. McDonald’s Corp.*, 932 F.2d 1460 (Fed. Cir. 1991).

Similarity of Goods or Services. Generally, the more similar the goods or services are that are offered under the marks, the less similar the marks need be for confusion to be found, and vice versa. The goods or services need not be identical; confusion may be found if they are related in some manner in that they serve the same purpose, relate to the same activities, or are likely to be encountered by the same types of purchasers. Thus, LAREDO for vehicles was held likely to be confused with LAREDO for tires because both relate to vehicles, *In re Jeep Corp.*, 222 U.S.P.Q. 333 (T.T.A.B. 1984), while LEXUS for vehicles was allowed to register over LEXIS for computer-assisted legal research services (because the goods are unrelated).

In 1996, Kellogg Company sued Exxon Corporation for trademark infringement, alleging that the energy company’s tiger character was likely to be confused with Kellogg’s “Tony the Tiger” character used to promote food products. Although the two characters had peacefully coexisted for more than 30 years, when Exxon began selling food products at its gasoline/convenience outlets, Kellogg sued for infringement. The parties ultimately settled their dispute.

This type of infringement is often referred to as **progressive encroachment**, meaning that a once permissible and often low-level use gradually becomes

an infringing use. Some departure in business practices or use of the mark has changed a once acceptable use into an infringement. As another example, for several years the World Wildlife Fund allowed World Wrestling Federation Entertainment to use the initials WWF for certain purposes. After a period of time, the wrestling group, through extensive television and Internet exposure, began such widespread use of WWF and departure from the parties' original agreement that infringement occurred. After an adverse decision in London, the wrestling group agreed to cease use of WWF and refer to itself as WWE.

In many instances, in infringement lawsuits, when the plaintiff is accused of an undue delay in protecting its mark (the defense of laches, discussed later in this chapter), the plaintiff responds by alleging progressive encroachment, namely, that it had no duty to initiate an action until the defendant's use moved from the permissible realm to a squarely competitive use.

Courts also consider that parties may extend their product lines at some future time. Thus, the mark THE PALM for pasta would likely be refused on the basis of confusing similarity to THE PALM®, already registered for restaurant services, because restaurants often sell their food products, and consumers, upon encountering THE PALM for pasta, might believe it was associated with the restaurant of the same name.

Channels of Trade. In determining likelihood of confusion, courts consider to what extent the parties' respective goods or services are distributed through the same trade channels and advertised in the same media. Thus, if products offered under one mark are marketed to wholesalers while those under the other mark are marketed to retailers, there may be little likelihood of confusion because the goods are offered to different classes of purchasers. For example, no likelihood of confusion was found where one party sold computer services under the mark E.D.S. while the other sold power supplies and battery chargers under EDS. Although the marks were

nearly identical and both parties sold in the medical field, the plaintiff sold its E.D.S. data processing services to medical insurers while the defendant sold its EDS batteries to makers of medical equipment. Because purchases would be made by different persons in different departments, coexistence of the marks was unlikely to cause confusion. *Elec. Design & Sales Inc. v. Elec. Data Sys. Corp.*, 954 F.2d 713 (Fed. Cir. 1992).

Consumer Care and Sophistication. In determining trademark infringement, everything hinges on whether there is a likelihood of confusion in the mind of an appreciable number of reasonably prudent buyers. The price level of the goods or services is an important factor in determining the amount of care the buyer will use. If the goods or services are relatively expensive, more care is taken, and buyers are less likely to be confused. Thus, purchasers of inexpensive items such as snack foods and sodas, which are purchased on impulse, do not give much care to such purchases and are more likely to be confused by items that bear similar marks. If the goods are expensive, however, the discriminating purchaser does not purchase casually or on impulse but only after thoughtful consideration. Thus, confusion is less likely than where the goods are inexpensive.

Strength of Marks. "Strong" marks are afforded greater protection than weak marks. Thus, marks that are coined, fanciful, or arbitrary are given greater weight than marks that are suggestive, descriptive, or generic. MUCKY DUCK (& DESIGN) for mustard was held confusingly similar to MUCKY DUCK for restaurant services primarily because MUCKY DUCK was viewed as a unique and memorable mark. *In re Mucky Duck Mustard Co.*, 6 U.S.P.Q.2d 1467 (T.T.A.B. 1988). Thus, the marks EXXON® and XEROX® are given a broad scope of protection inasmuch as these coined or made-up marks had no meaning before their owners built up or developed goodwill in them. Nevertheless, even

weak marks are entitled to protection against similar marks for closely related goods or services.

Actual Confusion. Actual confusion is not required to support a case for trademark infringement; the standard is likelihood of confusion. It is thus unnecessary to show actual confusion to establish likelihood of confusion. However, plaintiffs who can demonstrate that some significant level of actual confusion has already occurred in the marketplace generally prevail in trademark infringement cases. Even a few instances of actual confusion can be highly persuasive. Conversely, if the marks have coexisted for a number of years with no confusion, such is strongly suggestive that confusion is not likely.

Plaintiffs establish actual confusion in two ways: through testimony by consumers who have been confused about the products and by survey evidence. In the first instance, a party's initial knowledge that a competing mark is in the marketplace and is causing confusion may come about through complaint letters from consumers, misdirected orders, or inquiries and e-mail and telephone calls sent to the wrong party. If, however, evidence shows that only a few purchasers were confused, such supports a finding that confusion may be unlikely. For example, when determining that SCOTT® (for paper products) and SCOTT'S LIQUID GOLD® (for furniture polish) were unlikely to be confused, the court noted that only 19 misdirected letters had been received even though some 50 million cans of the furniture polish had been sold during the relevant period. *Scott Paper Co. v. Scott's Liquid Gold*, 589 F.2d 1225 (3d Cir. 1978), *abrogated on other grounds*, 456 U.S. 273 (1982) (holding that a defendant's intent is largely irrelevant in determining if consumers are likely to be confused).

A plaintiff may also demonstrate actual confusion by survey evidence, namely, surveys conducted by experts to determine whether confusion of consumers is likely. However, flaws in survey methodology, the types of questions asked, and the failure

to survey the proper universe of purchasers may weaken the effect of a survey.

Existence of Other Similar Marks. If numerous other marks that are similar to the alleged infringer's mark coexist with the plaintiff's mark, this may be evidence that confusion is unlikely. Defendants thus often conduct comprehensive searches to demonstrate that the field is crowded and that numerous other marks all coexist with the plaintiff's mark. For example, in Arizona, marks including the term *Desert* are common, and the owner of a restaurant operating under the mark DESERT SUN might have a difficult time persuading a court that a bar called the DESERT STAR infringes his or her mark. When numerous similar marks coexist, consumers often become adept in distinguishing those marks from each other. Thus, even the slight differences between DESERT STAR and DESERT SUN may be sufficient to obviate confusion when numerous "Desert" marks coexist. In fact, in *Sun Banks of Florida, Inc. v. Sun Federal Savings & Loan Ass'n*, 651 F.2d 311 (5th Cir. 1981), the court gave special weight to the fact that 25 competing financial institutions used the word *sun* in their titles and that more than 4,400 businesses in Florida used the term, thus making it weak in that locality.

Coexistence of Marks with No Confusion. If the allegedly infringing mark has coexisted with the plaintiff's mark for a period of time and there is no evidence of confusion in the marketplace, courts may find that confusion is unlikely. For example, when STEAMEX DELUXE 15 XL coexisted with Oreck's XL mark for 17 months with no instances of confusion, the court held there was no infringement, particularly where the plaintiff's "XL" mark was weak. *Oreck Corp. v. U.S. Floor Sys., Inc.*, 803 F.2d 166 (5th Cir. 1986).

Intent of Alleged Infringer. Proving an alleged infringer's intent or lack of good faith is not required to sustain an action for trademark

infringement. Similarly, a defendant's good faith is not a defense to trademark infringement. However, if a party adopts a confusingly similar mark with the intent of reaping the benefits of the prior user's goodwill, such tends to weigh in favor of confusing similarity; the infringer would not have willingly adopted a similar mark unless he or she intended to trade off another's established reputation and divert customers.

When the alleged infringer had actual knowledge of the plaintiff's mark or had a prior business relationship with the plaintiff, such tends to suggest an intent to cause confusion. On the other hand, conducting a comprehensive search and relying on advice of counsel tend to rebut any inference of an intent to cause confusion. In fact, in *Frehling Enterprises, Inc. v. International Select Group, Inc.*, 192 F.3d 1330 (11th Cir. 1999), the court held that failure to conduct a trademark search was "intentional blindness" and evidence of improper intent. Further, the court held that if it can be shown that a defendant adopted a plaintiff's mark with the intention of deriving a benefit from the plaintiff's business reputation, *this fact alone* might be enough to justify the inference that there is confusing similarity. *Id.* at 1340. As noted in Chapter 3, however, failure to conduct a trademark search before adopting a mark, without more, is carelessness but does not establish intent to mislead or cause consumer confusion.

(See Exhibit 6–2, Anatomy of an Infringement Case.)

Defenses to Infringement

There are a variety of defenses that may be raised by one accused of trademark infringement. They include the following:

- The defendant may assert that an *abandonment* of plaintiff's rights in the mark has occurred through nonuse prior to the time the defendant

began using the mark or through a naked license. Nonuse for three consecutive years is *prima facie* evidence of abandonment.

- The defendant may allege that the plaintiff's mark has become *generic* and is thus undeserving of exclusive appropriation by the plaintiff; thus, for example, because the word *bundt* has been held to be generic for a certain type of ring cake, anyone can use this word without fear of infringement.
- A defense may be raised that the plaintiff's mark is *merely descriptive* and that it has not acquired secondary meaning, and, thus, it is undeserving of protection.
- The defendant might assert that the plaintiff's registration was procured by *fraud*, is thus invalid, and cannot support an action for infringement.
- The accused infringer might assert **estoppel**, that is, that the plaintiff is *estopped* or precluded from asserting trademark infringement because it led the defendant to believe that it could use the mark (e.g., by allowing numerous other similar uses to go unchallenged).
- The defendant might assert **acquiescence**, a defense that alleges that words or conduct on the plaintiff's part amounted to an assurance to the defendant-infringer that plaintiff would not assert its trademark rights against the defendant.
- The defendant might assert that the plaintiff has **unclean hands** and has committed such a serious wrongful act (such as wrongfully using a trademark notice when it had no right to do so) that relief should not be awarded to it.
- The defendant might assert **laches**, namely, that the plaintiff delayed an unreasonable amount of time to bring the action and this delay has prejudiced the defendant (who, for example, during the period of delay, expended significant time and money in promoting the

Case:	<i>Phat Fashions, L.L.C. v. Phat Game Athletic Apparel, Inc.</i> , No. 01C-1771, 2002 WL 570681 (E.D. Cal. Mar. 20, 2002).	
Background:	In 1992, Russell Simmons, the cofounder of Def Jam Records, founded Phat Fashions, a manufacturer and distributor of urban and athletic apparel offered under the registered mark PHAT FARM® and other marks, including PHAT® and BABY PHAT®. In 1998, defendants began to sell athletic apparel and accessories bearing the mark PHAT or PHAT GAME. Defendants filed a trademark application to register PHAT GAME, and plaintiff brought an action for trademark infringement, unfair competition, and dilution.	
Marks:	Plaintiff's Marks: PHAT FARM® and PHAT® Defendants' Mark: PHAT GAME	
Analysis:	After stating that to prove trademark infringement a plaintiff must show he or she has a valid, protectable trademark and that the defendant's mark created a likelihood of confusion, the court analyzed the various infringement factors as follows:	
Factor	Court Analysis	Court Conclusion
Strength of the Mark	The plaintiff's PHAT mark was arbitrary and thus strong and was well known by the purchasing public.	First factor weighs heavily in plaintiff's favor.
Similarity of Marks	First word (<i>phat</i>) in each mark is dominant feature and consumers would conclude that the word <i>phat</i> in defendants' mark refers to plaintiff.	Second factor weighs in plaintiff's favor.
Similarity of Goods	Marks are both used on identical goods (namely, wearing apparel).	Third factor weighs in plaintiff's favor.
Channels of Trade	Goods are sold for similar prices and there is similarity in marketing channels used for distribution.	This factor weighs in plaintiff's favor.
Purchaser Care	Both parties market to young people, and prices for many goods are under \$30. These young consumers are often not careful purchasers, especially when prices are low.	Because of youth of defendants' market and relatively low prices, this factor weighs in plaintiff's favor.
Actual Confusion	Actual confusion is not necessary to find trademark infringement.	Lack of actual confusion weighs only slightly in defendants' favor, if at all.
Intent of Defendants	Defendants knew of plaintiff's marks and had conducted some research and trademark searches. Thus, defendants deliberately adopted their mark to obtain a business advantage.	This factor weighs heavily in plaintiff's favor.
Holding:	Defendants infringed plaintiff's trademarks and engaged in unfair competition as well as dilution of plaintiff's trademarks. Defendants were ordered to cease using PHAT GAME, disable their Internet website (http://www.phatgame.com), and transfer their domain name to the plaintiff.	

EXHIBIT 6–2 Anatomy of an Infringement Case

mark and thus should be allowed to continue using the mark).

- The defendant may allege the mark is *functional* and thus unprotectable.
- The defendant might allege that its use is a mere *parody* and is protected by the First Amendment.
- The defendant may assert that its use was a **fair use**, meaning that it did not use the plaintiff's name or mark as a trademark but merely to describe its own goods in a general fashion. In addition to this traditional fair use defense, a **nominative fair use** defense may be asserted when a defendant has used a plaintiff's name, not to identify the defendant's goods but merely to name the plaintiff's goods. Thus, when a national newspaper asked its readers which band member of the New Kids on the Block was their favorite, such was a nominative fair use and not an infringing use of the band's trademark. A nominative fair use is not infringement because it does not imply sponsorship or endorsement by the trademark owner.

There is no statute of limitations for actions brought under the Lanham Act for trademark infringement (primarily because infringement is a continuing offense), and typically laches is the defense raised to assert that an action is time-barred. If there is a need for a statute of limitations in a federal court action for trademark infringement, most courts will look to the forum state's law and apply its statute of limitations.

One of the more interesting modern defenses to infringement is a free speech defense. Artist Tom Forsythe was sued by Mattel Inc. (owner of the famous BARBIE® mark) for posing BARBIE dolls in inappropriate positions, such as mooning the camera. Forsythe prevailed in a suit by Mattel on the basis that his work was legitimate social commentary protected under the First Amendment and

was not a commercial use of Mattel's mark. *Matel Inc. v. Walking Mtn. Prods.*, 353 F.3d 792 (9th Cir. 2003). See Chapter 14 for further discussion of this case.

Monitoring and policing for misuse of trademarks is critical because a failure to assert an infringement claim promptly might give rise to successful defenses based on estoppel, acquiescence, or laches. As discussed in Chapter 5, policing trademarks has become more complicated due to the thousands of misuses that can appear on the Internet. Simply enter "Jell-O" into any search engine and you will be presented with hundreds of misuses of Kraft's registered trademark. Because trademark owners must vigorously enforce their marks or they risk loss of trademark rights, the Internet presents special problems for trademark owners. Numerous companies have hired agencies to scour the Internet for misuses of their marks and then send e-mail requests asking the user to cease use of the registered mark.

A trademark owner who discovers a low level of infringement is thus faced with a dilemma: If it allows the use to proceed unchallenged, it may later be accused of being estopped to protect its rights due to its delay in enforcing its rights. On the other hand, if it rushes to the courthouse and sues for infringement, it may expend time and money against a defendant who, even without any action by the plaintiff, may eventually fail in its business and stop using the mark within a fairly short period of time. The doctrine of progressive encroachment attempts to balance these conflicts. Trademark owners are thus allowed to permit some low level or *de minimis* infringement and wait to challenge a defendant only when that defendant gradually begins causing serious consumer confusion, escalates its use, expands its trading area, and so forth. (See Exhibit 6-3.)

Trademark owners should thus maintain a consistent level of enforcement and protection for

In 1969 the Kern family registered the trademark DERBY-PIE® for their chocolate and walnut pie first served in their restaurant in Kentucky. Since then, the family has challenged a variety of users of its registered mark, including church cookbooks, *Bon Appetit* magazine, and *The Washington Post* newspaper, all of which published recipes for “Derby Pie.” In fact, the family has hired an individual to scour the Internet to find offending uses of its mark. The users are then sent an e-mail request to cease using the registered trademark. If the misuse persists, the family has often sued, instituting about 25 lawsuits over the years to protect the mark, including a lawsuit against the Public Broadcasting Service, which featured actress Annie Potts baking her grandmother’s “Derby Pie” on a televised broadcast. Thus, there is only one DERBY-PIE®. Everyone else is baking chocolate nut pie.

Similarly, Unilever has hired an agency to review the Internet to find infringing uses of its marks POPSICLE®, CREAMSICLE®, and FUDGSICLE®, and Pillsbury has a registration for BAKE-OFF® and will not allow other baking contests to use the name. Finally, your recipes can call for “hot sauce” or “chocolate chips,” but not TABASCO® or TOLL HOUSE® morsels.

EXHIBIT 6–3 Case Study: Food Fights

their marks; however, the need for active enforcement should be balanced by the reality that it may be impossible to detect and stop all infringing uses, especially insignificant and minor uses of the mark. Some experts suggest using an initial warning letter, informing the user of the owner’s rights and stating that the trademark owner will continue to monitor the user to ensure infringement does not occur. In any event, courts seem to be recognizing this dilemma, and at least one judge has remarked that a trademark owner is not bound to “take on” more than one infringer at a time.

Remedies for Infringement

A plaintiff who is successful in proving trademark infringement might obtain a variety of remedies, including the following:

- An **injunction** preventing the defendant from further use of the confusingly similar mark, ordering an infringer to disable an offending website, or ordering the defendant to print a notice (called a *disclaimer*) on its goods that it is not affiliated with the plaintiff (e.g., in

one case, the publisher of *Polo* magazine was ordered to issue a disclaimer stating, “not affiliated with Polo Ralph Lauren,” to avoid consumer confusion).

- *Monetary damages* to compensate the plaintiff for the damage it has suffered, including actual damages due to lost sales and injury to its reputation and goodwill (which damages may be trebled, if necessary to compensate the plaintiff), and an accounting of the profits earned by the defendant (however, generally, courts award damages only upon a showing that consumers were actually confused or that the infringement was willful). Similarly, profits are usually not awarded unless there is a showing of willful infringement. No profits and no damages may be recovered unless the defendant had actual notice of the trademark registration—thus, a registrant should always use the registration symbol (®) to afford such notice.
- *Seizure or destruction* of the infringing articles and related marketing materials.
- *Costs* of the action, including attorneys’ fees (in exceptional cases) and actual expenditures.

Courts have noted that injunctive relief is the “remedy of choice” for infringement because stopping the infringing use is usually the trademark owner’s primary goal. If an infringing use is for a similar good or service, a broad injunction is especially appropriate. As to monetary relief, the largest trademark verdict to date is \$143 million awarded against Pfizer Inc. for use of the mark TROVAN® registered to another, although the case was reversed on appeal. *Trovan Ltd. v. Pfizer Inc.*, No. CV-98-0094, 2000 WL 709149 (C.D. Cal. May 24, 2000). Although a jury rendered a verdict of \$304 million against Payless Shoesource in 2008 stemming from its sale of two- and four-striped shoes that were held likely to be confused with adidas’s famous Three Stripe mark, the verdict was later reduced to \$65 million (in part because Payless had not acted willfully during the entire period and there was no evidence that adidas had lost any sales). *adidas Am., Inc. v. Payless Shoesource, Inc.*, No. CV-01-1655KI, 2008 WL 4279812 (D. Or. Sept. 12, 2008).

Resolving an Infringement Dispute

Because an infringement action, like any civil action, is expensive and time-consuming, parties often try to resolve trademark disputes between themselves before or during the pendency of litigation. Typically, a party who believes its mark is being infringed will send a cease and desist letter (see Exhibit 6–4) to the alleged infringer, notifying the infringer of its rights to the mark and demanding that the infringer cease any further use of the confusingly similar mark. Even if the cease and desist letter does not achieve the goal of convincing the infringer to stop use of the mark, it puts the infringer on notice of the prospective plaintiff’s rights and thus serves to cut off any defense of good faith or lack of knowledge of the existence of the prior mark the infringer may later attempt to assert. Moreover, as discussed previously, informing another of a registration may allow one to recover damages because no damages are allowed until after

a potential defendant has notice of a registration, and infringing after such notice may show willfulness. Investigation should be conducted before sending a threatening letter to ensure the alleged infringer is in fact the junior user. Otherwise, the alleged infringer may turn the tables on the sender of the letter.

The accused infringer typically responds to the cease and desist letter by denying its allegations, asserting various defenses, or suggesting a compromise. A compromise might be reached by the parties agreeing to use their marks only in certain geographic areas. The accused infringer might agree to place a prominent notice on its goods that it is not affiliated in any way with the prior user (although called a *disclaimer*, this notice is different from the disclaimer used in the prosecution process when an applicant disclaims or agrees it has no exclusive rights in a descriptive term in a mark). The parties might agree that the defendant should modify its mark in some way or gradually phase out use of the infringing mark. They may enter into a monetary arrangement whereby the infringer pays a sum of money to the senior user to license the mark. One party may acquire the other’s mark by outright purchase. One party might agree to assign its interest in the mark to the other, who then permits or licenses the original assignor to use the mark. They may agree to have an arbitrator resolve the dispute rather than going to federal court.

Typically, the arrangement between the parties is set forth in a written agreement, usually called a “trademark settlement agreement.” (See Appendix D, Form 11, for a sample trademark settlement agreement.)

Some companies with large IP portfolios purchase insurance to protect them against trademark infringement suits (both the costs of defending the action and any monetary damages awarded are usually covered). These policies can be expensive and often include various exclusions. For example, if a party acts fraudulently, there is usually no insurance coverage for its actions.

June 24, 2011

Mr. Michael Taylor
InterSys Products, Inc.
2957 Fifth Avenue
New York, NY

Re: Trademark BENSON BEAR
U.S. Reg.. No. 1,423,293

Dear Mr. Taylor:

Watson Inc. ("Watson") is the owner of U.S. Trademark Registration No. 1,423,293 for the mark BENSON BEAR used by Watson since 1998 in connection with its well-known stuffed plush animal toy. A copy of Watson's registration certificate for BENSON BEAR is enclosed. This trademark is a valuable asset of Watson, which has expended a great deal of time and effort in establishing and maintaining consumer recognition of the mark.

Watson recently became aware that InterSys Products, Inc. ("InterSys") is using the mark BENSEN BEAR in connection with stuffed toys. Your use of the mark BENSEN BEAR is likely to cause confusion, mistake, or deception of the purchasing public and the trade as to the source and origin of the goods offered under the respective marks, thereby causing damage and irreparable injury to Watson and diminishing the valuable goodwill associated with Watson's mark. Consequently, InterSys's conduct is an infringement and violation of Watson's proprietary rights in its mark, unfair competition, false advertising, and false designation of origin under applicable state laws and the U.S. Trademark Act.

Watson therefore demands that InterSys immediately cease and desist from using the mark BENSEN BEAR or any other mark confusingly similar to Watson's mark, and cease and desist from marketing, selling, or distributing any goods or materials bearing the mark or any confusingly similar name or mark.

Because this matter is of significant importance to Watson, we request that you respond within 10 days of the date of this letter to confirm your intention to cease and desist from any further use of BENSEN BEAR or any other mark confusingly similar to any of Watson's marks. If we do not receive a satisfactory response within this time period, we will consider all available remedies under state and federal law, including requesting injunctive relief and the recovery of damages for trademark infringement, which damages may be trebled by a court, and attorneys' fees and costs incurred by Watson in protecting its mark.

We sincerely desire a quick and amicable resolution to this matter. Therefore, we look forward to your timely reply.

Sincerely,

EXHIBIT 6-4 Cease and Desist Letter

Trademark Infringement Litigation

If the dispute cannot be resolved, the plaintiff will file an action for infringement in federal district court. The action will be governed by the Federal Rules of Civil Procedure relating to federal civil actions

generally; these rules set the times for responding to the complaint, matters pertaining to motions and discovery, and any other litigation-related matters. Within one month after the action is commenced (and upon its conclusion), the clerk of the court must provide notice thereof to the USPTO so notice

of the action and its conclusion can be published in the file wrappers relating to the marks. If only state claims are involved (for example, one is suing for infringement of a common law trademark rather than a federally registered trademark), the action may be brought in state court.

If the defendant has a cause of action relating to the trademark to assert against the plaintiff, it must be asserted by way of a counterclaim in the litigation so that all disputes between the parties affecting the mark can be resolved at the same time.

A claim may also be made for **contributory infringement** when one party aids another to infringe a party's mark. Thus, assisting in infringement or inducing infringement is also actionable. For example, the owner of copyrights and trademarks was held to have stated a claim against the owner of a swap meet where counterfeit audio recordings were sold by individual vendors because the swap meet owner should not be allowed to disregard its vendors' blatant infringement, especially where it could control the activities of the vendors and evict them from the swap meet for such activities and benefited financially from their infringing activities. *Fonovisa, Inc. v. Cherry Auction, Inc.*, 76 F.3d 259 (9th Cir. 1996).

After the complaint, answer, and counterclaim have been filed, various motions may be made. Discovery will commence. The plaintiff and defendant will take depositions to obtain testimony of those who may have information about the case (e.g., the plaintiff may depose individuals in the defendant's marketing department to determine how the defendant came to adopt its mark); interrogatories may be served on either party to obtain information, such as to inquire about experts either side may intend to call or the existence of documents; and each party may ask the other to produce relevant documents, such as surveys or complaints by consumers indicating confusion.

Ultimately, if the matter cannot be resolved by private agreement, it will proceed to trial. Either

party may request a jury trial: otherwise, a judge will render the decision. The decision in the case may be appealed to the U.S. Court of Appeals for the circuit in which the district court is located. Thereafter, the matter may be appealed to the U.S. Supreme Court, if the Court decides, in its discretion, to hear the appeal.

Alternative to Infringement

As an alternative to suing for trademark infringement in the United States for another's act of importing a trademarked invention, a trademark owner may bring a proceeding before the International Trade Commission to block the infringing device from entry into the United States. The International Trade Commission (ITC) is an independent quasi-judicial federal agency with broad responsibilities in matters of trade. Under Section 337 of the Tariff Act of 1930 (19 U.S.C. § 1337), as amended, the ITC conducts investigations into allegations of unfair practices in import trade, including trademark infringements. Typically, a party files a complaint with the ITC alleging an act of trademark infringement. The ITC then examines the complaint and determines whether an investigation, called a Section 337 investigation, should be conducted. If an investigation is ordered, an administrative law judge is assigned to conduct it. A Section 337 investigation is somewhat similar to a trial in that motions will be made, discovery will occur, parties will testify, and an evidentiary hearing will be held. The administrative law judge will render an initial decision as to whether Section 337 has been violated.

If Section 337 has been violated, the ITC may issue an **exclusion order**, which bars the products from entry into the United States (which order is enforced by the U.S. Customs and Border Protection) and/or may issue a cease and desist order, which directs violators to cease certain actions. An award of money damages is not available as a remedy for violation of Section 337.

In recent years, Section 337 investigations have become increasingly popular with trademark holders, primarily because of the strong remedies the ITC can order and because the proceedings are far less expensive and more expeditious than infringement trials in U.S. courts. For example, ITC investigations are almost always completed within 12–15 months, while getting to trial in the U.S. district courts may take two or more years. In an era of growing globalization and outsourcing, the ITC has become an increasingly popular forum for blocking imported goods that infringe U.S. trademarks. Decisions may be appealed to the Court of Appeals for the Federal Circuit.

DILUTION OF TRADEMARKS

Introduction

In January 1996, the long-awaited Federal Trademark Dilution Act (15 U.S.C. § 1125(c)) was enacted to provide special protection to “famous” marks when the owners of those marks are unable to establish likelihood of confusion and thus avail themselves of the many avenues afforded to protect marks from confusingly similar uses. Moreover, the act was intended to bring uniformity to the protection of famous marks, which were previously protected on an inconsistent basis in the various states.

Dilution refers to unauthorized acts that tend to blur the distinctiveness of a famous mark or to tarnish the mark by using it in a disparaging or unsavory way. For example, use of the mark TIFFANY® by a restaurant in Boston was found not likely to be confused with TIFFANY for jewelry store services in New York, inasmuch as no reasonable consumer would believe the uses were related or that the restaurant services were sponsored by or originated with Tiffany jewelers. Nevertheless, use by the restaurant was held to be a dilution of Tiffany jeweler’s famous mark and was enjoined because

of the erosion of the public’s identification of a very strong trademark with Tiffany jewelers alone. *Tiffany & Co. v. Boston Club, Inc.*, 231 F. Supp. 836 (D. Mass. 1964).

Another well-known case involved the use of DOGIVA in connection with dog biscuits. Clearly, consumers would not be confused upon encountering the mark and believe that the dog biscuits were related to GODIVA® brand chocolates. However, use of DOGIVA on such a product tended to injure or tarnish the plaintiff’s business reputation and was enjoined. *Grey v. Campbell Soup Co.*, 650 F. Supp. 1166 (C.D. Cal. 1986).

Finally, use of a bottle in the shape of that protected by Coca-Cola Company for white bubble gum resembling cocaine was held to tarnish Coca-Cola’s well-known and famous marks and was enjoined even though, under traditional likelihood of confusion analysis, there would have been no infringement.

The primary focus of the dilution statute is to preserve a trademark owner’s property rights and goodwill in its famous mark, which might evaporate if junior users were allowed to use the mark even on unrelated goods. Dilution is generally defined as the lessening of the capacity of a famous mark to identify and distinguish goods and services.

The chief distinction between an infringement claim and a dilution claim is that one can prove dilution without a showing of likelihood of confusion. Moreover, injunctive relief is available once dilution is proved, but monetary damages are awarded rarely and only on a showing of willfulness.

To prevail on a dilution claim, a plaintiff must show four things.

1. Its mark is famous (either inherently or through acquired distinctiveness).
2. The defendant is making a commercial use of its mark in commerce.
3. The defendant’s use began after the plaintiff’s mark became famous.

4. The defendant's use of the mark is likely to cause dilution by blurring or tarnishing the famous mark, whether or not there is actual confusion or actual economic injury to the plaintiff.

In October 2006, Congress revised and superseded the Federal Trademark Dilution Act by enacting the Trademark Dilution Revision Act to provide that injunctive relief can be obtained against use of a mark that is *likely to cause dilution* by blurring or tarnishing a famous mark. This extensive amendment to the Federal Trademark Dilution Act eliminated the need to prove *actual dilution*, which had been required under the U.S. Supreme Court case *Moseley v. V Secret Catalogue, Inc.*, 537 U.S. 418 (2003). (After 10 years of litigation, the Sixth Circuit held in 2010 that the mark "Victor's Little Secret" for adult novelty stores tarnished the famous VICTORIA'S SECRET® marks. *Moseley v. V Secret Catalogue, Inc.*, 605 F.3d 382 (6th Cir. 2010), *cert. denied*, 131 S. Ct. 1003 (2011)). As discussed in Chapter 23, under the Act, famous trade dress can also be diluted.

Blurring and Tarnishment

Under federal law, there are two types of unauthorized use that constitute dilution: blurring and tarnishment. **Blurring** is the whittling away of an established trademark's selling power through its unauthorized use upon dissimilar products. Examples might include STARBUCKS PENS, SHELL COFFEE, PEPSI VIDEO, or the use of TIFFANY for restaurant services as described earlier. Such uses would eventually drain away the distinctive power of the original mark even if they did not cause consumer confusion. Use in commerce with many unrelated goods weakens or dilutes the ability of the mark to identify one source. **Tarnishment** is an association arising from the similarity between a mark and a famous mark that harms the reputation of the famous mark. Generally, tarnishment occurs when

a mark is linked to products of an inferior quality or when the mark is portrayed in an unwholesome or embarrassing context (such as a poster reading "Enjoy Cocaine" in a script and color identical to that used by Coca-Cola Company or the substitution of an expletive for "Dunkin" in the mark DUNKIN' DONUTS®). Tarnishment is often found when the senior mark is linked to sexual activity, obscenity, or illegal activity. For example, General Electric's mark was found to be tarnished by GENITAL ELECTRIC, and Anheuser-Busch (owner of the famous BUDWEISER beer mark) was able to enjoin the distribution of BUTTWEISER T-shirts. In many cases alleging dilution by tarnishment, defendants allege their use is protected as free speech or parody. Thus, because of the strong protection afforded for free speech, cases involving dilution by blurring tend to be more common than cases involving dilution by tarnishment.

Federal Remedies for Dilution

The Act provides a remedy for owners of famous marks in federal court. Under the Act, a mark is famous if it is widely recognized by the general consuming public. Thus, marks that are famous only in a niche market or in a limited geographic area are not protected against dilution. Marks are distinctive whether they are inherently distinctive or whether they have acquired distinctiveness. In determining whether a mark possesses the requisite degree of fame or recognition, a court may consider the following factors: the duration, extent, and geographic reach of advertising and publicity of the mark; the amount, volume, and geographic extent of sales of goods or services offered under the mark; the extent of actual recognition of the mark; and whether the mark is federally registered. Following are some marks that cases have held to be famous under the foregoing criteria: PEPSI®, STARBUCKS®, VISA®, and NIKE®. Whether a mark is "famous" is determined on a case-by-case basis.

An owner who prevails is entitled to injunctive relief, destruction of all diluting goods, and, if willful intent to dilute is shown, actual damages, treble damages, the violator's profits, and costs.

Under the statute, certain types of conduct are exempt from liability, such as any fair use of a famous mark (whether classic fair use or nominative fair use), use in comparative advertising, parody, noncommercial use, and news commentary and reporting. These uses are protected under the First Amendment. Thus, for example, when a vocal critic of Wal-Mart imprinted the words WAL-QAEDA and WALOCAUST on t-shirts and mugs, such was held not to dilute Wal-Mart's marks because it was an artistic work of parody and noncommercial speech. *Smith v. Wal-Mart Stores, Inc.*, 537 F. Supp. 2d 1302 (N.D. Ga. 2008). Similarly, when presidential candidate Ralph Nader used an ad similar to MasterCard's well-known "Priceless" campaign ("There are some things money can't buy—for everything else there's MasterCard"), the court held that such political use was specifically protected noncommercial use under the federal dilution statute. *MasterCard Int'l Inc. v. Nader 2000 Primary Comm.*, No. 00CIV6068 (GBD), 2004 WL 434405 (S.D.N.Y. Mar. 8, 2004).

Many cases discussing dilution relate to the use of Internet addresses that dilute famous marks. Thus, the address "candyland.com" for sexually explicit goods and services was held to dilute the famous CANDYLAND® mark owned by Hasbro Toys, *Hasbro Inc. v. Entm't Group Ltd.*, 40 U.S.P.Q.2d 1479 (W.D. Wash. 1996), and the address "adultsrus.com" for sexual paraphernalia was held to dilute the famous TOYS R US® mark owned by Toys "R" Us, Inc. *Toys "R" Us, Inc. v. Akkaoui*, No. C 96-3381 CW, 1996 WL 772709 (N.D. Cal. Oct. 29, 1996).

RELATED TRADEMARK CLAIMS

Trademark owners often assert additional claims in actions for trademark infringement. For example, in *Phat Fashions* (see Exhibit 6-2), the plaintiff alleged

trademark infringement, dilution, and unfair competition, all arising out of the same course of conduct. Trademark owners may also assert claims under state law. Approximately four-fifths of the states have their own dilution statutes, and a plaintiff may allege injury under both federal and state law—although if the defendant in a state action alleging dilution has a valid federal trademark registration, such is a complete defense to the state dilution action, per 15 U.S.C. § 1125(c)(6). Thus, there is an array of various causes of action a trademark owner might assert.

Importation of Gray Market Goods

In many instances, U.S. trademark owners grant rights to those in foreign countries to manufacture goods that bear their U.S. trademark. After the goods are distributed in the foreign markets bearing this valid U.S. trademark, other parties buy them (often in bulk) and import them back into the United States to resell to others, in competition with the U.S. trademark owner. These goods are called **gray market goods** or **parallel imports**. The law relating to the permissibility of such importation is unsettled, with most courts holding that the import and sale of *genuine* gray market goods is not infringement, because once a mark owner sells goods bearing its mark, it cannot prevent subsequent owners from reselling the goods if there is no deception or consumer confusion, the goods are physically the same as those sold by the U.S. trademark owner, and the U.S. registrant and the foreign manufacturer are the same or related entities. The situation is analogous to resales in the United States. For example, a consumer who purchases a baby stroller bearing the GRACO® mark can later resell it to another. This doctrine is referred to as the **exhaustion theory** or **first sale doctrine** inasmuch as once the first lawful sale is made, the trademark owner's rights are exhausted or extinguished in regard to subsequent sales. Allowing importation of genuine gray market or parallel goods is consistent with the exhaustion theory. As discussed

in Chapter 16, recent holdings in the copyright field are also consistent with this theory.

However, if the gray market goods are materially different from the authorized imports, then it may create a likelihood of confusion and the imports may be banned. For example, imports of TIC TAC® breath mints were banned when they were materially different in size and caloric content from the authorized products sold in the United States. *Ferrero U.S.A. Inc. v. Ozak Trading, Inc.*, 753 F. Supp. 1240 (D.N.J.), *aff'd*, 935 F.2d 1281 (3d Cir.) (unpublished table decision), *rev'd on other grounds*, 952 F.2d 1944 (3d Cir. 1991) (reversing the award of attorneys' fees). Conversely, where circuit breakers that were imported into the United States were identical to ones made for the U.S. market, there was no likelihood of consumer confusion and no trademark infringement or unfair competition. The sale of such genuine goods bearing a true mark is not infringement even though the sale is without the trademark owner's consent. *Am. Circuit Breaker Corp. v. Or. Breakers Inc.*, 406 F.3d 577 (9th Cir. 2005).

In sum, as in any trademark infringement case, the central inquiry in a gray market goods import case is whether the goods create a likelihood of confusion of U.S. consumers.

Counterfeiting

Trademark **counterfeiting** is a particularly specious type of infringement. A counterfeiter applies the trademark owner's mark to goods or services that do not originate with the owner. Perhaps the best examples of counterfeiting or "black market" activities involve the unauthorized sale of status items, such as scarves bearing the HERMES® mark, handbags bearing the KATE SPADE® or LOUIS VUITTON® marks, watches bearing the ROLEX® mark, and other high-end or designer items that are sold on the Internet, at flea markets, corner stands, and "on

the street." The items sold and that bear the mark are not genuine and are intentionally sold for the express purpose of trading off the owner's established goodwill and reputation.

Universities, athletic teams, and rock bands that own valuable marks often have their marks counterfeited and placed on counterfeit goods, primarily T-shirts, sweatshirts, and jackets. To deter counterfeiters, statutes allow for the immediate impoundment and destruction of the "knockoff" goods; awards of treble damages, actual damages, and attorneys' fees; and criminal penalties. Before the 2008 Olympics in Beijing, law enforcement agencies seized nearly 30,000 items of fake Olympic merchandise and souvenirs. Similarly, Swiss customs officials have estimated that as many as 40 million counterfeit watches are put into circulation each year. Unfortunately, however, seizing the goods provides little long-term benefit, inasmuch as the counterfeiter simply establishes a new website or moves its stall or stand to some other location the next day.

Courts have also considered under what circumstances Internet providers can be liable for infringement. In 2004, after Tiffany discovered that nearly 75 percent of the merchandise sold on eBay's Internet auction site as genuine Tiffany products was fake, it sued eBay for contributory infringement. In 2010, the Second Circuit Court of Appeals held that a service provider such as eBay becomes liable for contributing to infringement only when it continues to provide services to a specific individual who it knows or has reason to know is selling counterfeit goods and that it is the trademark owner's responsibility to police its marks. In the years before and between the filing of the complaint and the ultimate decision, eBay implemented a number of measures to reduce counterfeiting, including promptly taking down listings upon being alerted to infringements and enhancing its fraud search engine, which is designed to identify listings of counterfeit goods.

Tiffany (NJ) Inc. v. eBay Inc., 600 F.3d 93 (2d Cir.), *cert. denied*, 131 S. Ct. 647 (2010). eBay has battled similar cases in other parts of the world with less success. In 2008, a French court ordered eBay to pay a \$61 million fine for selling counterfeit Louis Vuitton goods on its site, and in 2011, the European Union's highest court held that eBay may be liable if it knows counterfeit materials are being sold on its auction site and plays an active role in selling the materials.

Another effort to stop counterfeiting is the In Our Sites program, an initiative of the federal government, in which websites that sell counterfeit goods are disabled and seized. The program is highly criticized by civil rights advocates, but as of the writing of this text, more than 350 sites had been shut down and seized. Those who access the site are then provided with a public service announcement educating them about counterfeiting. This topic is further discussed in Chapter 15.

Even the wine industry has been recently plagued by counterfeits. Fake French labels have been placed on wine produced in China. To combat counterfeit products, many winemakers and luxury-goods makers are now etching serial codes on bottles and embedding holograms and microchips on their products, which can be read with optical scanners.

In recent years, counterfeiting has taken on an even darker side, with fake medicine, baby formula, and airplane parts sold as genuine, causing not only consumer confusion but also actual harm and injury. For example, in fall 2010, the Department of Justice charged a defendant with trafficking in counterfeit integrated circuits smuggled from China and that were intended for use by the U.S. military.

The United States works with various countries to attempt to curb counterfeits, and the new Intellectual Property Enforcement Coordinator (or IP "Czar," created under the PRO-IP Act of 2008) created an IP Task Force in 2010 to

combat counterfeiting. The Task Force is particularly interested in protecting the public health and safety by combating counterfeit pharmaceuticals and items such as automobile brake pads, airplane parts, and computer circuits. For example, its Operation Pangea III action in 2010 targeted counterfeit drugs sold over the Internet and resulted in a seizure of 2.3 million fake pills and the taking down of nearly 300 websites. Forty-five countries participated in the Operation. The federal government has developed a website (<http://www.stopfakes.gov>) and maintains a hotline for reporting of IP theft. The website provides information about intellectual property rights in 18 countries, including China and Russia, and offers useful information to business owners about protecting their IP rights at home and abroad.

Under the PRO-IP Act of 2008, the penalties for counterfeiting have increased. In counterfeiting cases, courts *must* award treble damages and attorneys' fees if a defendant intentionally engages in counterfeiting (unless extenuating circumstances are shown). Moreover, a plaintiff who prevails in a civil counterfeiting case may elect to seek statutory damages (up to \$2 million per counterfeit mark per type of good, if use of the counterfeit mark was willful) instead of proving actual damages. In addition to increasing the range of statutory damages, the Act increased criminal penalties in cases of trafficking in counterfeit goods if the defendant knowingly or recklessly caused or attempted to cause serious bodily injury or death resulting from the counterfeit goods. These enhanced remedies are designed, in part, to stem the flood of counterfeit medicines and parts. For example, in fall 2010, the Department of Justice secured a conviction of a defendant for conspiring to traffic in counterfeit Viagra pills, which he attempted to sell online, that were found to contain a substance used to manufacture sheetrock or drywall. Similarly, in August 2010, a defendant was sentenced to prison for knowingly selling bogus cancer

drugs. Judges may also grant *ex parte* (a request by one party without notice to the other) orders to seize counterfeit goods (although a hearing will be held after the seizure).

Despite the enhanced civil and criminal penalties for counterfeiting, the problem of bogus goods continues to plague both governments and IP owners. In one novel approach, some trademark owners now bring lawsuits not only against those who sell the fake products, but also against their landlords. In 2006, 18 landlords in New York agreed to post signs saying store owners were not authorized to sell Louis Vuitton merchandise and to evict those who do.

In November 2010, the Anti-Counterfeiting Trade Agreement (ACTA) was finalized among 40 countries representing more than 50 percent of world trade, including the United States and the European Union. ACTA aims to combat counterfeiting and piracy and support global enforcement of intellectual property rights. ACTA requires signatory countries to provide effective enforcement procedures for IP rights, includes provisions requiring criminal penalties for certain acts of counterfeiting and piracy, and requires commitments on seizure and destruction of fake goods. Unfortunately, China, a leading source of fake goods, did not participate. Although ACTA's text has been finalized and it has been signed by the United States, at the time of the writing of this text, it had not yet entered into force.

Unfair Competition

Section 43 of the Lanham Act (15 U.S.C. § 1125) provides that any person injured by a false designation of origin or false representation may bring a civil action against the offending party. This statute is often used as a catchall because it is so broadly worded that it prohibits nearly all forms of **unfair competition**, including false advertising and infringement of

trade dress. Moreover, a party need not have a registered trademark to invoke its protections. Thus, it affords even broader protection than Section 32 of the Lanham Act (15 U.S.C. § 1114), which prohibits infringement of a registered mark. Likelihood of confusion is the test for both common law infringement (under Section 43) and infringement of registered marks (under Section 32). In most instances, parties alleging trademark infringement under Section 32 of the Lanham Act also include a cause of action for unfair competition under Section 43 (and state consumer protection or unfair competition statutes, if they exist). In fact, in *Phat Fashions* (see Exhibit 6–2), the court stated that because the plaintiff had demonstrated infringement, *it followed that* the plaintiff had equally established unfair competition. Unfair competition is fully discussed in Chapter 23.

Customs Regulation

Additional protection is provided to trademark owners through Section 42 of the Lanham Act (15 U.S.C. § 1124), which allows owners of trademarks registered on the Principal Register to deposit their certificates of registration with the U.S. Customs and Border Protection Service in order to block importation of offending goods. The trademark owner files an application with the Intellectual Property Rights Branch of the U.S. Customs and Border Protection Service (CBP) in Washington, DC, to have its marks recorded with CBP, deposits one certified copy and five additional copies of its registration certificates with CBP, and pays an application fee of \$190 per class. The form may now be submitted electronically. CBP will then “post its ports.” **Posting of ports** means that CBP will monitor ports of entry into the United States and will seize any unpermitted goods bearing the owner's mark or a copy or simulated trademark. Fines and criminal sanctions may be imposed on the offending party.



CHAPTER 9

Foundations of Copyright Law

CHAPTER OVERVIEW

Copyright is a form of protection arising from the Patent and Copyright Clause of the U.S. Constitution. Copyright protects the works of authors and artists to ensure their products are not unlawfully reproduced, distributed, performed, or displayed, acts that would deprive them of revenue and discourage further creative work. As new technologies have developed, copyright law has evolved to keep pace, thereby affording protection to works not originally contemplated by the framers of the Constitution, such as computer programs and websites.

The present act governing copyrights in the United States is the Copyright Act of 1976, which provides protection upon creation of a work in a fixed form rather than requiring publication of a work as a prerequisite to protection as did the previous Copyright Act of 1909. Rights arise automatically upon creation of a work, and no publication or registration with the Copyright Office is required to secure copyright, although there are several advantages to registration.

INTRODUCTION

Just as medieval merchants in guilds in England used trademarks on their wares to indicate the source of those products, mercantile interests in England prompted the first insistence upon protection for publication of books. When the invention of the printing press in about 1440 resulted in the ability to produce books by machine rather than by hand, bookbinders and printers demanded protection from copying of books. Authors also began to demand protection from unauthorized copying and demanded to share in the financial rewards the publishers were winning. Finally, in 1710, Parliament enacted the first copyright statute, the Statute of Anne, which limited the formerly perpetual rights publishers enjoyed to a period of 14 years. Under the statute, damages for infringement were set at one penny for every sheet found in the infringer's custody, one-half to go to the author and one-half to go to the Crown. Authors were thus granted the right to control copying of their books. This grant of rights was called a *copyright*.

Just as trademark law protects the investment by merchants in the marks under which their goods are sold, copyright law protects the creators of books, music, and art by providing them with the exclusive right to reproduce their works and derive income from them. Protecting these rights fosters creative effort—there would be little to be gained from investing and pouring effort into composing a song or writing a novel if others could reproduce the song or book at will without compensating its creator.

Not only is copyright at the center of the creative soul of artists, but it has a significant financial impact in the United States as well. According to the International Intellectual Property Alliance, approximately 11 percent of the gross domestic product in the United States derives from copyright industries, including software, films, music, and television shows. Additionally, copyright piracy costs U.S.

businesses an estimated \$25 billion each year in lost revenues.

Copyright law in the United States stems from the Patent and Copyright Clause of the Constitution, which provides that Congress shall have the power “to promote the progress of science and useful arts, by securing for limited times to authors and inventors the exclusive rights to their respective writings and discoveries.” U.S. Const. art. I, § 8. Under this clause, Congress has the power to enact legislation to provide copyright protection for authors for limited periods. Over time, the wording in the clause has been liberally interpreted to incorporate new technologies and protect new forms of expression such as films and video games as varieties of “writings.”

Congress enacted the first copyright act in 1790, and the first federal copyright registration was issued that same year to author John Barry for *The Philadelphia Spelling Book*. Since 1790, the act has been subject to major revision on four occasions: in 1831, 1870, 1909, and 1976. The 1790 act provided copyright protection to maps, charts, and books, and set damages for infringement of published works in the sum of 50 cents for every sheet found in the infringer's possession, one-half of the damages to go to the copyright owner and one-half to the federal government. Subsequent revisions to the 1790 act reflect a gradual expansion of the categories of works or “writings” that are entitled to protection. Thus, musical compositions, dramatic compositions, photographs, paintings, and sculptures were eventually included within the definition of copyrightable material. The present act provides protection to nearly anything that can be expressed in tangible form, including sound recordings, videotape, and computer software.

Copyright rights are governed exclusively by federal law. Pursuant to 17 U.S.C. § 301, the federal government has preempted all rights relating to copyright. Thus, the individual states cannot grant copyright, and there is no such thing as a state copyright

registration. The federal government regulates copyright in two ways: by providing a method of registration of copyright and by allowing access to the federal courts for copyright infringement claims. All cases alleging copyright infringement must be brought in federal court. On the other hand, for example, an allegation that a contract by which one party licensed a copyright to another was procured by fraud would be a matter of standard contractual interpretation and would be governed by state law because copyright issues themselves would not be involved in such a case.

Copyright law strives to balance two competing interests: the interests of authors in protecting their works from unauthorized copying and the interest of the public in having the greatest possible access to works of authorship. U.S. copyright law is intended to stimulate the creation of new works of art, literature, music, sculpture, and other tangible forms of expression.

COMMON LAW RIGHTS AND RIGHTS UNDER THE 1976 COPYRIGHT ACT

Until January 1, 1978 (the effective date of the 1976 Copyright Act), the United States had a dual system of copyright protection in that a distinction

was drawn between unpublished works and those that were published. Until 1978, authors had a perpetual common law right to their unpublished works. Thus, the author of an unpublished manuscript could exclude others from copying the material forever. Once the work was published with a proper copyright notice, however, the common law perpetual copyright was extinguished and protection was afforded by virtue of the 1909 act, which then provided a period of protection up to 56 years. **Publication** is the distribution of copies or phonorecords of a work to the public for sale or other transfer of ownership, by rental, lease, or lending.

Because this dual nature of copyright protection was complex, and the point at which works became published often led to controversy, the 1976 act eliminated the distinction between unpublished and published works and provides simply that a work is protected from its **creation**, that is, as soon as it is created or fixed in some tangible form. Thus, even an unpublished manuscript is governed by the 1976 act inasmuch as it is created when the author sets the words down onto paper or types them into a computer.

Just as trademark rights arise from use and not from registration with the USPTO, copyright rights



LEADING BY EXAMPLE

Although it is tempting to think that no one is hurt if you download a song, movie, or a software program from the Internet, remember that such acts are, in fact, acts of theft, just as reaching into someone's pocket and taking his or her money would be. Creators of songs and software programs have invested significant effort and time in creating their works and thus deserve to be compensated for their efforts. Resist the temptation of thinking, "Everyone is doing it." As a valued member of the legal profession, lead by example. Educate others, and explain to them why such downloading is illegal.

arise from the creation of a work in fixed form and not from publication or registration or other action in the United States. No permission or application with the U.S. Copyright Office is required to secure copyright protection; however, just as securing a trademark registration from the USPTO provides certain advantages to trademark owners, securing a copyright registration from the Copyright Office provides certain advantages to authors of works, including the following:

- Registration establishes a public record of the copyright claim.
- Before an infringement suit may be filed in court, registration is necessary for works of U.S. origin.
- If made before or within five years of publication, registration will establish *prima facie* evidence in court of the validity of the copyright and of the facts stated in the certificate.
- If registration is made within three months after publication of the work or prior to an infringement of the work, statutory damages and attorneys' fees will be available to the copyright owner in court actions.
- Registration allows the owner of the copyright to record the registration with the U. S. Customs and Border Protection for protection against the importation of infringing copies.

The copyright registration process is far simpler than either the trademark or patent registration process. The application fee is only \$35 (for an online application), and the process takes about three months for applications that are filed electronically and about 11 months for applications that are filed on paper.

Copyright protection generally lasts until 70 years from the death of the author. The 1976 Copyright Act is found at 17 U.S.C. §§ 101–1101. (See Appendix E.)

The 1976 Copyright Act has been amended several times. In 1980, specific protection was afforded to computer programs as works entitled to

copyright protection. In 1989, the United States joined the Berne Union, an organization now comprising more than 160 nations, by entering into an international treaty called the Berne Convention for the Protection of Literary and Artistic Works. Just as the Paris Convention requires member nations to treat citizens of member nations as they do their own citizens with regard to trademarks, the Berne Convention requires member nations to treat citizens of member nations as they do their own citizens with regard to copyrights. To satisfy our obligations under the Berne treaty, Congress once again amended the 1976 Copyright Act by eliminating any requirement for a copyright notice (©) to be used with a work (although use of the notice is recommended) and by requiring copyright applicants to submit two copies of a published work in which copyright is claimed when they apply for copyright registration. In 1990, the Copyright Act was again amended to bring U.S. copyright law more into conformity with that of other Berne Union members, particularly with respect to rights of attribution and integrity for certain works of visual arts (see Chapter 11).

The most recent significant amendment to the 1976 Copyright Act was enacted in late 1998, pursuant to the Sonny Bono Copyright Term Extension Act, when Congress extended the duration of copyright to 70 years from an author's death rather than 50 years from death as was previously the case.

Another significant 1998 amendment to copyright law is the Digital Millennium Copyright Act, which updates copyright law for the digital age by including provisions forbidding individuals from circumventing copyright protection systems and limiting the liability of Internet service providers (such as AOL) for copyright infringement. A number of experts believe that the Digital Millennium Copyright Act of 1998 is the most comprehensive updating of copyright law in a generation. The Act is discussed in detail in Chapters 15 and 16. References in this text to the Copyright Act are references to the 1976 act (with its later amendments).

THE U.S. COPYRIGHT OFFICE

The U.S. Copyright Office is a division of the Library of Congress and is located in Washington, DC. Its address and telephone number are as follows: Register of Copyrights, Copyright Office, Library of Congress, 101 Independence Avenue SE, Washington, DC 20559-6000 (202/707-3000 or toll-free at 877/476-0778). Its chief officer is the Register of Copyrights, and its powers and procedures are established in the 1976 Copyright Act. The primary function of the Copyright Office is to issue copyright registrations and serve as a depository for materials in which copyright is claimed. The Copyright Office is not permitted to give legal advice and will not offer guidance on matters such as disputes over the ownership of a copyright, suits against possible infringers, or other matters related to copyrights. It does, however, provide, free of charge, a variety of information, publications, circulars (information packets), and forms related to copyright. Among the more useful publications and materials (all of which are available for free viewing and downloading at the Copyright Office's website at <http://www.copyright.gov>) are the following:

- Forms for copyright registration
- Circular 1, "Copyright Basics"
- Circular 2, "Publications on Copyright"
- Circular 3, "Copyright Notice"
- Circular 4, "Copyright Office Fees"

- Circular 15a, "Duration of Copyright"
- Circular 38a, "International Copyright Relations of the United States"
- Circular 61, "Copyright Registration for Computer Programs"

Alternatively, you may call the Copyright Office's Forms and Publications Hotline at (202) 707-9100 (24 hours a day). Orders are recorded automatically, and materials will be mailed to you as quickly as possible, usually within two weeks.

Frequently requested Copyright Office circulars and fact sheets, announcements, application forms, and the most recent proposed and final regulations are also available for free through the Copyright Office's website. This website gives you access to information created by the Copyright Office and links to a wide variety of other copyright resources.

Finally, the Copyright Office provides a free electronic newsletter, "NewsNet," that issues periodic e-mail messages on copyright issues. These messages alert subscribers to hearings, deadlines for comments related to copyright rules and regulations, new and proposed rules and regulations, and other copyright-related matters. To subscribe, access <http://www.copyright.gov> and then select "News" and follow the instructions.

The Copyright Office has implemented **eCO**, its electronic system to allow filing of copyright applications for registration online.

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- According to the Institute for Policy Innovation, piracy of U.S.-produced copyrighted products cost U.S. industries more than \$25 billion in lost revenue in 2005.
- The Business Software Alliance has reported that in 2009, of more than 100 countries, the United States had the lowest rate of software piracy (20 percent). Georgia had the highest rate (95 percent).
- It has been estimated that more than 50 percent of college students download music illegally.
- The total number of copyrights registered in the United States, through 2009, was nearly 34 million.

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CHAPTER 11

The Rights Afforded by Copyright Law

CHAPTER OVERVIEW

Under the Copyright Act, a copyright owner has a “bundle” of rights: the right to reproduce, adapt, distribute, perform, and display the work to the exclusion of others. Thus, copyright owners have a full complement of ways to commercially exploit their works. There are, however, some important limitations on these exclusive rights. For example, once certain works have been distributed, under the “first sale doctrine,” the subsequent owner is free to distribute or resell the item without liability for infringement. Similarly, some activities do not constitute infringement, for example, some uses for certain educational activities, non-commercial fundraising, or for religious worship. Rights for sound recordings are considerably more limited than rights for other works, such as literary or musical works. Authors of fine arts such as paintings and sculptures may also have “moral rights,” meaning rights personal to themselves, that survive the sale of their work so that authorship of the work is forever attributed to them and the work is not mutilated or altered, which would prejudice their reputation as artists and creators. In fact, the exceptions to copyright owners’ rights can seem so complicated that they bring to mind Mark Twain’s famous quote, “Only one thing is impossible for God: to find any sense in any copyright law on the planet.”

INTRODUCTION

Section 106 of the Copyright Act provides that, subject to certain exceptions, the owner of a copyright has the exclusive rights to do and to authorize any of the following:

- To reproduce the copyrighted work in copies or phonorecords
- To prepare derivative works based on the copyrighted work
- To distribute copies or phonorecords of the copyrighted work to the public
- To perform the copyrighted work publicly (in the case of certain works)
- To display the copyrighted work publicly (in the case of literary, musical, dramatic and choreographic works, pantomimes, and pictorial, graphic, or sculptural works)
- To perform the copyrighted work publicly by means of a digital audio transmission (in the case of sound recordings)

Unless exemptions exist, unauthorized exercise of any of these rights by another is an infringement of the owner's copyright in the work, whether or not the owner has secured a copyright registration and whether or not the owner has published the work. Any of these exclusive rights may be transferred and they may be owned separately. For example, the composer of a song may authorize one person to perform it publicly and another to create a television show based on the song. Each right is separately transferable.

These exclusive rights, usually referred to as a "bundle," will be examined in this chapter.

RIGHTS OF REPRODUCTION

The most fundamental of the rights granted to copyright owners is the right to reproduce the work, thereby excluding others from reproducing

the work. A violation of the Copyright Act occurs whether or not the violator profits by the reproduction. Consider the warning displayed at the beginning of every video you rent that reproduction is a violation of the Copyright Act. Thus, making a copy of the movie *The Social Network* violates the owner's right to reproduction, even if you only intend to view the movie privately.

Only the owner has the right to reproduce the work. Secretly taping a concert, taking pictures at a filmed performance, or recording a simultaneously recorded speech all violate the owner's right to reproduce the work even if there is no later sale or distribution of the work.

At the suggestion of Congress, in 1978 a group of authors, publishers, and users established a not-for-profit entity called Copyright Clearance Center (CCC) to serve as a clearinghouse granting rights to reproduce and distribute books and periodicals. Authors register their works with the CCC, which then grants licenses to academic, government, and corporate users to copy and distribute the works. The CCC grants permission or licenses to use works and then collects royalty fees, which are distributed to the authors. Companies that photocopy articles from journals and magazines often enter into licensing arrangements with the CCC so they can make copies of articles for internal distribution within the company and remain in compliance with copyright law. The CCC is located at 222 Rosewood Drive, Danvers, MA 01923. Its telephone number is (978) 750-8400, and its Internet address is <http://www.copyright.com>.

A new trend among some copyright owners is to expressly grant licenses for others to use their works in limited ways. Creative Commons, a non-profit organization, allows musicians and other authors to grant licenses to others to borrow or adapt their works under a "some rights reserved" policy. Authors may either grant limited rights or total access by using free license agreements available

through Creative Commons's website (<http://www.creativecommons.org>). For example, one type of license allows others to sample, tweak, or remix a musical work as long they credit the original composer.

RIGHTS TO PREPARE DERIVATIVE WORKS

Section 106(2) of the Copyright Act provides that the owner of a copyright has the exclusive right to prepare derivative works based upon the copyrighted work. This right is often referred to as the right to adapt the original work.

As discussed in Chapter 10, a derivative work is broadly defined as a work based upon one or more preexisting works, such as a translation, dramatization, fictionalization, motion picture version, abridgment, condensation, or any other form in which a work may be recast, transformed, or adapted. A work consisting of editorial revisions, annotations, elaborations, or other modifications is also a derivative work, if the new material represents original work of authorship.

The copyright owner thus has the right to exclude others from adapting his or her work or

creating works based on the owner's work. For example, George Lucas has the right to exclude others from making sequels to his *Star Wars* works. Stephen King can exclude others from making a play or a television movie based upon his books. Taylor Swift can prevent another from making a movie based upon her songs. Of course, if the authors of the works consent, others may be granted rights to adapt a work. Thus, many of author Danielle Steel's works of fiction have been made into television movies, and the novel *The Road* was made into a motion picture. The new derivative work is separately copyrightable in regard to its new elements. Copyright in the derivative, however, does not affect the copyright in the original. Thus, the new elements, lines, characters, and so forth that are added to the movie *The Road* are separately copyrightable as a derivative work, while the original author retains rights to any material in the novel *The Road*.

In a new twist on derivative rights, fans of certain movies, television shows, books, and other works now write **fan fiction**, unauthorized works about preexisting characters and settings authored by those other than original authors. For example, devoted fans now write fanzine articles or post blogs

ETHICS EDGE



AVOIDING COPYRIGHT INFRINGEMENT

One of the easiest ways to violate the copyright rights of others is by reproducing or distributing materials without permission. The following are all copyright violations that are commonly committed by students (assuming there are no exceptions):

- Copying more than an insubstantial portion of a book or article, for example, copying an entire chapter of a textbook
- Making unauthorized copies of posters, photos, or other copyrighted artwork
- Distributing multiple copies of an interesting article to friends and colleagues
- Downloading music or movies without paying the necessary license fees
- Uploading copyrighted material to the Internet

on the Internet detailing new adventures of their favorite Harry Potter, Twilight, or Star Trek characters. Although these writings nearly always violate the copyright owners' rights to create derivative works, some authors tolerate or even encourage such fan fiction because it enhances interest and encourages sales of their original works. Other copyright owners zealously scour the Internet for infringements and then attempt to enjoin fan fiction. Fan fiction is not only likely a copyright violation (unless it is a protected fair use, such as a parody), but may also constitute a trademark violation or dilution of a mark if the fan fiction tarnishes a mark.

RIGHTS OF DISTRIBUTION AND THE FIRST SALE DOCTRINE

Section 106(3) of the Copyright Act provides that the owner of a copyright has the exclusive right to distribute copies or phonorecords of the work to the public by sale or other transfer of ownership, or by rental, lease, or lending. A violation of the distribution right can arise solely from the act of distribution itself even if the distributor did not make an unlawful copy or know the copy being distributed was unauthorized. Thus, Redbox video rental kiosks can be liable for violating an owner's right to distribute a movie, even if Redbox does not know that the movie was placed on DVD without the owner's authority. Authors often grant permission to others to distribute their works, including granting licenses through entities such as the CCC, discussed earlier.

One key limitation on a copyright owner's sole right of distribution is found in Section 109 of the Copyright Act, which provides that once the author has parted with ownership of a copy or phonorecord, the new owner of a lawfully made copy can treat the object as his or her own and can then freely use, sell, lease, or lend the work to another. Just as in trademark law (see Chapter 6), where the

first sale "exhausts" the trademark owner's right to a mark, in copyright law, the copyright owner's sale of an item exhausts his or her exclusive right to distribute the work. Thus, purchasing a copy of the book *The Help* or purchasing a DVD of the movie *The Twilight Saga: New Moon* gives the new owner the right to lend the book or DVD to a friend, resell the work at a garage sale, or even destroy it. The **first sale doctrine** does not apply to or limit the author's exclusive rights to prepare derivative works or rights of public performance and display, but only to distribution rights. The first sale doctrine rests on the principle that once the copyright owner sells the initial physical copy, he or she has received full economic value for the work and should not be able to restrict future sales. Note, however, that there is no digital first sale doctrine. If you purchase an e-book (rather than a conventional print book), you cannot later transmit it to others, resell it, or give it away (unless the seller or licensor allows you to do so). See Chapter 15 for additional information on the digital first sale doctrine.

The copyright owner, however, while having parted with distribution rights, retains other rights, such as the right to reproduce the work, perform it, adapt it, and prepare derivative works based on it. Thus, in the previous example, the purchaser of the book *The Help* does not have the right to make a movie of the book or to prepare a second updated version of the book based upon the original. The original owner, the author, retains such derivative rights, having lost only the right to distribution through the first sale doctrine.

Courts have struggled with the question whether the first sale doctrine applies to goods imported into the United States. Section 602 of the Copyright Act provides that importing copies or phonorecords of a work acquired abroad into the United States without the copyright owner's authorization is an infringement of the copyright owner's exclusive right to distribute his or her

works. In a 1998 decision, the U.S. Supreme Court held that once a first sale of a domestically manufactured product occurs, even if the sale is made abroad, the copyright owner's right to distribute is exhausted. Thereafter, the owner of the work or product can resell the item freely, without permission of the copyright owner. *Quality King Distribs. v. Lanza Research Int'l Inc.*, 523 U.S. 135 (1998). See Chapter 16 for further discussion of this topic.

Exceptions to the First Sale Doctrine

There are some exceptions or limitations to the doctrine that once a copyright owner parts with ownership of a copy or phonorecord he or she has lost the right to distribute his or her work:

- The first sale doctrine applies only to lawfully made copies and phonorecords. Thus, if Barnes & Noble bookstore comes into possession of a pirated or unauthorized version of Tina Fey's book *Bossypants*, resale to others would violate the author's rights of distribution, even if the bookstore did not know it possessed a pirated version of the book.
- Due to a special statutory exception, enacted largely at the urging of the music industry, the first sale doctrine does not apply to commercial rentals of phonorecords and certain computer programs. Those works cannot be commercially rented. Section 109(b) of the act specifically provides that neither the owner of a particular phonorecord nor any person in possession of a particular copy of a computer program may rent, lease, or lend such for commercial advantage (without the permission of the owner of copyright in the sound recording or computer program, respectively).

Prior to the enactment of 17 U.S.C. § 109(b), record stores would rent records and CDs to customers who then went home and made copies of the record or CD on a blank

tape or CD for a fraction of the price of buying the original. Because of the threat to the music industry, this rental practice is now banned. Thus, Shania Twain can prohibit the purchaser of her records or albums from renting those works commercially, generally because commercial renting of sound recordings would seriously undermine creativity and deprive copyright owners of revenue. Nonprofit libraries and other similar educational institutions may, however, lend or rent out sound recordings and computer programs. Additionally, if the computer program is incapable of being copied, it can be rented. Thus, Redbox can rent out computer video games to consumers because consumers are generally unable to duplicate or copy the video games. Finally, this limitation does not apply to computers that are part of other machines or products. Thus, a car can be rented by a consumer inasmuch as the computer programs, such as an onboard navigational system that makes up part of the car, cannot be readily copied and are integrated into the car itself. In sum, however, the author of a sound recording or computer program can prevent owners of lawfully made copies from renting, leasing, or lending their copies of the sound recording or computer program to others for direct or indirect commercial advantage.

The Droit de Suite Doctrine

Droit de suite (literally, "right of continuation") is a doctrine recognized in many foreign countries, but not generally in the United States, that allows authors of works of fine art to share in the appreciation of the value of a work. Under this doctrine, if a painter sells a painting for \$25,000 and the painting is later sold for \$100,000, the painter would be able to share in the \$75,000 appreciation of the

work. The doctrine attempts to place creators of fine art works on a level playing field with other authors and creators. For example, because the movie *The Godfather* still remains highly popular, its authors and creators continue to receive significant royalties from continuing sales of DVDs, posters, soundtracks, and so forth. However, if an artist sells an oil painting for \$5,000 and later becomes highly successful, the painting may later resell for \$2 million, with the appreciation going only to the art broker and the seller, and the original artist receiving no part of the proceeds.

California has enacted a statute called the California Resale Royalties Act (Cal. Civ. Code § 986), which accomplishes the same goal as the *droit de suite* doctrine by allowing artists residing in California to collect 5 percent of any resale price for their works, if the work (which must be an original painting, sculpture, drawing, or an original work of art in glass) is sold for at least \$1,000 and is sold for more than the reseller paid for it. The artist's rights last for 20 years after death.

Thus, in California, the first sale of a work of fine art does not exhaust the owner's distribution right because the original owner can share in the proceeds of a later sale. Some experts have questioned the constitutionality of the California statute inasmuch as the Constitution provides exclusive authority to Congress (not the individual states) to promote science and arts through copyright law. Moreover, the California law may ultimately damage the California art market if buyers avoid purchasing art in California in order to circumvent the 5 percent royalty they may later need to pay an artist. California is the only state that recognizes any *droit de suite* rights. There is no comparable provision in federal law, although some experts advocate that the United States should amend copyright law to recognize such rights so that visual artists may participate in the increase in the value of their works as do other artists, such as composers and authors.

RIGHTS TO PERFORM THE WORK PUBLICLY

Section 106(4) of the Copyright Act provides that in the case of literary, musical, dramatic and choreographic works, pantomimes, and motion pictures and other audiovisual works, the copyright owner has the exclusive right to perform the copyrighted work publicly. The word *perform* means to recite, render, play, dance, or act a work, either directly or by means of a device or process to show its images in any sequence or to make the sounds accompanying it audible. Thus, if an individual reads the copyrighted novel *The Lincoln Lawyer* on the *Tonight Show*, there have been two performances: one in the reading of the work before the live audience and the other in the transmission of it by the television show.

The copyright owner's right to perform is limited to public performances. To perform a work publicly means to perform the work at a place open to the public or at any place where a substantial number of persons outside of a normal circle of a family and its social acquaintances is gathered or to transmit or communicate the work to the public or to a place open to the public (again, outside of a small family or social setting), whether the performance is live or recorded. Performances at places such as clubs, lodges, schools, and summer camps are "public performances" subject to copyright protection. Thus, if Van Morrison sings a song copyrighted by Bob Dylan at a nightclub, theatre, in concert, on Howard Stern's radio show, or on the *Tonight Show*, he has violated Bob Dylan's right of public performance. Note that if Howard Stern's radio show is live in New York City but taped for later transmission in Los Angeles, there have been two separate public performances. The transmission by radio or television broadcast is a public performance even though listeners receive the transmission at different times and places and in the privacy of their own homes or cars. If Van Morrison sings the same song for a

small group of friends and family gathered at his home, however, there is no violation because there has been no public performance.

If a room or facility is open to the public and a copyrighted movie or song is performed therein, there has been a violation of the owner's exclusive right to public performance of his or her work. Courts have held, however, that a private viewing or transmission of a rented movie in a guest's hotel room is not a public performance, and such a viewing is treated the same as rental of a movie for home viewing. *See Columbia Pictures Indus., Inc. v. Prof'l Real Estate Investors, Inc.*, 866 F.2d 278 (9th Cir. 1989).

Exception for Sound Recordings

The exclusive right of a copyright owner to perform his or her work publicly does not extend to sound recordings. 17 U.S.C. § 114(a). Nevertheless, as discussed below, § 106(6) provides that owners of sound recordings have the exclusive right to perform their works publicly by means of *digital* audio transmission.

Recall from Chapter 10 that a sound recording usually protects the arrangement or production of a song (and its author is the performer or the record producer, or both), while a musical work is a musical composition and its accompanying words. There are thus two separate rights in music: the right protecting the notes and lyrics (this is the *musical work*) and the right protecting what you hear, such as the performer singing, the musicians playing, and the entire production and recordation of sound (which is the *sound recording*).

The limited rights afforded to sound recordings means that once a sound recording exists, others may perform it without liability. For example, when an AM or FM radio station plays or transmits a record of Frank Sinatra singing "My Way," a song written by Paul Anka, there is no violation of Frank Sinatra's or

the record company's rights, and no fee need be paid to play this song; however, there has been a violation of Paul Anka's right to perform the work publicly because he is the author of the underlying musical composition (assuming Paul Anka did not authorize the performance). Paul Anka thus receives a royalty or license fee as the songwriter although the performing artist, Frank Sinatra, does not. The likely rationale for this rule is to ensure that radio stations are not burdened by paying double royalties (one to the composer and one to the performer) in order to play most songs. Additionally, the conventional wisdom has been that airplay on the radio provides free promotion to the performers. Moreover, composers have objected to allowing a right of performance to sound recordings, likely fearing that they would then have to share their portion of royalties with the authors of the sound recordings, reducing their share of the pie.

Performers have fought for royalty payments for radio sound recordings since the 1950s, when Frank Sinatra argued in favor of royalties for performers of sound recordings. In 2009, legislation was introduced in the 111th Congress that would have granted performers of sound recordings rights to compensation when their songs were performed on AM or FM radio. The legislation did not pass, and at the time of the writing of this text, no one is certain if similar legislation will be reintroduced. However, in March 2011, the Obama administration's Intellectual Property Enforcement Coordinator recommended that Congress create a right of public performance for sound recordings transmitted by over-the-air radio stations and noted that the United States is alone among industrialized nations in not recognizing a public performance in sound recordings. The support of the White House for legislation giving sound-recording owners public performance rights may tip the scales in favor of such rights. Moreover, a coalition of artists and performers, musicFIRST, has broadbased support and

lobbies for compensation for performers when their sound recordings are played on AM and FM radio.

Performers have found the situation especially frustrating since other radio platforms, including satellite radio companies (such as SIRIUS XM), Internet radio (such as Pandora), and cable TV music channels, pay performance royalties to the owners of sound recordings, and even AM and FM radio stations that stream their signals online (simulcasting their signals over the Internet or via satellite) pay performance royalties. In fact, in early 2011, the Copyright Royalty Board set statutory rates for Internet royalties (meaning royalties paid by webcasters for the noninteractive streaming of sound recordings, assuming those webcasters have not entered into voluntary agreements to pay royalties). Only “terrestrial” AM and FM radio stations do not pay royalties to the performers themselves.

The Digital Performance Right in Sound Recordings Act (17 U.S.C. § 106(6)), added by Congress in 1995, however, provides that owners of sound recordings have the exclusive right to perform their works publicly by means of *digital* audio transmission. The new right afforded to the owners of copyright in sound recordings is protection against public performances of their sound recordings by subscription and interactive services. Although there are several exemptions, in brief, digital music services such as Rhapsody must now pay recording companies and performers when they transmit sound recordings. Additional issues relating to the downloading of music through the Internet and music file sharing are discussed in Chapter 15.

In sum, the exclusive rights of the owner of a copyright in a sound recording are limited to the rights to reproduce the sound recording (to ensure “pirates” do not make bootleg copies of a record), to prepare derivative works based on it, to distribute copies or phonorecords of the sound recording to the public, and to perform the work by means of a digital audio transmission. The owner of a sound recording

copyright has no right to control *performance* or *display* of the work and no right to receive performance royalties from airplay on conventional radio.

Other Exceptions

According to Section 110 of the Copyright Act, the following performances, many of which relate to nonprofit educational or charitable activities, do not violate a copyright owner’s exclusive right to perform his or her work publicly.

- **Face-to-face teaching.** The Copyright Act protects performances or displays of a work by instructors or pupils in the course of face-to-face teaching activities of a nonprofit educational institution in a classroom or place devoted to instruction and certain instructional or educational broadcasting by governmental bodies or nonprofit educational institutions engaged in systematic instructional activities. Thus, students in a drama class at a nonprofit college can perform a copyrighted play without liability and students in an English class at the college can publicly read copyrighted poems and other similar works without liability. Although the TEACH Act of 2002 (17 U.S.C.A. § 110(2)) allows for the use of some copyrighted materials in digital distance learning, there are still some restrictions. For example, the institution offering distance education must be an accredited, nonprofit educational institution, and many distance institutions are for-profit. Similarly, the use must either be for “live” or asynchronous class sessions and must not include the transmission of textbook materials.
- **Religious services.** Performances of a nondramatic literary or musical work in the course of services at a place of worship or other religious assembly are permissible. (The term “nondramatic musical work” usually refers to a song.) Thus, a choir may perform a copyrighted piece of music during church services without liability.

- **Promotion of records.** The Copyright Act allows performances of nondramatic musical works (namely, the playing of recorded music) at retail stores, such as record stores and stores that sell CDs and CD players, to promote sales.
- **Nonprofit and charitable performances.** Live (not transmitted) performances of non-dramatic literary or musical works for non-commercial (meaning “nonprofit”) purposes are permissible if there are no fees paid to the performers or organizers and no admission charges or, if there are charges, the net proceeds are used for charitable purposes and the author is notified so he or she can object prior to the performance. Copyright owners are allowed to object so they can ensure their copyrighted works are not used to support fundraising causes they oppose. This exception promotes benefit and fundraising concerts for educational, religious, or other charitable purposes. Thus, a free concert to raise funds for victims of Hurricane Katrina could use copyrighted music without liability.
- **Veterans and fraternal organizations.** The Copyright Act allows performances of non-dramatic literary or musical works at social functions organized by a nonprofit veterans’ organization or a nonprofit fraternal organization to which the public is not invited and the proceeds of which are used exclusively for charitable purposes and not for financial gain.
- **Agricultural and horticultural fairs.** Performances of a nondramatic musical work by a governmental body or nonprofit agricultural or horticultural association in the course of an annual agricultural or horticultural fair or exhibition are permissible.
- **Small commercial establishments and the homestyle exemption.** The Copyright Act (17 U.S.C. § 110(5)) allows transmissions of radio

and television broadcasts in small businesses, restaurants, and bars (less than 2,000 square feet for non-eating establishments and less than 3,750 square feet for eating establishments) thus allowing such establishments to play radios and televisions for the enjoyment of their customers without obtaining licenses, as long as no direct fee is charged and there is no further retransmission. Moreover, the establishment must use a single receiving apparatus of a kind commonly used in a private home. Note that this exception applies only to radio and television transmissions—setting up a CD player and playing a CD would be prohibited as a violation of the copyright owner’s exclusive rights. Similarly, if one augments a standard television with a VCR and shows DVD movies, such is not exempt. Businesses whose square footage exceeds the stated amounts also qualify for the exemption if they use six or fewer speakers or four smaller televisions. The intent of this provision is to exempt small commercial establishments whose proprietors merely bring onto their premises standard “homestyle” radio and television equipment and turn it on for their customers’ enjoyment. Use of any sound system more complex than that used for normal home use is not exempt. Nevertheless, some experts have estimated that nearly 70 percent of eating and drinking establishments qualify for the exemption and thus need not pay licensing fees to play the radio at their premises.

Similarly, this provision allows one to receive a transmission in public. For example, turning on your radio on the beach or watching an ordinary television in a public park is not a performance for which you need permission.

- **Transmissions for handicapped persons.** The Copyright Act allows certain transmissions for the benefit of blind and deaf persons, if the performance is for nonprofit.

As you can readily see, the foregoing exceptions share certain common characteristics. Generally, they either accommodate a particular public interest type of use, or they otherwise cause minimal economic impact on the copyright owner. Thus, several relate to specific nonprofit, educational, or charitable uses; others narrowly limit the circumstances of the use to ensure that there is no meaningful commercial exploitation.

Note that many of the exceptions relate to “non-dramatic literary or musical works,” meaning books, songs, and records and excluding plays, motion pictures, and operas. Thus, showing a motion picture at a religious service (even if it is related to religion) violates the owner’s rights of performance and is prohibited.

Performing Rights Societies

Because the playing of music by CDs and radio in theatres, clubs, or large establishments is a public performance (requiring permission of the copyright owner of the music) and because the copyright owner of the music would have a difficult time keeping track of each time his or her musical work is publicly performed to enforce his or her copyright rights, performing rights societies came into existence to reduce the administrative burdens for both those seeking to perform the work and copyright owners.

Composers, lyricists, and publishers usually join one of three performing rights societies that grant licenses to others to publicly perform the works of their members. The societies then collect and distribute royalty fees for the licenses granted (after deducting their administrative costs).

A **performing rights society** acts as an agent for copyright owners of *musical works* and issues licenses in their behalf. The best known of the performing rights societies are ASCAP (American Society of Composers, Authors, and Publishers)

and BMI (Broadcast Music, Inc.). A smaller society is SESAC (formerly, the Society of European Stage Authors & Composers). The repertoires of ASCAP, BMI, and SESAC include nearly every song copyrighted in the United States and much of the world. They issue blanket licenses to commercial establishments, radio and television stations, and clubs, allowing them to play any of the works in the societies’ repertoires or inventories for a fixed fee, thus eliminating the need for a large commercial establishment or radio station to negotiate thousands of separate licenses to play music owned by others. The societies charge license fees and then distribute the collected royalty fees to the thousands of composers, authors, and publishers they represent. The performing rights societies monitor and visit radio stations, clubs, restaurants, skating rinks, conventions, shopping malls, gyms, and other commercial establishments to ensure that copyrighted works are not being publicly performed without license. ASCAP, BMI, and SESAC function in granting licenses to perform music the way the Copyright Clearance Center does in granting licenses to others to reproduce and distribute written works, such as magazine articles. Information about the societies can be found at their websites: www.ascap.com, www.bmi.com, and www.sesac.com.

Commercial establishments such as hotels, stores, and other businesses may also be engaged in public performances when they “pipe in” music throughout the establishment or play music when callers are placed on hold, whether the music is from the owner’s own record or CD or is music being simultaneously played on the radio. Although smaller commercial establishments may be exempt, as discussed earlier, if larger enterprises pipe in such music, there has been a public performance for which permission or a license must be sought. Thus, in *Sailor Music v. Gap Stores, Inc.*, 668 F.2d 84 (2d Cir. 1981), the Gap stores were held to have publicly performed musical works in violation of the owners’ copyrights where two stores had several speakers

recessed in their ceilings with enhanced sound systems that broadcast songs, and the stores encompassed an average of 3,500 square feet of space.

Generally, fees charged by ASCAP, BMI, or SESAC to a commercial establishment are determined by square footage, room capacity, revenue generated by the license, or the number of trunk lines a company has coming into its offices that play music on hold.

While the owners of copyright in *musical works* join ASCAP, BMI, or SESAC, performers and labels now join SoundExchange, a nonprofit performing rights organization that collects royalties for the owners of *sound recordings* from satellite radio (such as SIRIUS XM), Internet radio (such as Pandora), cable television, and similar platforms that stream sound recordings. SoundExchange is the sole entity appointed by the Copyright Royalty Board to collect and distribute these digital performance royalties on behalf of artists and labels. SoundExchange thus performs a different function from ASCAP, BMI, and SESAC in that it is the only entity that collects and distributes *digital* royalties. Thus, for example, the composer of a song joins ASCAP, BMI, or SESAC to receive royalties arising out of the performance of his or her *musical* works or songs, whereas the performer or owner of the *sound recording* registers with SoundExchange to receive digital performance royalties. Royalties paid to SoundExchange are based on size and business model so that webcasters with significant advertising revenue, such as Pandora or Slacker, pay more than small sites.

RIGHTS TO DISPLAY THE WORK PUBLICLY

Section 106(5) of the Copyright Act provides that in the case of all copyrighted works other than sound recordings, the copyright owner has the exclusive right to display the work publicly. A display is

“public” under the same circumstances in which a performance is “public,” namely, if it occurs at a place open to the public or at a place where a substantial number of persons outside of the normal circle of a family and its social acquaintances is gathered, or if it is transmitted or communicated to the public or to a place open to the public (again, outside of a small family or social setting), whether the display is live or recorded. Recall that as to architectural works, the owner of the copyrighted architectural work cannot prevent the making, distributing, or public display of pictures, photographs, or other pictorial representations of the work if the building is ordinarily visible from a public place.

Exception for Owners of Lawful Copies

Just as the first sale doctrine allows the owner of a lawful copy of a book to sell it or lend it to another, a similar right allows the owner of a lawful copy of a work (other than a sound recording) to display that copy publicly, either directly or by the projection of no more than one image at a time, to viewers present at the place where the copy is located. 17 U.S.C. § 109(c). Thus, a museum or gallery that has purchased a painting or sculpture may display that work in the museum or gallery but may not display it by multiple displays, such as displays on multiple computer screens, or by some other method of transmission (e.g., closed-circuit television transmission) to viewers at another location. By way of illustration, a department store cannot have a bank of screens that display several multiple slide projections of a painting even if it has purchased the painting (unless permission from the copyright owner has been obtained). Only one image at a time can be displayed to viewers present at the place where the copy is located (primarily to ensure that movies are not shown or performed without the owner’s permission). Thus, the first sale doctrine operates so as to

allow the owner of a physical object such as a painting or photograph to display it to the public (subject to the geographical restrictions discussed).

Other Exceptions

Other exceptions to the copyright owner's exclusive right to *display* are similar to certain of the exceptions to the copyright owner's exclusive right to *perform* discussed earlier, such as the following:

- Displays in face-to-face teaching activities of nonprofit educational institutions and certain transmissions that are part of systematic instructional activities of a governmental body or nonprofit educational institution
- Displays in the course of religious worship and services
- "Homestyle"-type displays

OTHER LIMITATIONS ON EXCLUSIVE RIGHTS

In addition to the exemptions to copyright owners' exclusive rights already discussed (including exemptions for use of works for certain educational purposes, religious worship, noncommercial charitable purposes, and limited transmission for small establishments), there are a few other limitations on a copyright owner's exclusive rights to his or her work:

- Libraries or archives may reproduce or distribute one copy of a copyrighted work and maintain three copies for replacement or preservation if there is no commercial advantage, the library is open to the public, and a copyright notice is placed on the work. 17 U.S.C. § 108.
- Libraries and archives are not liable for infringement for unauthorized photocopying of copyrighted works by their patrons as long as a notice is placed on the equipment warning that

the making of copies may be subject to copyright law. *Id.*

- Cases have held that secondary transmissions whereby hotels and other similar establishments relay radio and television transmissions to private guest rooms without charge are acceptable because these are not "public" performances and are analogous to the viewing of a rented videotape in a private home.
- Radio and television stations that have entered into lawful arrangements to perform works may make one temporary or "ephemeral" recording of works (other than motion pictures and audiovisual works) for a limited time so that it is easier for them to transmit them and may preserve them for archival purposes (e.g., a radio station may copy a compact disc onto a cartridge so it can be readily played). 17 U.S.C. § 112.
- An owner of a computer program may load or install the program onto his computer or make a copy of it for archival or backup purposes without infringing copyright. 17 U.S.C. § 117.

In addition to the exceptions described, certain uses of copyrighted works are not infringement, for example, quoting lyrics of a song or narrative from a book in reviews of the material, using a work in news reporting or teaching, or parodying works. Such uses are called "fair use" and are discussed in Chapter 14 as defenses to copyright infringement.

MORAL RIGHTS AND THE VISUAL ARTISTS RIGHTS ACT

Introduction

Many countries recognize certain personal and non-economic rights of authors in their works to protect their honor and reputation, even after they have sold their work. Such personal rights are referred to as **moral rights**.

There are two primary moral rights: the right of **attribution** (sometimes called the right of pater-nity), which ensures the author's right to be known as the author of a work, and the **right of integrity**, which ensures that the work not be distorted, mutilated, or misrepresented in a way that would injure the author's reputation.

The Berne Convention, to which the United States is a signatory, requires that member nations protect authors' moral rights of attribution and integrity. In 1990, Congress enacted the Visual Artists Rights Act (17 U.S.C. § 106A) in order to comply with its Berne Convention obligations. Prior to this legislation, authors generally protected their moral rights through actions for breach of contract, defa-mation, misrepresentation, or unfair competition.

Definition of Visual Arts

The Visual Artists Rights Act is quite limited and applies only to works of visual arts, namely, paint-ings, drawings, prints, photographs (produced for exhibition purposes only), or sculptures that exist in a single copy or in a limited edition of 200 or fewer copies, if those copies are signed and consecutively numbered. Thus, for example, the Act would pro-tect a single painting or prints of that painting (if there are fewer than 200 signed and numbered cop-ies of the print). Works of visual art do not include posters, maps, globes, charts, technical drawings, motion pictures, books, magazines, newspapers, electronic information services or publications, or merchandising, promotional, and packaging mate-rial, works made for hire, and works not subject to copyright protection (such as useful articles). Thus, the term *visual arts* generally refers to what is com-monly called *fine art*.

Rights of Attribution and Integrity

The author of a work of visual art has the following rights of *attribution*:

- To claim authorship of the work
- To prevent the use of his or her name as the au-thor of any work of visual art that he or she did not create
- To prevent the use of his or her name as the author of a work of visual art in the event of a distortion, mutilation, or other modification of the work that would be prejudicial to his or her honor or reputation

The author of a work of visual art has the follow-ing rights of *integrity*:

- To prevent intentional distortion, mutilation, or other modification that would be prejudicial to his or her honor or reputation
- To prevent any destruction of a work of recog-nized stature, whether through intentional or gross negligence

Thus, authors of fine arts have the right to be identified as the creator of their works and to pre-vent mutilation of their works, such as intentional distortions of their paintings or removal of limbs from sculptures. Modifications that are the result of the passage of time (such as chipping and fading), conservation, or presentation to the public (such as occurs when paintings in museums fade due to exposure to light) are not violations of the statute. California also prohibits the destruction or muti-lation of works of fine art and recognizes the right of attribution. Cal. Civ. Code § 987. Other states, including Massachusetts and New York, also have versions of moral rights statutes.

The removal of works of visual arts from build-ings presents special problems. If the works (e.g., murals or sculptures) can be removed without de-struction or distortion, a building owner must give notice to the artist of the planned removal; should the artist not arrange for removal of the work within 90 days, the artist loses all rights in the work. If the artist pays for the removal, the artist will own all

rights to the work. 17 U.S.C. § 113. In a recent case in San Francisco, a famous four-story mural called *Lilli Ann* was whitewashed by the new owners of the building on which it was painted. After more than a year of litigation, the artists were paid \$200,000 by way of settlement for the destruction of their work.

The statutory protection for works of visual arts incorporated in buildings is in stark contrast to the lack of protection afforded to the copyright owner of the *architectural work* itself: Recall that 17 U.S.C. § 120(b) provides that the owner of a building embodying an architectural work may alter or even destroy the building without the consent of the copyright owner of the architectural work. If the building includes a work of visual art, however, which can be removed without its destruction, then the notice and removal provisions of Section 113 are triggered.

Extent and Duration of Moral Rights

The artist who creates the covered work owns the moral rights in it, even after selling the work to another. The moral rights reside with the author and, because they are personal rights, cannot be assigned or transferred to another, although the owner can waive his or her moral rights if the waiver is in writing.

In the case of a joint work prepared by two or more authors, a written waiver by one author waives rights for all authors.

For works created after June 1, 1991, moral rights endure for the author's life. Moral rights in works created jointly last until the death of the last surviving author.

Other Ways to Protect Moral Rights

Because the Visual Artists Rights Act applies to such a narrow category of works, namely, fine arts, authors of other works often use other remedies to

achieve a level of protection equivalent to moral rights. Authors can agree by contract when they sell their works that they are entitled to future attribution and integrity rights. If the purchaser later removes the author's signature from the work or destroys it, a breach of contract has occurred. Authors may also be able to bring an action for violation of their exclusive right to prepare derivative works if a subsequent owner of a work defaces it or edits it. Finally, Section 43 of the Lanham Act prohibits persons from making a false designation about the origin of goods. Thus, failure to give attribution by naming the author of a work or implying that an author is the creator of a revised or edited work may violate this section.

COMPULSORY LICENSES

In the early days of music recording, under the 1909 Copyright Act, once a composer authorized a sound recording, the composer was automatically entitled to a compulsory license or royalty fee of two cents per copy. Another producer was free to copy the sound recording as long as the statutorily set fee was paid. This arrangement, known as a **compulsory license**, allowed certain copyrighted works to be used by others, provided that the fixed fees were paid, eliminating the need for the user to contact each and every copyright owner for permission to use works. Moreover, the compulsory license prevented absolute control of popular music by the copyright owners of such music. Compulsory licenses of nondramatic musical works (again, usually meaning songs) are governed by 17 U.S.C. § 115.

The arrangement is called "compulsory" because once the creator of a nondramatic musical work has allowed phonorecords of that work to be produced and distributed, the statute compels or requires him to grant a license upon request to any other person

who proposes to make and distribute phonorecords of the work (including distribution by digital transmission), at a royalty rate set by law. For example, Mariah Carey is one of the composers of “All I Want for Christmas Is You.” She can allow or license another, such as Lady Antebellum, to perform the song. Once Lady Antebellum’s recording of the song is distributed to the public, the compulsory license provisions are triggered and any other performers who wish to sing “All I Want for Christmas” may now also record the song, if they pay the compulsory license fee (or negotiate with the composers). Mariah Carey is then compelled to allow later performers to record her song at the set fee.

The provisions of Section 115 of the Copyright Act do not prohibit a party from entering into a voluntary license arrangement with a copyright owner but rather provide a method of licensing when voluntary arrangements are not pursued, the copyright owner is unwilling to negotiate, or the copyright owner cannot be located. In such a case, the person intending to record the work may use the compulsory licensing provisions of the copyright law. In fact, use of the compulsory license scheme is somewhat rare as “the vast majority of contracts for use of copyrighted musical works involve voluntary [arrangements].” *RIAA v. Copyright Royalty Tribunal*, 662 F.2d 1, 4 (D.C. Cir. 1981).

Thus, once a nondramatic musical work (such as a song) has been distributed to the public on a phonorecord under the authority of the copyright owner, any other person may make or manufacture other phonorecords for distribution to the public as long as notice is given and the set fees are paid. A compulsory license may be obtained only if the primary purpose in making the phonorecords is to distribute them to the public for private (not commercial) use.

A compulsory license is not available for phonorecords intended for use in background music

systems, jukeboxes, broadcasting, or any other public use. Proprietors of establishments that allow patrons to make selections on coin-operated jukeboxes are encouraged to enter into voluntary (rather than compulsory) license agreements. At present, licenses for coin-operated jukeboxes are available from the Jukebox License Office, a joint venture of ASCAP, BMI, and SESAC, by which all of the songs in their repertoires may be performed by the jukebox operator. If music is performed at an establishment by some means other than a jukebox (e.g., a band or DJ), a separate license from one or more of these performing rights societies is needed.

There are several other types of compulsory licenses in addition to those for making and distributing phonorecords or digital phonorecord deliveries of nondramatic musical works. Other compulsory licenses include the following:

- Secondary transmissions by cable television systems (17 U.S.C. § 111)
- Public performances of sound recordings by means of a digital audio transmission, such as music played on SIRIUS XM (17 U.S.C. § 114)
- Noncommercial broadcasting (17 U.S.C. § 118)
- Secondary transmissions of superstations and network stations for private home viewing (17 U.S.C. § 119)

Generally, compulsory licensing requires that users pay the royalty fees established by the Copyright Office to the copyright owner or to the Licensing Division of the Copyright Office. The Copyright Royalty Board sets the rates and terms for use of compulsory licenses. At present, the rate is 9.1 cents or 1.25 cents per minute of playing time, whichever is greater.

In a recent development, the Copyright Office determined in 2006 that cell phone ringtones are subject to the compulsory license provisions of Section 115. See Chapter 15 for additional discussion.



CHAPTER 14

Copyright Infringement

CHAPTER OVERVIEW

A copyright owner who has a registered copyright may bring an action for infringement when any of his or her exclusive rights have been infringed by another. Generally, to prevail in an infringement action, a plaintiff must show ownership of copyright and impermissible copying. Copying is generally proven by demonstrating that the defendant had access to the work and that the defendant's work is substantially similar to that of the copyright owner.

There are various defenses a defendant may assert in an infringement action. One of the most common defenses is that the defendant's use of the work is a "fair use." A fair use is generally a use for news reporting, scholarship, research, or educational purposes. Courts examine four factors in determining whether a defendant's use of a copyrighted work is a fair use: the purpose and character of the use, including whether the use is of a commercial nature or is for nonprofit educational work; the nature of the copyrighted work (with factual works receiving less protection than works of fiction or fantasy); the amount and substantiality of the portion taken by the defendant; and the effect of the defendant's use on the market for the plaintiff's work. Other defenses include laches, unclean hands, and the statute of limitations, which is three years from the infringing act.

Remedies available to a plaintiff include injunctive relief, impoundment of the infringing goods, actual damages and the defendant's profits, statutory damages, costs, and attorneys' fees. Criminal sanctions can be imposed for certain willful infringements.

INTRODUCTION

Registration (or preregistration) of a copyright is a requirement for initiating an action for infringement, 17 U.S.C. § 411, although registration is not required for works not originating in the United States. Moreover, prompt registration is a prerequisite for certain remedies for infringement. 17 U.S.C. § 412. Thus, although registration is not required to obtain copyright protection for a work, the failure to register will preclude a copyright owner from seeking redress for infringement. If registration of a work is refused by the Copyright Office, an action for infringement may still be brought if the author notifies the Copyright Office of the action. The Register of Copyrights then has the right to become a party to the action with respect to the issue of registrability of the copyright claim. 17 U.S.C. § 411.

Section 501 of the Copyright Act provides that anyone who violates any of the exclusive rights of a copyright owner (rights of reproduction, adaptation, distribution, performance, and display), or of the author (as provided in the Visual Artists Rights Act), or who imports copies or phonorecords into the United States in violation of copyright law, is liable for direct infringement of the copyright or right of the author. For example, the following may constitute infringement: playing copyrighted music in a large department store without permission; failing to provide attribution for a painting or other work covered by the Visual Artists Rights Act; and photocopying material from a copyrighted book.

ELEMENTS OF INFRINGEMENT

Ownership of Copyright

To prevail in an infringement action, a plaintiff must prove two things: his or her ownership of a valid copyright and copying or some other impermissible invasion by the defendant of one of the exclusive rights afforded to copyright owners. Ownership is usually more easily established than copying. A party may prove ownership by demonstrating that he or she is the author of the work or that the copyright in the work has been transferred to him or her. A certificate of copyright registration (made before or within five years of first publication of the work) will establish *prima facie* evidence in court of the validity of the copyright and of the facts stated in the certificate, including identity of the author or copyright owner.

Ownership issues often arise in the context of work-made-for-hire disputes, particularly when a party claims he or she is not an employee and thus a work cannot be owned by an employer or when a party claims there was no written agreement relating to the status of a specially commissioned work and thus he or she has retained copyright ownership. Remember that the author of a work made for hire is the employer or the commissioning party. Thus, such employer or commissioning party would be the proper plaintiff in an action relating to infringement of a work made for hire.

If the copyright has been transferred to another, that party is now the owner of the transferred rights and has the right to protect the work by an infringement action. For example, if a copyright author has transferred (in writing) exclusive rights to perform a work to another and the work is infringed by impermissible performance, the transferee's rights have been infringed. If there has been unauthorized reproduction rather than unauthorized performance, the original copyright author's rights have been infringed, and he or she may initiate an infringement

action. Courts will insist the plaintiff prove the transfer and show how the plaintiff acquired rights. Additionally, the plaintiff must have been the owner at the time his or her rights were infringed. If a copyright owner has transferred a work to another and yet retains some connection with the work, for example, by receiving periodic royalty payments, the owner as well as the transferee's rights have been infringed because both are affected by an infringement that would reduce the value of the work; therefore, both have standing to initiate an infringement suit.

Upon introduction of the registration (or transfer of copyright) into evidence, the court will presume that the work is protected under copyright law (although that presumption can be rebutted or defeated by the defendant) and that the plaintiff has ownership rights in the work such that he or she is the proper party to bring the infringement action.

Copying

Introduction. Copying may be proven by direct or indirect evidence. Direct evidence exists when the defendant admits copying or an eyewitness can testify that copying took place. Because it is usually very difficult to show direct evidence of copying, most cases rely on indirect or circumstantial evidence of copying, which requires proof of two elements: that the defendant had access to the copyrighted work *and* that there is substantial similarity between his or her work and that of the defendant. An independently created work cannot infringe even if it is identical to the copyrighted work.

Innocent Infringement Is Not a Defense. Infringement does not require an intent to infringe; even **innocent infringement** gives rise to liability. For example, assume *A* is given a book that *B* claims *B* wrote. The book was actually the creation of *C*. If *A* copies the book, *A* has infringed *C*'s copyright even though *A* did not intend to infringe and did not know *C* had any copyright interest in the book. Thus,

neither intent to infringe nor knowledge of copyright is required for infringement to occur, although innocence may have a bearing on the amount of damages for which a defendant is liable. Moreover, merely attributing the material copied to the owner by stating that copies of chapters of a text are the product of their author will not protect an infringer. Attribution may reduce damages, but a party cannot escape liability for infringement by merely acknowledging the work is owned by another.

Additionally, infringement can be "subconscious," as was the case in *Bright Tunes Music Corp. v. Harrisongs Music, Ltd.*, 420 F. Supp. 177 (S.D.N.Y. 1976), *aff'd*, 722 F.2d 988 (2d Cir. 1983), in which a court held Beatle George Harrison's song "My Sweet Lord" infringed the song "He's So Fine" recorded by The Chiffons. In that case, the court held that Harrison did not deliberately plagiarize the earlier song but that he subconsciously recollected the copyrighted song when he composed "My Sweet Lord." On appeal, the Second Circuit reaffirmed that intent to infringe is not essential and that to allow a defense of innocent infringement would undermine the protections Congress intended copyright owners to possess.

Access. **Access** is generally interpreted to mean that a party had a reasonable opportunity to perceive or review a work, either directly or indirectly. Access can be inferred if the copyrighted work has been widely disseminated. Moreover, if the two works are identical or nearly so, it may be presumed that the defendant had access to the plaintiff's work. Generally, the greater the similarity between two works, the less access must be shown. Conversely, if the works are entirely dissimilar, no amount of access will result in a finding of copying.

In some cases, where there has been no evidence of access, courts have nevertheless found infringement if the two works are strikingly similar. Copying may be inferred where the works are so similar that

the possibility of independent creation or coincidental creation is precluded.

Access has been shown where copies of the plaintiff's work have been sent to the defendant, where the defendant has visited the plaintiff's place of business, where the plaintiff's works have been displayed at events attended by the defendant, and where access occurred through a third party, such as a manufacturer, connected to both the plaintiff and the defendant.

Substantial Similarity of Works. As noted, because it is seldom possible to prove copying by direct evidence (such as testimony from a witness who saw the defendant copy from the plaintiff's book), copying is usually proven through indirect or circumstantial evidence. Thus, infringement is usually shown by demonstrating that the allegedly infringing work is substantially similar to the copyrighted work. In some instances, map makers and directory authors purposely include fictitious entries in their works; when the same erroneous matter is found in a defendant's work, copying is generally found to exist.

The test used by most courts, often referred to as the ordinary reasonable observer test, focuses on whether the accused work is so similar to the copyrighted work that an ordinary reasonable person or lay observer would recognize that the copyrighted work was appropriated by the defendant.

The lay observer test has been refined to take into account the intended market for the works. Thus, where infringement of a video game was alleged, and the target market was young men, a court found that the intended purchasers (17½-year-old males) were a knowledgeable and discerning group and would not regard the works as substantially similar. *Data East USA, Inc. v. Epyx, Inc.*, 862 F.2d 204 (9th Cir. 1988). Another refinement of the lay observer test occurs when the works are complex, such as computer programs. In such cases, expert testimony is usually used to prove or disprove

substantial similarity inasmuch as computer programs are highly technical and unfamiliar to most of the general public.

Many courts use a two-step analysis to determine if infringement has occurred. The first step analyzes whether there has been copying. Once copying has been established, the second step requires that a determination be made as to whether the copying constitutes an impermissible appropriation, namely, whether the copying of the protected material was so extensive that it rendered the offending and copyrighted works substantially similar. In the first stage, some courts compare the works element by element and create lists of similarities and dissimilarities, in essence, "dissecting" the works. Other courts criticize dissection and prefer to focus on the overall similarities or the "total concept and feel" of the works, especially when only some of the work is protectable. For example, in *Boisson v. Banian, Ltd.*, 273 F.3d 262 (2d Cir. 2001), a case involving infringement of quilt patterns, some of which included non-protectable elements such as alphabet letters, the court relied on the "more discerning observer" test and stated that determining substantial similarity required examination of the total concept and feel of the two works, as instructed by common sense when some elements are nonprotectable.

Courts have continually struggled in assessing "substantial similarity." In *Nichols v. Universal Pictures Corp.*, 45 F.2d 119 (2d Cir. 1930), Judge Learned Hand commented that copyright protection cannot be limited literally to the text; otherwise a plagiarist would be able to make immaterial variations with impunity. Thus, a party need not copy the entire work to be an infringer.

When only a part of a work is taken, such as one scene from a play, Judge Hand stated that the question is whether the part taken is substantial. Even more difficult questions, however, arise when the plagiarist does not copy a block of material but rather abstracts the whole work. In these two instances

(**literal copying** of some of a work and nonliteral copying of an entire work), Judge Hand remarked that “Nobody has ever been able to fix that boundary [of protection], and nobody ever can.” *Id.* at 121.

If part of a work is copied or taken, courts usually examine not only the quantity of the work taken but also its characteristics and the nature of the work itself. Infringement has been found even if language is not identical when recognizable paraphrases have been taken. There is no precise answer to the question “how much is too much?” In one case, the taking of fragments from three sentences in a book of more than 200 pages was found to be infringement. Moreover, if the part taken is the “heart” of the material, there may be an infringement. It is not necessary that a large portion of material be copied; it is sufficient if a material and significant part is taken even though that may be a small part of the whole. Thus, a love story about lovers from different economic classes with a tragic ending might not infringe the book *Love Story*; however, using the well-known line, “Love means never having to say you’re sorry,” might well constitute an infringement because the statement is an important portion of or the “heart” of the work copied.

Once copying is shown, examination must focus on whether the elements taken were protected by copyright. It is permissible to take ideas but impermissible to appropriate expression of those ideas. Works in the public domain may be examined, and the defendant may attempt to prove that both the plaintiff’s work and the defendant’s work share elements and similarities with works in the public domain. If all similarities arise from use of common ideas or works in the public domain, there can be no infringement.

Some courts use a test known as the “abstraction-filtration-comparison” test to separate protectable expression from unprotectable ideas in copyright infringement cases. First, a court dissects the allegedly infringing work and isolates each level of abstraction

in it. Second, unprotectable elements, such as ideas, processes, facts, and public domain information, are filtered out. Third, a comparison is made of the remaining protectable elements to determine if the second work misappropriates substantial elements of the first. *Computer Assocs. Int’l, Inc. v. Altai, Inc.*, 982 F.2d 693 (2d Cir. 1992). The abstraction-filtration-comparison test is used most frequently in determining whether infringement of computer programs has occurred and is discussed further in Chapter 15. See Exhibit 14–1 for copyright infringement myths.

Some of the newer issues involving copyright infringement relate to the Internet. For example, in March 2007, entertainment giant Viacom sued Google’s YouTube for contributory copyright infringement, alleging that the video website did little or nothing to prevent users from posting copyrighted videos on its site. Viacom asked for \$1 billion in damages, noting that clips from popular shows such as *South Park* are routinely posted on YouTube, which in the past has removed offending clips upon a “takedown” request by copyright owners. In mid-2010, a federal judge ruled in favor of YouTube, agreeing that because YouTube complies with the takedown provisions of the **Digital Millennium Copyright Act (DMCA)**, it is shielded from liability and that mere general knowledge that infringing activity occurs on YouTube is not sufficient to impose responsibility on service providers such as YouTube. (Note that this approach is highly similar to the ruling in the trademark case *Tiffany (NJ) Inc. v. eBay Inc.*, discussed in Chapter 6.) At the time of the writing of this text, Viacom had appealed the lower court’s decision. See Chapter 15 for more information about the *YouTube* case.

Most experts believe that digital infringement should be treated no differently from conventional infringement and that the likely resolution is that the two companies will enter into an arrangement whereby YouTube licenses the right to show Viacom’s

There are a number of myths or misconceptions regarding copyright infringement. Some of the more common myths include the following:

- **I can use anything without a copyright notice.** False. Placing a copyright notice on a work is optional since March 1, 1989, and works are protected under copyright law from the time of their creation in a fixed form.
- **If I give credit or attribution to another, there is no infringement.** False. While indicating that material is the product of another may show innocent infringement and help to reduce damages, infringement is not cured by reciting that another is actually the author of a work.
- **I'm only using a little bit, so there can be no infringement.** False. Copyright infringement does not depend on how much is taken. This myth is similar to a common misunderstanding that a musician can use four bars of another's song before infringement will be found. If the amount taken is qualitatively significant, infringement will exist. In one case, the taking of two bars of music was held to be an infringement.
- **If I don't charge for what I took, there can be no infringement.** False. Although a noncommercial use of a work may affect the damages awarded in an infringement case, unauthorized taking constitutes infringement whether or not it is for profit-making purposes.
- **I'm only paraphrasing, so there can be no infringement.** False. Infringement is not limited to exact copying. If two works are substantially similar, copying may be shown.
- **I mailed it to myself and thus copyrighted the work.** False. For some reason, a myth persists that if one mails a copy of one's work to oneself, the work is now protected by copyright. The mailing of the work has no relationship to copyright protection. The work is protected from the time it is created in a fixed form.

EXHIBIT 14-1 Copyright Infringement Myths

content. In the interim, Google has unveiled a filtering system that gives the owners of copyrighted materials the option of promoting or blocking their content on the YouTube site.

CONTRIBUTORY INFRINGEMENT AND VICARIOUS INFRINGEMENT

Courts have held persons and companies liable for the infringing acts of others. If a person, with knowledge of an infringing activity, induces, causes, or contributes to infringing conduct, he or she will be liable for infringement as a contributory infringer.

Contributory infringement occurs when photo shops reproduce or duplicate photographs bearing a copyright notice, when copy shops reproduce or

allow customers to photocopy books and other protected materials, when operators of flea markets or swap meets allow pirated works to be sold, or when an individual sells specially formatted blank cassettes and tape duplicating equipment to pirates with knowledge they are engaging in acts of infringement.

Generally, contributory infringement requires either personal conduct that furthers the infringement or contribution of goods or machinery that provide the means of infringement. If the equipment supplied is capable of significant noninfringing uses, no contributory infringement will be found unless there is clear intent to bring about infringement.

In the famous case *Sony Corp. of America v. Universal City Studios Inc.*, 464 U.S. 417 (1984), the Supreme Court was called upon to determine

whether home videotaping of copyrighted works for later private viewing (e.g., taping a copyrighted television show or movie shown on television so one can watch it at a more convenient time, commonly referred to as “time-shifting”) constituted infringement and whether the defendant Sony was contributorily liable for making the videocassette recorders used to make the allegedly infringing copies. The Court held that time-shifting did not constitute infringement and that the sale of copying equipment, like the sale of other staple articles of commerce, does not constitute contributory infringement if the product is widely used for legitimate and unobjectionable purposes or if it is capable of substantial noninfringing uses. Sony was held not liable for contributory infringement. By contrast, in *Elektra Records Co. v. Gem Electric Distributors, Inc.*, 360 F. Supp. 821 (E.D.N.Y. 1973), the defendant stores sold blank tapes and for a fee loaned customers prerecorded tapes containing copyrighted songs. Customers would then duplicate the entire tapes on the defendants’ Make-A-Tape systems at the stores. The defendants were held liable for contributory infringement because they supplied all means necessary to infringe. Moreover, the defendants had a financial interest in the infringement.

Cases involving Internet service providers frequently approach the issue of copyright infringement from the standpoint of contributory liability. For example, *Metro-Goldwyn-Meyer Studios Inc. v. Grokster Ltd.*, 545 U.S. 913 (2005) held that one who distributes a device with the object of promoting its use to infringe copyright as shown by a clear expression or other affirmative steps to foster infringement is liable for the infringing acts of third parties. In *Grokster*, the defendants, who made and distributed computer software that enabled peer-to-peer file sharing over the Internet, were liable because their users used the software primarily to infringe copyrighted music and movies on a massive scale. Although the software may have had some noninfringing uses, the clear

intent of the defendants was to bring about copyright infringement. Thus, they were secondarily liable for copyright infringement.

As held in the *YouTube* case (and discussed further in Chapter 15), however, Internet service providers who expeditiously remove infringing materials when they have notice of such infringement, however, are generally not held liable for contributory infringement (primarily because the Digital Millennium Copyright Act provides a safe harbor for such providers if they act promptly when given notice of such infringement).

Vicarious infringement typically occurs when one party is responsible for infringement conducted by another when the two parties share a special relationship, such as that of employer-employee. One who is in a position to control the use of copyrighted works by others and has a financial interest in exploitation of the copyrighted works will be liable for vicarious infringement, even if he or she had no knowledge the infringement was occurring. For example, universities may be held liable for the infringing activities of teachers who photocopy copyrighted materials for distribution to students. The universities are in a position to control and direct the activities of teachers and should implement policies refusing photocopying unless the teachers obtain copyright releases or permission forms from the authors. Similarly, the operator of a swap meet was held vicariously liable for the sale of counterfeit recordings by a vendor who rented space from the operator on the basis that the operator had the right and ability to supervise the direct infringer and derived a financial benefit from the infringer’s activities. *Fonovisa, Inc. v. Cherry Auction, Inc.*, 76 F.3d 259 (9th Cir. 1996).

DEFENSES TO INFRINGEMENT

There are a variety of defenses a defendant charged with copyright infringement may assert. As stated, however, the infringer’s intent is not relevant, and

infringement can be found whether or not the defendant intended to infringe copyrighted works. Intent, however, may be relevant in assessing damages.

Fair Use

Section 107 of the Copyright Act provides that the fair use of a copyrighted work for purposes such as criticism, comment, news reporting, teaching, scholarship, or research is not an infringement. Fair use is thus a privilege to use copyrighted material without permission of the copyright owner. The rationale for allowing certain uses of copyrighted material is to benefit the public and promote the arts and sciences. The fair use defense is the most important defense to an allegation of copyright infringement.

The Copyright Office has given examples of activities that courts have regarded as fair use, including the following:

- Quoting excerpts from copyrighted materials in a review or criticism of the work
- Quotation of short passages in scholarly or technical works for illustration or clarification of the author's observations
- Use in a parody of some of the parodied work
- Reproduction of a small portion of a work by a teacher to illustrate a lesson
- A summary of an address or article, with brief quotations, in a news report

Thus, reviewers critiquing a song may quote lyrics from it, and parodies may be made of other works.

The Act identifies (and courts must consider) four factors in determining whether a use is fair and is thus permissible:

1. The purpose and character of the use, including whether such use is of a commercial nature or whether it is a nonprofit educational use
2. The nature of the copyrighted work
3. The amount and substantiality of the portion used in relation to the copyrighted work as a whole
4. The effect of the use upon the potential market for or value of the copyrighted work

None of the four factors identified in Section 107 is meant to be conclusive. Courts will examine each factor and weigh all considerations in determining whether a use is a permissible fair use or an infringing use. No one test is applied, and each case is determined on its own merits.

The Purpose and Character of the Use.

The first factor considered by courts focuses on the purpose for which reproduction, adaptation, distribution, performance, or display of a copyrighted work is undertaken and the use that is made of it. Generally, use for comment, criticism, and so forth is acceptable because it benefits the public and advances the public good; however, if a for-profit motive underlies any of these purposes, a different conclusion may be reached. Although commercial use will not automatically defeat a defense of fair use, use of another's work for a commercial purpose is less likely to be permitted than use for a noncommercial purpose. Thus, commercial use tends to weigh against a finding of fair use.

Courts also examine whether the defendant's use adds something new with a new purpose or different character. Addition of new material or a productive use benefits the public. The more transformative a work is, the less significant are other factors (such as commercial use). Failure to transform a work in any way weighs against a finding of fair use.

Finally, a use that is merely incidental is more likely to be determined to be a fair use. For example, if a CNN news reporter stands in front of a copyrighted painting while reporting on theft of works of art, such a use is incidental and may support a finding of fair use, even though the use is commercial

and it violates the copyright owner's right to display the work.

The Nature of the Copyrighted Work.

Courts consider the degree of creativity in the copyrighted work in determining whether a use is fair. Generally, the more creative the work, the more protection it is afforded against allegedly infringing works. Conversely, the more informational or factual the work, the less protection it receives. Thus, the fact that a second work is factual or informational in nature tends to support a finding of fair use. Once again, use and dissemination of factual and informational material tends to advance research and scholarship and is thus encouraged.

Whether the work is published or unpublished is important. Unauthorized use of an owner's work prior to publication severely affects the owner's right to determine the timing of entry into the market and be the first "on the scene." Thus, works that are unpublished generally receive more protection than those that have been published. Nevertheless, 17 U.S.C. § 107 specifically provides that the fact that a work is unpublished shall not itself bar a finding of fair use.

Amount and Substantiality of the Portion Used.

In determining whether use of another's copyrighted work is fair, courts consider the quantitative as well as the qualitative portion of the work that is reproduced. Generally, it is not a fair use to reproduce an entire work. When less than all of a work is reproduced, whether the use is fair depends on the importance of the portion used, namely, whether the reproduced portion is the essence or "heart" of the copyright owner's work. Even when the amount taken is quantitatively small, the use may still be impermissible if what is taken is the central or pivotal portion of the work. For example, in *Harper & Row Publishers, Inc. v. Nation Enterprises*, 471 U.S. 539 (1985), although the portion taken was small (only

about 300 words out of 200,000 words), the verbatim copying was the essence of the copyrighted work. This amount was considered excessive.

The Effect of the Use on the Market for the Copyrighted Work.

Most courts agree that the effect of the defendant's use on the potential market for the copyright owner's work is the most important of the four factors considered in determining whether a use of another's work is a permissible fair use. If the defendant's use causes or may cause a loss of revenue to the copyright owner, such argues against a finding of fair use. If the work will supplant the market for the copyright owner's work or diminish the potential market, the use is likely not a fair one.

Overview of Fair Use Cases. A brief review of some fair use cases will help demonstrate the balancing of the fair use factors engaged in by courts:

- *Sony Corp. of America v. Universal City Studios, Inc.*, 464 U.S. 417 (1984). In this case, Universal alleged that use of VCRs sold by the defendants violated the 1976 Copyright Act and that sale of the VCR machines constituted contributory infringement. The Court focused on the fourth factor of the fair use doctrine (the effect of the use on the potential market for the copyrighted work). The Court held that the practice of using a VCR to record a program for later private viewing ("time-shifting") was a fair use because it was noncommercial, and there was little likelihood of harm to the potential market for the copyrighted works. Moreover, the VCRs had substantial noninfringing uses.
- *Harper & Row Publishers, Inc. v. Nation Enterprises*, 471 U.S. 539 (1985). In this case, former President Ford granted Harper & Row exclusive rights to publish his memoirs and to license pre-publication serialization of those memoirs. *Time*

magazine then purchased from Harper & Row the right to publish certain excerpts from the book before its publication. Before *Time* could publish the excerpts, someone provided a copy of the manuscript to *Nation* magazine, which then published an article about the forthcoming book and included approximately 300 words of direct quotes from the book. Because it had been “scooped,” *Time* abandoned its plans to publish excerpts from the book and refused to pay the balance of its license fee to Harper & Row. Harper & Row sued *Nation* for copyright infringement. The Court held that the use was not a fair one: The publication in *Nation* was commercial in nature; the amount copied, though small quantitatively, captured the “heart” of the book; and the publication had an adverse effect on the potential market for the book.

- *Basic Books, Inc. v. Kinko's Graphics Corp.*, 758 F. Supp. 1525 (S.D.N.Y. 1991). For many years, Kinko's, a copy shop, had prepared course packets consisting of photocopies of assigned reading for college students. Publishing houses sued Kinko's, alleging that Kinko's practice of copying portions of books without permission and without payment violated the publishers' copyrights. The court found that Kinko's use was not fair use. Although the students' use of the materials was educational, Kinko's purpose in copying them was commercial. The amount and substantiality of the portions copied also weighed against a finding of fair use, and the potential market for the copyrighted materials was harmed in that Kinko's offered the materials at a lower cost and thus students refrained from buying the books.
- *Warner Brothers Entertainment Inc. v. RDR Books*, 575 F. Supp. 2d 513 (S.D.N.Y. 2008). The plaintiff, who owned the film rights to the famous Harry Potter books, and the author of the books, J. K. Rowling, sued the defendant to

enjoin his publication of a “lexicon” or encyclopedia of alphabetical terms related to the Harry Potter books. The court held that the defendant's use was not a fair use. Although the defendant's work was transformative, it was not consistently so. Moreover, he took more than what was reasonably necessary. Because the Harry Potter books are highly creative and imaginative, they are given a broad scope of protection. Finally, although the defendant's use would not supplant the market for the Harry Potter books, they would unfairly harm the market for the author's companion books.

- *American Geophysical Union v. Texaco, Inc.*, 60 F.3d 913 (2d Cir. 1994). In this case, publishers of several scientific journals brought suit against Texaco, alleging that the company's practice of copying articles from journals and then routing or distributing the articles to its more than 400 researchers was infringement. The researchers placed copies of the articles in their files for later use and reference. The publishers alleged the practice infringed their rights in the articles. The court held that Texaco's copying was not a fair use. Although the for-profit motive of Texaco was relevant, the court stated the focus should be on the use of the material itself rather than the user. The fact that the materials were used for an archival purpose—they were merely placed in files and not transformed in any way—weighed against a finding of fair use. On the second factor (the nature of the work), the court found the articles were scientific and factual, and this weighed in favor of Texaco. The third factor (amount of work copied) weighed against Texaco because entire separately copyrighted articles were copied. In regard to the last factor (effect of the copying on the potential market for the copyrighted materials), the court found against Texaco because the publishers lost subscription revenue and because Texaco could

have entered into a license with the Copyright Clearance Center (CCC), a central clearinghouse established by publishers at the suggestion of Congress to license the copying of materials, much like ASCAP and BMI license the performance of music. By bypassing CCC, Texaco's copying caused a loss of licensing revenue to the publishers. Texaco appealed to the U.S. Supreme Court, which granted certiorari; however, before the Court heard the case, the parties entered into a settlement, with Texaco agreeing to pay more than \$1 million and an additional retroactive license fee to the CCC. Texaco also agreed to enter into a five-year licensing arrangement with the CCC.

The *Texaco* case has caused much consternation inasmuch as it has been common practice for many companies to purchase only a limited number of subscriptions to journals and then copy articles as needed for distribution to employees. Without a ruling by the Supreme Court, users are left with the Second Circuit's holding that the practice is infringement. Some issues remain unresolved, including whether there is a difference between the archiving of articles by researchers funded by government grants and archiving by those funded by private company grants, and what result should be reached when copying is done by an institution that serves both the commercial sector and the educational sector. The safest course appears to be to enter into private licensing arrangements with the publishers or to obtain a license through the CCC. The CCC also offers guidelines for creating copyright compliance policies. Call (978) 750-8400 or access the CCC's website at <http://www.copyright.com>.

Parody

Parodies of works of literature, art, and music are viewed as a productive form of social commentary and criticism. Because copyright owners are highly

unlikely to grant permission to another to parody their work, parodists often rely on the fair use defense when infringement is alleged by the owner of the parodied copyrighted work. Generally, no more than is necessary to accomplish the parody may be taken from the original work. The parodist's work must "conjure up" the copyright owner's work and link the parody with that of the original to make social comment or criticism. If the parodist merely copies a work to make social comment on some other topic, fair use is not available.

In *Campbell v. Acuff-Rose Music, Inc.*, 510 U.S. 569 (1994), Acuff-Rose, a music company, brought suit against the rap group 2 Live Crew claiming that the group's rap version of the song "Pretty Woman" infringed its copyright in the famous Roy Orbison song, "Oh, Pretty Woman." The Supreme Court held the parody was a fair use. In regard to the first fair use factor, the Court held that although the use was commercial, the new work added something new with a new expression and meaning. The second factor (the nature of the copyrighted work) was held to be of little use in the context of a parody because a parody, by definition, almost always copies known works such as the Orbison song. As for the amount and substantiality of the work copied, the Court stated that even if 2 Live Crew copied the "heart" of the Orbison song, it is the heart that most readily conjures up the original for the parody. Regarding the fourth factor, there was no evidence that the 2 Live Crew song had any impact on the market for nonparody or nonrap versions of the original Orbison song. Persons interested in the original song were unlikely to purchase the parody version in its place.

Conversely, in *Dr. Seuss Enterprises, L.P. v. Penguin Books USA, Inc.*, 109 F.3d 1394 (9th Cir. 1997), the court held that a poetic account of the O. J. Simpson double murder trial presented in the style of the famous *Cat in the Hat* rhyming book was not protected parody inasmuch as it did not target

or parody that book itself but merely copied its general style to make comments regarding society as a whole. Thus, a parody must target or comment in some way on the original material in order to satisfy the fair use requirement of criticism.

Reproduction of Copyrighted Works by Librarians and Educators

Pursuant to Section 108 of the Copyright Act, libraries can reproduce a work for distribution and for preservation purposes. Similarly, libraries are protected from liability for infringement for unpermitted photocopying by their patrons as long as a notice is displayed on the photocopy equipment that the making of copies may be subject to copyright law.

In 1975, Congress urged educators and publishers to meet to reach an agreement regarding permissible educational uses of copyrighted material. The result was the “Agreement on Guidelines for Classroom Copying in Not-for-Profit Educational Institutions with Respect to Books and Periodicals.” These guidelines were made part of the legislative history of the 1976 act. Some of the more notable provisions of the guidelines follow:

- Single copies of copyrighted materials (such as a chapter from a book, a short story, a chart, or an article from a journal) may be made by teachers for scholarly research or use in teaching.
- Multiple copies (not to exceed more than one copy per pupil in a course) may be made if the copying meets specified tests for brevity (the guidelines include stated criteria for the amount of work that may be copied, for example, a poem may be copied if it is fewer than 250 words) and spontaneity (the decision to use the material is made so close to the time the material is needed that it would be unreasonable to expect a reply to a request to the author to use the material); each copy includes a copyright notice; and

the cumulative effect of the copying is limited (e.g., no more than nine instances of multiple copying for one course during one class term can be made).

Similarly, music teachers and publishers met and developed “Guidelines for Educational Use of Music” to state the standards of educational fair use of music. The guidelines for books and for music are available as Circular 21 from the Copyright Office (<http://www.copyright.gov>).

Other Defenses to Infringement

Although fair use is one of the most widely asserted defenses in actions for infringement, numerous other defenses are also available.

Invalidity of Copyright or Fraud. A defendant may assert that the material sought to be protected by the plaintiff is uncopyrightable. Even if a certificate of copyright registration has been issued, the defendant may rebut the presumption of validity arising from registration and prove that the work lacks sufficient originality to be protectable and that the Copyright Office erroneously registered the work. Thus, the defendant may assert that the works are useful articles, public domain matter, common facts not subject to copyright protection, or scenes a faire (common or stock themes) that flow naturally from a premise or setting and are thus unprotectable. Moreover, works are not protected merely because they result from hard work. To be protectable, works must contain copyrightable expression. Thus, in *Feist Publications, Inc. v. Rural Telephone Service Co.*, 499 U.S. 340 (1991), the Supreme Court held that although a telephone company had invested a great deal of hard work or “sweat of the brow” into compiling its telephone directory, the directory was unprotectable because it was merely factual. A similar result was reached in 1998 when the Second

Circuit held that West Publishing Company's addition of certain fact-based features, such as attorney information, parallel citations, and star pagination, to cases in the public domain did not result in original copyrightable work entitled to protection. *Matthew Bender & Co. v. West Publ'g Co.*, 158 F.3d 674 (2d Cir. 1998). A defendant may also show that the plaintiff intentionally misrepresented certain facts or failed to disclose certain facts to the Copyright Office (such as that the plaintiff's work was a derivative work or a useful article), thus rendering the registration invalid.

Estoppel. A copyright owner who knows of an infringing use and acquiesces in it may be estopped or precluded from later claiming the use is an infringement, particularly when the defendant has expended sums in marketing the work.

Misuse or Unclean Hands. A plaintiff may be precluded from obtaining relief in an infringement action if it is guilty of inequitable conduct, unclean hands, or **misuse** of its copyright. For example, requiring a defendant who licenses one copyrighted work to license another or coupling a copyright license with a restrictive covenant precluding a party from developing its own original copyrighted works may be such misuse as to preclude the licensor from later asserting infringement of copyright (at least until the misuse is cured).

Lack of or Improper Copyright Notice. Lack of copyright notice may be a viable defense for works distributed before March 1, 1989, the date upon which use of a copyright notice became optional rather than mandatory. One who innocently infringes a work that does not bear a copyright notice (before March 1, 1989) is not liable for statutory damages. Moreover, Section 406 of the Copyright Act provides a complete defense to infringement

if the alleged innocent infringer is misled by a pre-Berne copyright notice (meaning, before March 1, 1989) that misidentifies the copyright owner. In one case, the plaintiff created a video and licensed it to another, the licensee, for use in schools. The video contained a copyright notice that improperly identified the licensee as the copyright owner (rather than the plaintiff, the true owner). The licensee sold copies of the video to the defendant. The defendant successfully defended the action on the basis that the copyright notice identified the licensee as the owner and that he therefore had the right to assume that such party could sell the video to him. The court agreed and found no infringement by the defendant.

Statute of Limitations and Laches. Section 507(b) of the Copyright Act provides a three-year statute of limitations on civil copyright infringement actions. The time period may be tolled or suspended if the defendant has fraudulently concealed his or her copyright infringement from the plaintiff such that the plaintiff did not know to bring an action. The three-year period is measured from the time the copyright owner knows of the violation or is chargeable with such knowledge. If the infringement is continuing in nature, the plaintiff may obtain relief for any infringing activity that occurred within the three-year limitation period.

Even if the plaintiff is within the three-year statute of limitations, however, the defendant may assert a defense of laches, namely, that the plaintiff unjustifiably delayed in bringing suit and this delay caused prejudice to the defendant. Laches typically does not excuse infringement but may preclude a plaintiff from obtaining injunctive relief.

De Minimis Defense. Another defense that may be successfully asserted is that what was taken was so small that its use should be excused. Called the **de minimis defense** (based on the Latin maxim

“de minimis non curat lex,” meaning “the law does not concern itself with trifles”), it makes certain infringements nonactionable, generally because what is taken falls below the quantitative threshold of substantial similarity to the copyrighted work. For example, the movie *Seven* displayed 10 copyrighted photographs for a few seconds. The court held that because the photographs appeared fleetingly, were severely out of focus, and virtually unidentifiable, the use of those photographs was de minimis and therefore not actionable. *Sandoval v. New Line Cinema Corp.*, 147 F.3d 215 (2d Cir. 1998).

INFRINGEMENT ACTIONS

Generally, a party who believes its copyrighted work has been infringed will send a cease and desist letter to the other party (much like the cease and desist letter used in trademark infringement matters shown in Chapter 6, Exhibit 6–4). If the parties cannot resolve their dispute amicably, they may proceed to arbitration or litigation.

The federal courts have exclusive jurisdiction over copyright infringement cases and any cases arising under the Copyright Act. Thus, infringement cases can be brought only in federal district courts and not in state courts. Some cases, however, might be heard in state court because they do not “arise under” the Copyright Act. For example, if *A* agrees to pay a license fee to *B* for use of *B*’s copyrighted song but fails to make the required payments, the matter may be heard in state court as a straightforward breach of contract matter.

Like any civil action, a copyright infringement proceeding is initiated by the filing of a complaint by the plaintiff. The clerk of the court must report the action to the Register of Copyrights. The defendant typically answers the complaint and asserts various defenses or challenges to the complaint. If the defendant has claims against the plaintiff relating to

the matter at issue, they must be made in the same action. This promotes judicial economy because the court can resolve all differences between the parties at the same time.

The action is governed by the Federal Rules of Civil Procedure. The plaintiff has the burden of proving all elements of an infringement action: ownership of copyright; copyrightable subject matter; and unauthorized use, distribution, reproduction, adaptation, performance, or display of material expression by the defendant. Discovery will be scheduled by the court, and the parties may take depositions, propound interrogatories to each other, and request that various documents and other materials be produced. If settlement is not reached, the matter will proceed to trial. Either party may demand a jury trial. Expert witnesses may testify. Ultimately, the fact finder (either the jury or the judge) will render a decision. Within one month after any final judgment, the clerk of the court must notify the Register of Copyrights of the judgment or order. An appeal may be filed in the appropriate U.S. Court of Appeals by the losing party if a prejudicial error of law occurred at the trial. Further review may be sought in the U.S. Supreme Court, although it has discretion to deny certiorari and refuse to hear the case. See Exhibit 14–2 for some highlights of recent entertainment-related infringement issues.

As is the case for trademarks and patents (see Chapters 6 and 20, respectively), as an alternative to suing for copyright infringement in court, a party whose copyrighted work has been infringed may bring a Section 337 proceeding before the International Trade Commission (ITC) to block infringing goods from entering the United States. If Section 337 has been violated (determined after an investigation and a hearing), the ITC may issue an exclusion order barring the infringing products from entry into the United States and/or may issue a cease and desist order. Although money damages are not available, the

Some of the more interesting infringement cases often arise in the entertainment industry. Consider the following show business battles:

- In 2005 a federal court ruled that the best-selling book *The Da Vinci Code* did not infringe the copyrights of a book published by another author. The court noted that although both books were mystery thrillers, the details in each book were quite different from each other and that “ideas and general literary themes themselves are unprotectable” under copyright law.
- The most frequently illegally downloaded movie is believed to be *Avatar*, which was downloaded illegally more than 16 million times in 2010.
- When an author claimed that Twentieth Century Fox’s 2005 film *Kingdom of God* infringed his book *Warriors of God*, a spokesman for Fox responded, “You cannot copyright the Crusades.”

The following works “hit” the Internet prior to their official release dates:

- U2’s album *How to Dismantle an Atomic Bomb*;
- The movies *Spider Man 3* and *The Hurt Locker*
- *Star Wars Episode III—Revenge of the Sith* (which was posted to BitTorrent, a file-sharing network); and
- Mel Gibson’s movie *Passion of the Christ*.

EXHIBIT 14–2 That’s Entertainment!

proceedings are less expensive and far more expeditious than court proceedings.

Just as registered trademarks can be recorded with the U.S. Customs and Border Protection to

block goods that bear infringing trademarks (see Chapter 6), registered copyrights can be recorded as well to block goods that infringe U.S. copyrights. (See <http://www.cbp.gov>.)

ETHICS EDGE



MAINTAINING YOUR CALENDAR

Like all litigation matters, copyright infringement litigation requires careful docketing and calendar-ing of dates. Use your office’s computerized calendar to maintain dates for discovery, court appearances, and other critical deadlines. Use a secondary system (e.g., Microsoft Outlook or a conventional calendar) as a backup. Use colored markers or sticky flags to provide visual cues of critical dates. For example, use red markers or flags for final action dates, yellow markers or flags for interim dates, and so forth. Use <http://www.timeanddate.com> to help calculate due dates.

Remedies for Infringement

Plaintiffs in infringement actions may seek both monetary and nonmonetary relief. In some instances, the plaintiff may be more interested in ensuring the infringing activity ceases than in recovering damages. Courts can use a variety of remedies to ensure the copyright owner is adequately protected:

- **Injunctive relief.** Section 502 of the Copyright Act provides that a court may grant both temporary and final injunctions to prevent or restrain infringing activities. To secure an injunction before trial, generally a plaintiff must prove that it is likely to succeed on the merits of its case; that it will suffer irreparable injury unless injunctive relief is ordered; that the threatened injury to it outweighs possible damage to the defendant; and that granting the injunction is in the public interest. If a plaintiff has delayed in seeking injunctive relief, such tends to show that there is no irreparable harm occurring and injunctive relief may be denied.
- **Impoundment.** Courts can order the **impoundment** of infringing copies during the pendency of an infringement action and may order their destruction as part of a final judgment. The plaintiff usually must post a bond so that if no infringement is found, the defendant is recompensed for the pretrial seizure of the goods.
- **Compensatory damages and profits.** Plaintiffs may recover **compensatory damages**—the actual damages suffered as a result of the infringement—and any additional profits received by the defendant arising out of the infringing activities. Actual damages should compensate the plaintiff for lost sales and revenues. To recover the infringer's profits, the plaintiff must present proof of the infringer's gross revenue, and the infringer may then prove deductible expenses and profits attributable to factors other than the infringing work. Even indirect profits may be recovered. For example, in one case, a

plaintiff recovered a portion of the defendant's hotel and gambling revenue on the basis that the performance of an infringing show in the hotel drew additional business to the hotel and casino.

- **Statutory damages.** In lieu of actual damages and profits, if the copyright owner has secured registration within three months after publication or, for unpublished works, before the defendant's infringement, a plaintiff may elect an award of **statutory damages** under Section 504(c) of the Act. The statutory damages are set by the judge or jurors in their discretion in a sum of not less than \$750 and not more than \$30,000 for infringement of one work (all the parts of a compilation or derivative work are viewed as one work). If willful infringement is shown, statutory damages may be awarded in an amount not exceeding \$150,000. If the court finds that infringement was innocent (the infringer was not aware his or her acts were infringing and had no reason to know such), the court can reduce statutory damages to an amount not lower than \$200. The election to seek statutory damages rather than actual damages and profits can be made at any time prior to entry of final judgment and is usually made in cases in which the plaintiff has difficulty proving actual damages. In one case, it was held that each unauthorized airing of a television series episode by a different station controlled by the defendant was a separate act of infringement. Because the defendant's acts were willful, damages were fixed at just over \$70,000 per act multiplied by 440 separate airings, for a total damage award to the copyright owner of \$31.7 million (plus costs and attorneys' fees). This award was made by a jury in April 1999 and is believed to be the second-highest ever award of statutory damages. *Columbia Pictures Television v. Krypton Broad. of Birmingham, Inc.*, 259 F.3d 1186 (9th Cir. 2001). The Supreme Court has held

that under the Seventh Amendment, if a party demands, there is a right to a jury trial on all issues pertinent to an award of statutory damages, including the amount itself. *Feltner v. Columbia Pictures Television, Inc.*, 523 U.S. 340 (1998).

- **Costs and attorneys' fees.** If registration has been secured within three months after publication of a work (or, for unpublished works, before the defendant's infringement), a court may award reasonable attorneys' fees to the prevailing party. Parties may also recover costs (e.g., expert witness fees, court filing fees, photocopy charges).
- **Criminal sanctions.** Under the No Electronic Theft Act (the NET Act) signed into law in late 1997 (17 U.S.C. § 506 and 18 U.S.C. § 2319), various criminal penalties can be imposed (with jail terms up to five years) for willful infringers who reproduce or distribute by electronic means copyrighted works of a certain value (generally, over \$1,000). Subsequent offenses can result in jail terms of up to 10 years. Fines up to \$250,000 can also be imposed under the NET Act. The NET Act strengthens prior criminal provisions to make serious copyright piracy (such as unauthorized posting of copyrighted works on the Internet) subject to criminal penalties even if there is no profit motive. Its primary purpose was to close the "LaMacchia

Loophole," named for David LaMacchia, a student at MIT who set up an electronic bulletin board from which users downloaded approximately \$1 million of free software. A copyright piracy case against LaMacchia was dismissed because LaMacchia had received no monetary compensation for the software he distributed. The NET Act also extended the statute of limitations in which criminal action may be brought from three years to five years. The Register of Copyrights testified before Congress in support of enhancing criminal penalties for copyright violations, stating that advances in technology increased the potential for copyright piracy because it is easy and inexpensive to make and distribute pirated copies without a major investment in equipment and facilities. Thus, more serious penalties were needed to deter infringers. Additionally, as discussed in Chapter 15, those who circumvent measures designed to protect certain works (e.g., by thwarting computer encryption programs) may be subject to both civil and criminal penalties.

- **Fines.** A fine up to \$2,500 may be imposed when a copyright notice is fraudulently used or removed. Making a knowingly false statement of a material fact in a copyright application may subject a person to a fine of up to \$2,500.

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- In September 2000, a district court allowed presidential candidate Ralph Nader to continue to criticize the fundraising tactics of the major parties by parodying MasterCard's "Priceless" ad campaign. The court held that the ad was a protected parody of the MasterCard ad and that Nader had made fun of MasterCard to make a political comment.
- In *Sun Trust Bank v. Houghton Mifflin Co.*, 268 F.3d 1357 (11th Cir. 2001), the Court of Appeals reversed a lower court's injunction that prohibited the publication of *The Wind Done Gone*, a parody of *Gone with the Wind*. The appellate court held that the use was highly transformative and provided social benefit and thus the author of *The Wind Done Gone* was entitled to a fair use defense. After the decision, the parties reached a private settlement and *The Wind Done Gone* was published.

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- If you are caught violating its copyright policies, Google's YouTube requires you to attend its online Copyright School to learn about copyright law.
- In 1994, singer Michael Bolton was ordered to pay \$5.4 million in damages for infringing a 1964 song called "Love Is a Wonderful Thing" by the Isley Brothers. The court found that Bolton had access to the earlier work and that the two works (which shared the same name) were substantially similar; a judgment of \$5.4 million was affirmed. *Three Boys Music Corp. v. Bolton*, 212 F.3d 477 (9th Cir. 2000).
- In November 2010, a jury awarded Oracle Corp. \$1.3 billion in damages for copyright infringement by SAP for downloading, copying, and using Oracle's software. Before it was thrown out on appeal in late 2011 as being "grossly excessive," the verdict was the largest copyright damage award in U.S. history. At the time of the writing of this text, various post-appeal motions were being heard.
- In late 2008, Mattel was awarded more than \$100 million in damages against MGA Entertainment for copyright infringement of Mattel's "Bratz" dolls. Mattel alleged it was the owner of the rights in the Bratz dolls because they were designed by a former Mattel employee (later hired by MGA) who signed an agreement before leaving Mattel, assigning all rights to any ideas conceived while employed by Mattel.

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CHAPTER SUMMARY

An infringement action may be brought by an owner of a registered copyright whenever any of his or her exclusive rights have been violated. Infringement requires that a plaintiff prove copyright ownership and impermissible copying. Copying is usually demonstrated by showing that the defendant had access to the copyrighted work and that there is substantial similarity between the copyrighted work and defendant's work.

A defendant in an infringement action may assert a variety of defenses. The most common defense raised is that the defendant's use was a "fair use" of the copyrighted work. The fair use doctrine was developed to promote scholarly and educational use of certain works. Courts examine four factors in determining whether a defendant's use is fair: the purpose and character of the use, including whether the use is for commercial or nonprofit purposes and whether the allegedly infringing use transforms the original work; the nature of the work (with factual and scholarly works receiving less protection

than works of fiction or fantasy); the amount and substantiality of the portion of work taken by the defendant (even a small taking may constitute infringement if it is the heart of the work); and the effect of the defendant's activities on the potential market for the copyrighted work. No one factor is conclusive; courts examine and weigh all factors in reaching a conclusion about infringement. Parody is a form of fair use, as are certain uses by libraries and educators.

Other defenses to infringement are invalidity of the plaintiff's copyright; estoppel to allege infringement due to the plaintiff's acquiescence in infringement; misuse or unclean hands by the plaintiff; and the statute of limitations, which provides that a civil infringement action must be brought within three years of the infringing activity.

Remedies available to a plaintiff include injunctive relief, actual damages and the defendant's profits, statutory damages (in lieu of actual damages and profits), costs, and attorneys' fees. Criminal penalties may be imposed in the case of certain willful infringements.

CASE ILLUSTRATION

FAIR USE

- Case:** *Mattel, Inc. v. Walking Mountain Productions*, 353 F.3d 792 (9th Cir. 2003)
- Facts:** Artist Thomas Forsythe posed and photographed Mattel's copyrighted Barbie doll in various absurd and often sexualized poses, claiming his photography was meant to critique the objectification of women. Mattel sued for copyright, trademark, and trade dress infringement. The district court held that Forsythe's use was a fair use and not actionable as copyright infringement (or trademark or trade dress infringement).
- Holding:** Affirmed. The court analyzed the four fair use factors and concluded the following: (1) Forsythe's work was a parody and was highly transformative; (2) because parodists almost always copy publicly known, expressive works, this second factor (the nature of the work) is not terribly significant in such cases; (3) the amount of Mattel's copyrighted figure used was justified, given the parodic nature of the work; and (4) the infringement had no discernible impact on Mattel's market. Moreover, the court noted that there is significant public benefit in allowing artistic creativity and social criticism to flourish.

Similarly, the Motor and Equipment Manufacturers Association estimates that \$3 billion in fake auto parts are sold in the United States alone each year.

Trademark counterfeiting is a federal crime under 18 U.S.C. § 2320, which imposes fines up to \$2 million and jail terms up to 10 years for individuals who engage in counterfeiting activities. Goods used in the counterfeiting operation can be seized. The PRO-IP Act of 2008 increased the penalties for those who recklessly cause or attempt to cause serious bodily injury or death from counterfeit goods. Enforcement of these laws is difficult, however, as street vendors often merely move their location to another corner when confronted. In many cases, trademark owners prefer to deposit their trademark registrations with the U.S. Customs and Border Protection (as discussed in Chapter 6) so it can stop the import of fake goods.

Newer enforcement efforts focus on those in the supply chain that leads to counterfeit goods, such as landlords, shipping companies, and credit card companies. For example, in January 2006, to settle a lawsuit brought by Louis Vuitton, landlords for seven Canal Street properties in New York City promised to evict tenants found selling fake Louis Vuitton bags and agreed to regular inspections of the leased premises by the company's representatives.

In the United States, it is not illegal for a consumer to buy counterfeit goods, although it is in some other countries, such as France and Italy.

MISAPPROPRIATION

The doctrine of **misappropriation** as a form of unfair competition first arose in *International News Service v. Associated Press*, 248 U.S. 215 (1918), in which the Supreme Court held that an unauthorized taking of another's property, in that case, "hot" news information, that it invested time and money in creating was actionable as misappropriation of

property. In *INS*, news information originally gathered by the Associated Press relating to World War I was pirated by International News Service and sold to its customers. Because the news itself, as factual matter, could not be copyrighted, the plaintiff could not sue for copyright infringement. Instead it alleged that its valuable property right had been taken or misappropriated by the defendant. The Supreme Court agreed, noting that the defendant was "endeavoring to reap where it has not sown and . . . is appropriating to itself the harvest of those who have sown." *Id.* at 239–40. Because the defendant was not attempting to convince its subscribers that its news reports were from the plaintiff, an action for passing off would not lie. The defendant was misappropriating rather than misrepresenting.

In recent years, the doctrine of misappropriation has fallen into disfavor due to its somewhat amorphous nature. Thus, many courts have followed *INS* only when nearly identical fact patterns are presented, namely, cases involving the taking of time-sensitive "hot" news, event results, mathematical formulae (such as golf handicapping systems), and indices (such as stock market index report and averages) that are not addressed by copyright or patent law and in which one party has wrongfully exploited another's effort and labor such that he or she is getting a "free ride" on the other's efforts.

RIGHT OF PUBLICITY

Introduction

Some of the most interesting cases in the intellectual property field relate to the rights of individuals to protect their identities from unauthorized commercial use. The **right of publicity** gives individuals, not merely celebrities, the right to control commercial use of their identities or personas. Nevertheless, because the right of publicity protects a commercial interest, the vast majority of cases involve celebrities

inasmuch as they can readily show economic harm when their names, photographs, or identities are used to sell products or suggest a sponsorship of merchandise.

Publicity rights are governed by state law. Nearly 20 states have specific statutes dealing with the right of publicity. Others recognize the right through case law. A few states do not recognize any right of publicity. On the other hand, California, with its large population of celebrities, has extensive statutes and significant case law recognizing the right of publicity. In sum, however, there is no nationwide or federal right of publicity (although the International Trademark Association advocates a federal law protecting the right of publicity), and there is a patchwork of laws across the nation relating to this right.

The right of publicity has evolved from the right of privacy, which protected against unreasonable invasions upon another person's solitude and provided remedies for the disclosure of private information. While the right of privacy, however, protects one's *personal* interests against indignity, hurt feelings, and invasion, the right of publicity protects one's *commercial* interests against wrongful exploitation. The right of publicity allows individuals to protect the marketability of their identities (a property right) and punishes those who would unjustly enrich themselves by appropriating another's fame for profit-making purposes. Unpermitted commercial exploitation of an individual's persona would dilute the value of the persona, making it more difficult for the individual to commercialize his or her identity. Thus, remedies for infringement include injunctions to prevent further exploitation and monetary relief to compensate the individual whose right of publicity has been appropriated (including damages for injury to reputation, recovery of the defendant's profits, and punitive damages in extreme cases).

Courts have articulated a number of reasons for upholding an individual's right to publicity, including the need to protect against confusion that would

arise if consumers were led to believe individuals sponsor or approve products when they do not, the need to incentivize performers who provide entertainment and benefit to society and should thus be provided with a protectable property right in their identities, and the need to prevent unjust enrichment of those who seek to profit from another's talent and often hard-earned fame.

The right of publicity does not apply to non-commercial uses; thus, using another's name, likeness, or identity for news reporting, scholarship, or research is permissible, as long as there is no invasion of privacy or defamation. Most cases involve the unauthorized use of another's identity to promote some product or service, thus suggesting that the individual sponsors or approves the item being advertised. It is not necessary to prove falsity, deception, or likelihood of confusion in order to prevail in an action for infringement of the right of publicity.

Appropriation of Identity

Most states protect more than just a person's name. Thus, unauthorized use of a nickname, voice, likeness, portrait, signature, appearance, identity, or personal attribute (such as customary gestures, clothing, or hairstyle) is prohibited if that use is understood to identify a particular person. Neither intent to deceive nor consumer confusion must be proved. The essence of an action for misappropriation of one's right to publicity is that one's identity was used without permission. Nevertheless, wrongfully using a celebrity's name or likeness to advertise a product may also be actionable as false advertising and unfair competition.

Although it is clear that unauthorized use of a person's name or picture is actionable, there are a variety of other ways in which the right of publicity or related rights can be infringed.

- **Phrases and nicknames.** In *Carson v. Here's Johnny Portable Toilets*, 698 F.2d 831 (6th

Cir. 1983), a court prohibited a portable toilet company from using the phrase “Here’s Johnny” in connection with advertising its services, holding that the phrase had become sufficiently identified with the entertainer Johnny Carson to be protected, even though neither his full name nor his picture was used. Disguising a name, such as varying a few letters, will not protect a defendant. Even nicknames are protectable if they are understood to identify the plaintiff. For example, in *Hirsch v. S.C. Johnson & Sons, Inc.*, 280 N.W.2d 129 (Wis. 1979), the use of the word *Crazylegs* to advertise shaving gel was held to infringe the right of publicity of football star Elroy “Crazy-legs” Hirsch.

- **Likeness.** A person’s “likeness,” including a variety of physical features, is protectable against unauthorized use, whether by drawing, cartoons, or look-alikes. Thus, in *Ali v. Playgirl, Inc.*, 447 F. Supp. 723 (S.D.N.Y. 1978), a cartoonish drawing of a black man in a boxing ring that included the phrase “The Greatest” was held to have identified the boxer Muhammad Ali and violated his right of publicity. Similarly, in *Allen v. National Video, Inc.*, 610 F. Supp. 612 (S.D.N.Y. 1985), Woody Allen was able to prohibit the use of a look-alike’s photograph in advertisements for video rental stores inasmuch as the advertisements falsely suggested that Woody Allen endorsed the advertised services. The case was later settled out of court.
- **Voice.** In *Midler v. Ford Motor Co.*, 849 F.2d 460 (9th Cir. 1988), the Ford Motor Company’s use of an impersonator to imitate the singer Bette Midler’s vocal style in advertisements for Ford’s cars was held to be a wrongful misappropriation of her identity. The Ninth Circuit held that while it would “not go so far as to hold that every imitation of a voice to advertise merchandise is actionable . . . when a distinctive voice

of a professional singer is widely known and is deliberately imitated in order to sell a product, the sellers have appropriated what is not theirs . . .” *Id.* at 463.

- **Roles and associated objects.** Imitating a distinctive performing style or persona is actionable. Thus, the roles associated with Groucho Marx and Charlie Chaplin (the “Little Tramp” persona) have been protected from unauthorized commercial exploitation. In *White v. Samsung Electronics America, Inc.*, 971 F.2d 1395 (9th Cir. 1992), the use of a mechanical robot wearing a wig, jewelry, and evening wear posed near a game board similar to that used on the television game show *Wheel of Fortune* was held to create a triable issue of fact regarding whether such use violated game show hostess Vanna White’s right of publicity because the display evoked her identity. Similarly, Fred Rogers (“Mister Rogers”) sued a store for selling T-shirts showing him wearing his well-recognized sweater and bearing a pistol, arguing that the image was wholly inconsistent with his child-friendly persona and violated his right of publicity.

One of the most famous recent right of publicity cases involved robots that appeared to resemble Norm and Cliff from the *Cheers* television sitcom. The robots, named Hank and Bob, were placed at airport bars. The actors who portrayed Norm and Cliff in the television show sued *Cheers*’s trademark and copyright owner for violations of their right of publicity. After seven years of litigation and an appeal to the U.S. Supreme Court, the parties ultimately settled out of court. The Ninth Circuit Court of Appeals, however, had earlier ruled that the actors’ case could proceed and that it was ultimately up to a jury to determine whether the rights of publicity were violated. *Wendt v. Host Int’l Inc.*, 125 F.3d 806 (9th Cir. 1997).

Duration and Descendibility of Right to Publicity

The duration of the right of publicity is subject to much variation. Some states do not provide any protection for deceased individuals. For example, in New York, the right can be asserted only by a living individual. Many experts believe that this view stems from the association of the right of privacy with the right of publicity. Because the right of privacy is personal to the individual and does not survive death, some states similarly hold that there is no postmortem right of publicity.

The majority of states, however, recognizing that the right of publicity is an economic property right, hold that just as one can pass one's other property to one's heirs so that they receive the fruit of one's labors, so too the right of publicity should survive death. To hold otherwise allows others, generally advertisers, to reap a windfall upon the death of a celebrity. Moreover, because an individual can license the right to another to use his or her name or likeness (e.g., the use of athletes' names or photos on sporting goods equipment), clearly indicating the nature of the right of publicity as a property right, the better-reasoned view appears to be that of the majority: The right of publicity is a property right, and like other property rights, it can pass to one's heirs upon death.

On the other hand, there is no real need for the right to exist in perpetuity. It serves little purpose today for the heirs of Benjamin Franklin to be able to control the use of his likeness or name. Thus, in most states, the right of publicity survives death for a stated period of time. For example, in California, the right survives for 70 years after a person's death. Other states recognize varying terms for protection, ranging from 10 years to 100 years. In Utah, unless a person has exploited his or her likeness or identity during his or her lifetime, heirs cannot sue for infringement after the person's death.

State laws that do not recognize postmortem rights of publicity or recognize them for a short period of time can often be circumvented. For example, New York will apply the law of a deceased individual's domicile at death. Thus, celebrities often make sure to claim California or some other state as their domicile. Indiana, another state that is highly protective of the right of publicity, authorizes application of its law as soon as an advertisement enters the state or an "event" occurs within Indiana. Not surprisingly, one company that represents the estates of more than 100 deceased celebrities is headquartered in Indiana. Similarly, in today's climate of national communication and advertising, heirs of celebrities may be able to avoid states that do not recognize postmortem rights (or recognize them only for short time periods) by asserting that the infringing act was committed in some other state and therefore its laws should apply.

Defenses in Right of Publicity Cases

A variety of defenses may be asserted in actions alleging infringement of one's right of publicity. One defense raised is that the plaintiff is not specifically and readily identified by the usage. For example, in *T. J. Hooker v. Columbia Pictures Industries, Inc.*, 551 F. Supp. 1060 (N.D. Ill. 1982), the plaintiff, a wood-carver named T. J. Hooker, was unable to prove he was the specific person identified in the defendant's television program concerning a fictional police officer.

Defendants may also assert that the use was incidental. Brief references or uses of another's identity are usually permissible because they are so fleeting as not to implicate any commercial concerns.

Another defense asserted is that the usage is protected speech under the First Amendment. News reports using a person's name or identity are protected by the First Amendment's freedom of speech clause as long as the use does not extend beyond what is necessary to inform the public of a

newsworthy event. Similarly, use in connection with research and scholarship, because it is not commercial use, is permissible. Courts have clearly held that false or misleading commercial speech is not protected under the First Amendment. Thus, once falsity or deception is shown, a First Amendment defense is generally eliminated.

Use of a person's name, identity, or likeness for purposes of satire, commentary, or parody is protected "fair use." Thus, the biting portrayals of Sarah Palin by the comedian Kristin Wiig on *Saturday Night Live* would likely not support actions for infringement of the right of publicity.

In a 2001 case, the California Supreme Court held that T-shirts decorated with an artist's drawing of the Three Stooges violated the rights of publicity of the heirs of the Stooges because the product containing their likeness did not so transform their image that it became the artist's own expression. The work did not contain significant creative elements but was rather a realistic reproduction of their image. The court noted that by contrast, Andy Warhol's famous silkscreens of celebrities are permissible because they go beyond mere commercial exploitation of celebrity images and provide ironic social commentary. *Comedy III Prods. Inc. v. Gary Saderup, Inc.*, 21 P.3d 797 (Cal. 2001). Later California cases have continued this borrowing of fair use concepts from copyright law (see Case Illustration at the end of this chapter).

Because individuals can license the right to use their names, likenesses, and signatures to others, defendants often assert that use was authorized. Actors typically grant studios the right to use their names and identities to promote movies in which they appear. The right generally extends to future re-releases of the movie, even on television, and may extend so far as to allow the studio to use the individual's name or likeness in connection with collateral products, such as toys and other related merchandise. Similarly, athletes often grant or

license sporting goods and card companies the right to reproduce their names, signatures, and photos on goods in return for license or royalty fees.

New Developments in the Right of Publicity

As is common with intellectual property rights in today's society, some of the new issues relating to the right of publicity stem from increasing technological advances. Through digital technology, President Clinton appeared in the movie *Contact*, John Wayne has sold beer, and Fred Astaire has danced with a vacuum cleaner. Some actors, such as Tom Cruise, insist that their contracts prohibit the modification of their digital images without prior permission. Vanna White's success in presenting a triable issue of fact in seeking to enjoin the use of a robot that evoked her likeness indicates that the right of publicity can extend beyond conventional infringement to misappropriation through digital and electronic means.

Another issue is whether the Copyright Act preempts (or takes precedence over) individual state statutes relating to the law of publicity. In some instances, the two fields coexist. For example, if a scene from a movie with Harrison Ford (protected by copyright) is later used without permission in another movie, Harrison Ford's copyright rights as well as his right to publicity have been violated. At least one court has held that in such a case, federal copyright preempts state laws relating to rights of publicity. *Fleet v. CBS*, 58 Cal. Rptr. 645 (Ct. App. 1996). In the Bette Midler case, because voices cannot be copyrighted, Midler sued solely for misappropriation of her identity and violation of her common law right to publicity. Similarly, names, gestures, and likenesses are unprotectable under copyright law because they are titles or ideas rather than expressions. Thus, in some instances federal copyright law may control a plaintiff's rights, while in other instances only the right to publicity will provide protection.